



ACQLERATE

MODULE 3

Defense Contracting Fundamentals

Master contract types, the source selection process, contract administration, and how to protect the government's interests.

13 Lessons · ~249 Minutes · Lesson Book Edition

Course Lessons

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DEFENSE CONTRACTING FUNDAMENTALS · LESSON 1

The DoD Contracting Enterprise

16 min

Map the organizations that actually issue defense contracts. From enterprise-level offices to base contracting squadrons and command-level teams. And build a BD strategy aligned to the right customer tier.

The Buying Isn't One Place

Imagine you want to sell office supplies to a large hospital system. There's the central procurement office that handles large system-wide contracts, there's each individual hospital's local purchasing team for day-to-day supplies, and there's the specialty surgery centers that have their own specialized procurement. You wouldn't walk into the surgery center trying to sell them copy paper, and you wouldn't cold-call the central office trying to sell them a one-time supply of bandages. Same thing with DoD. The contracting enterprise isn't one office. It's hundreds of them, organized by tier and authority. Contractors who understand which tier they're dealing with build smarter BD (Business Development) strategies. Contractors who don't waste proposals on the wrong doors.

Same building, three different doors. Knowing which one you're knocking on changes your whole BD strategy.

The Three Tiers

Enterprise / Program Level

Large buys

Runs large, multi-year service and program contracts, \$1M to \$100M+. Formal source selection with written proposals. In the Air Force this is AFICC/ESS; Army has Army Contracting Command; Navy has NAVSUP (Naval Supply Systems Command) Fleet Logistics Centers. Competitive, structured, and publicly posted on SAM.gov.

Base / Installation Level

Fast path in

Each military installation has its own contracting squadron handling day-to-day needs: base support, smaller services, equipment. Typically under \$1M using simplified procedures. Less formal but relationship-intensive. For small businesses and new entrants, this is your fastest path to a first contract and a real CPARS rating.

Command / MAJCOM Level

Hard entry

Command-level contracting for operationally-driven requirements. Often classified, OCONUS (outside the continental United States), or mission-specific. Less visible on SAM.gov. Requires clearances, theater experience, and existing program office relationships. Harder to enter: but also less crowded once you're in.

Air Force Example: The Three-Tier Map

LAYER	WHO RUNS IT	TYPICAL SIZE	ENTRY DIFFICULTY	RELATIONSHIP WEIGHT
AFICC / ESS	Air Force Installation Contracting Center	\$1M–\$100M+	Moderate–High	Moderate
Base Contracting Squadron	Local installation CO team	Under \$1M (SAP range)	Low–Moderate	Very High
MAJCOM Contracting (ACC, AMC, USAFE, etc.)	Command-aligned contracting	\$500K–\$50M+	High	High

The same structure exists in Army (IMCOM / Army Contracting Command / theater), Navy (NAVSUP / NAVWAR / fleet-level), and DLA (Defense Logistics Agency).

THE BASE IS YOUR ON-RAMP

For anyone new to defense contracting. Or new to a specific service or installation. Start at the base level. One BPA (Blanket Purchase Agreement) or simplified acquisition win gives you: - A real CPARS rating with a real CO and COR - A name in the base contracting office's market research files - A reference for future enterprise-level competitions - A relationship with the COR who is your biggest competitive asset for recompetes The \$150K base-level BPA you win this year is the past performance reference that wins the \$5M enterprise contract in two years.

The COR writes your CPARS rating. **That rating follows you to every future competition.** Invest in the relationship before you need it.

SAM.gov: Your Intelligence Feed

- **How to navigate SAM.gov: create a free account → Workspace → Contract Opportunities → use filters for NAICS, agency, set-aside type, and notice type** Go to SAM.gov and click "Contract Opportunities" in the top nav. The search bar is basic: use the filter panel on the left for real power. Filter by: NAICS Code (your industry classification), Agency (DoD → Army / Air Force / Navy), Notice Type (Sources Sought, Solicitation, Award Notice), Set-Aside (Small Business, 8(a), SDVOSB, etc.), and Active/ Archived status. Always check "Sources Sought" separately from "Solicitation": they're different notice types and Sources Sought won't appear in default solicitation searches. Bookmark your favorite filtered searches, then save them under Workspace → Saved Searches to get daily email alerts.
- **Monitor SAM.gov daily for Sources Sought and RFI notices: these are the government's market research phase** Sources Sought and RFIs are not contracts: they're the government asking "who's out there?" Responding is free, shapes requirements, and gets your company into the CO's market research file. Many contractors ignore these and then wonder why the final RFP seems written for someone else.

- **Respond to every Sources Sought for requirements in your capability area: even if you can't win yet**
Your response tells the CO your firm exists, understands the requirement, and is interested. It costs almost nothing. Over time, your responses build a paper trail of engagement that influences how requirements are scoped.
- **Attend Industry Days and Pre-solicitation Conferences: they're not optional for serious competitors**
Industry Days are where you learn the CO's priorities, the COR's pain points, and the evaluation criteria they're thinking about: before the RFP drops. Competitors who attend understand what the government actually wants. Competitors who don't are guessing.
- **Set up automated SAM.gov email alerts for your NAICS codes and target agencies: do it today if you haven't**
SAM.gov allows email notifications for new opportunities by NAICS (North American Industry Classification System) code, agency, and geographic location. Without alerts, you're doing manual searches and missing time-sensitive opportunities. Takes five minutes to set up.
- **Track incumbent contracts using FPDS-NG: every award above the micro-purchase threshold is public**
FPDS-NG (Federal Procurement Data System: Next Generation) shows you who holds the current contract, what they're being paid, when it expires, and what vehicle it's on. Knowing who the incumbent is and when their contract recompetes is the foundation of any serious capture plan.

I've seen firms spend \$200K on a proposal and lose to a smaller, less capable competitor because the other firm had been showing up at Industry Days for 18 months and had a real relationship with the program office. **Know who controls the buy.** That means knowing which tier you're dealing with. Enterprise, base, or command. And then knowing the names. The CO. The COR. The program office PM. The contracting officer's supervisor. That's not schmoozing. That's market intelligence. And it's legal. Use it.

INTERMEDIATE

How to Build a Customer Map

- **Identify the contracting squadron for each target installation: use the AFICC website, IMCOM directory, or SAM.gov agency search**
Every Air Force installation with significant contracting has a publicly listed contracting squadron. Army uses IMCOM (Installation Management Command) contracting offices. Navy uses NAVSUP Fleet Logistics Centers. This is publicly available information: there is no excuse for not knowing which office controls your target requirement.
- **Map each installation's contracting volume by NAICS code using FPDS-NG**
FPDS-NG shows historical award data by agency, location, and NAICS code. Before investing BD resources at an installation, verify the contracting office is actually awarding in your NAICS codes. An installation that has never awarded a management consulting contract is not a near-term target for management consultants.
- **Identify CORs on current contracts in your area: they often become future requirements owners**
CORs on active contracts in your functional area are likely to be involved in writing the next PWS (Performance Work Statement) or SOW (Statement of Work). Understanding their priorities, constraints, and performance

history with the current contractor gives you intelligence that competitors who only read solicitations don't have.

- **Track recompetete timelines for current contracts in your pipeline, 12–18 months out is the right engagement window** The best time to start influencing a requirement is 12–18 months before the RFP drops. By the time the solicitation hits SAM.gov, the scope is largely written. The firms that win were usually engaged during the Sources Sought and draft RFP phases.
- **Build relationships across the CO–COR–PM triangle, not just the CO** Many contractors focus exclusively on the Contracting Officer and ignore the COR and program office PM. But the COR and PM often write the PWS and the evaluation criteria. They are the voice of the government's actual needs. Build all three relationships.

USASPENDING.GOV: FREE COMPETITIVE INTELLIGENCE MOST CONTRACTORS IGNORE

USASpending.gov is the federal government's public database of every contract, grant, and loan award. Here's how to actually use it: **How to navigate it:** Go to usaspending.gov → click "Advanced Search" → filter by Awarding Agency (e.g., Dept of the Air Force), NAICS Code, Place of Performance, and Date Range. Every contract that matches appears with contractor name, total value, period of performance, and contract number. **What contractors use it for:** - Find the incumbent on any active contract - Research a competitor: search their company name to see every federal contract they've won, what agency, what value, and when - Price benchmarking: what did the government pay for this same work in the last 3 years? - Identify recompetes: filter by period of performance ending in the next 12 months **What KOs use it for:** Market research to justify price reasonableness in the IGCE. If comparable work was awarded at \$4.2M last year, that's a data point. **Pro tip from Lucas:** Before writing a capability statement for any agency, spend 20 minutes on USASpending searching what that agency has already been paying, to whom, and how much. You will write a completely different document.

INTERMEDIATE

MAJCOM Contracting: Harder to Enter, Harder to Displace

For cleared firms with specialized capabilities, MAJCOM-level contracting represents some of the most defensible long-term work in defense. Requirements tend to be longer in duration. Five or more years is common. Less transparent to competitors, and harder to displace once performance is strong. The entry cost is real: clearances, existing relationships, OCONUS capability for some. But the competitive density is far lower than in the enterprise services space. If your firm has a specialization. Special operations support, intelligence, electronic warfare, airlift support. The MAJCOM contracting tier is where that specialization becomes a moat.

Key Terms

Contracting Enterprise

The network of contracting offices across a military service. Not one office, but hundreds organized by tier and function. Understanding which tier you're dealing with is the foundation of a smart BD strategy.

Enterprise Contracting (e.g., AFICC/ESS)

The tier that runs large multi-year, multi-installation service contracts. Formal source selection, written proposals. \$1M–\$100M+. In the Air Force this is AFICC (Air Force Installation Contracting Center) and its ESS (Enterprise Sourcing Squadrons).

Base/Installation Contracting

The local contracting office on each military installation. Handles day-to-day needs using simplified procedures. Typically under \$1M. The fastest path to a first contract and a real CPARS rating for new entrants.

MAJCOM Contracting

Command-level contracting for operationally-driven requirements. MAJCOM stands for Major Command. ACC, AMC, USAFE, IMCOM, etc. Often classified or OCONUS. Requires clearances and existing relationships. Less visible, less crowded, harder to enter.

SAM.gov

System for Award Management. The federal government's official procurement website. Every contract opportunity above \$25K must be posted here. Your first stop for market intelligence and the place where Sources Sought, RFIs, and solicitations are published.

Sources Sought / RFI

Market research tools the government uses before writing an RFP. A Sources Sought asks who's out there and capable. An RFI (Request for Information) asks for more detail. Responding to these is how you shape requirements and get on the CO's (Contracting Officer's) radar. Before the competition opens.

CPARS

Contractor Performance Assessment Reporting System. The government's permanent record of how well you performed on a contract. CPARS ratings are visible to source selection evaluators on future competitions. Past performance is your most portable competitive asset.

COR

Contracting Officer's Representative. The government employee who monitors your contract performance day-to-day and writes your CPARS rating. The COR has no authority to change contract scope or price. Only the CO can do that. But the COR's assessments follow your firm to every future competition.

Knowledge Check

Which tier of the DoD contracting enterprise offers the fastest pathway to building past performance for a new defense contractor?

A. Enterprise contracting (e.g., AFICC/ESS)

Incorrect. Enterprise-level contracting runs complex multi-year competitions with strict past performance requirements. New entrants typically lack the scale of past performance needed to be competitive at this tier immediately.

✓ B. Base/Installation contracting squadrons

Correct. Base-level contracting uses simplified acquisition procedures, processes thousands of smaller actions, and is relationship-intensive. For new entrants, this is the fastest path to a real CPARS rating and competitive past performance.

C. MAJCOM command-level contracting

Incorrect. MAJCOM contracting often requires clearances, OCONUS capability, and existing command relationships: high barriers for new market entrants.

D. DLA (Defense Logistics Agency)

Incorrect as the fastest general path. DLA specializes in supply chain and logistics commodities: relevant for suppliers, but not the fastest path for most service contractors.

WHY

Base-level contracting squadrons process thousands of smaller actions annually using simplified acquisition procedures. For small businesses and new market entrants, this is the fastest path to a real CPARS rating, CO/COR relationships, and the past performance that enterprise-level competitions require.

What is the primary purpose of responding to a Sources Sought or RFI notice on SAM.gov?**A. To submit a formal proposal for contract award**

Incorrect. Sources Sought and RFIs are market research tools: they do not result in contract awards. They allow the government to gauge industry interest and capability before writing the actual RFP.

✓ B. To shape requirements, establish your firm's interest, and get into the CO's market research file

Correct. Responding to market research notices tells the CO your firm exists and understands the requirement. Over time, your responses influence how requirements are scoped: making the final RFP more favorable to your capabilities.

C. To register your company for simplified acquisition procedures

Incorrect. SAM.gov registration is separate from responding to market research notices. Registration in SAM.gov is required for any federal award, but it is not accomplished through Sources Sought responses.

D. To formally protest a competitor's incumbent contract

Incorrect. Bid protests are filed with GAO (Government Accountability Office) or the Court of Federal Claims: not through SAM.gov market research notices.

WHY

Sources Sought and RFIs are the government's market research phase. Not contract opportunities. Responding places your firm on the CO's radar, shapes how requirements are written, and costs almost nothing. Contractors who ignore them often find the final RFP written around a competitor's capabilities.

The COR (Contracting Officer's Representative) is most important to a contractor PM because:**A. They have authority to modify the contract scope and price**

Incorrect. The COR has no contract authority. Only the Contracting Officer can modify scope or price. A COR who directs out-of-scope work without CO authorization creates an unauthorized commitment: a legal problem for both parties.

✓ B. They write the CPARS performance rating that follows the contractor to future competitions

Correct. The COR's performance assessments directly feed the CPARS ratings that evaluate contractor past performance. Those ratings are visible to source selection evaluators on future competitions: good ratings are a lasting competitive asset; poor ratings are difficult to overcome.

C. They approve invoice payments and funding modifications

Incorrect. Invoice approval and funding modifications are functions of the ACO (Administrative Contracting Officer), not the COR. The COR can recommend acceptance of deliverables, but payment authorization flows through the ACO.

D. They determine whether the contractor is eligible for option year exercise

Incorrect. Option year exercise decisions are made by the Contracting Officer, informed by COR performance assessments. The COR provides input but does not make the final decision.

WHY

The COR monitors day-to-day performance and writes the CPARS ratings that follow your firm to every future competition. Treating the COR as a strategic relationship, not just a contract monitor, is one of the highest-ROI investments a contractor PM can make.

A defense contractor wants to enter a new military service branch (Army) for the first time. Based on the three-tier framework, what is the recommended starting approach?

A. Immediately pursue Army Contracting Command enterprise contracts to build visibility

Incorrect. Army Contracting Command handles large, complex acquisitions with significant past performance requirements. A first-time Army contractor without Army-specific past performance will struggle to be competitive at this tier immediately.

✓ B. Target IMCOM (Installation Management Command) contracting offices at Army installations for base-level work first

Correct. IMCOM manages Army installation contracting: the base-level tier equivalent. Winning base-level work builds Army-specific past performance, CO/COR relationships at installations, and CPARS ratings that support future enterprise competition.

C. Focus exclusively on MAJCOM contracting for maximum contract value

Incorrect. MAJCOM contracting requires clearances, existing relationships, and mission-specific capabilities. It is not an appropriate starting point for a firm new to a service branch.

D. Register on SAM.gov and wait for enterprise solicitations to appear

Incorrect. Passive waiting on SAM.gov is not a BD strategy. Active engagement: responding to Sources Sought, attending Industry Days, building relationships: drives pipeline development.

WHY

IMCOM manages Army installation contracting. The base-level tier. Winning base-level Army work gives you Army-specific CPARS ratings, CO and COR relationships on Army installations, and the past performance foundation needed to compete at the Army Contracting Command enterprise level.

FPDS-NG is most valuable to a defense contractor BD team because it:**A. Allows direct submission of proposals to contracting officers**

Incorrect. FPDS-NG (Federal Procurement Data System: Next Generation) is a public database of contract awards: it does not accept proposals. Proposals are submitted through SAM.gov or directly to the contracting office.

✓ B. Shows all current contract awards including incumbents, vehicle types, values, and expiration dates

Correct. FPDS-NG shows historical and current contract award data: who holds the contract, the contract vehicle, total value, period of performance, and expiration. This is essential intelligence for identifying recompile opportunities and understanding the competitive landscape.

C. Provides security clearance sponsorship for MAJCOM requirements

Incorrect. Security clearances are managed through DCSA (Defense Counterintelligence and Security Agency), not FPDS-NG.

D. Lists small business set-aside opportunities above the SAT

Incorrect. Set-aside opportunities are listed on SAM.gov, not FPDS-NG. FPDS-NG is an awards database, not an opportunity database.

WHY

FPDS-NG is the public record of every federal contract award above the micro-purchase threshold. It tells you who holds the incumbent contract, when it expires, how much they're being paid, and what vehicle it's on. Knowing incumbents and recompile timelines is the foundation of any serious capture plan.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 2

The Uniform Contract Format: How Every Federal Contract Is Built

20 min

Before you can read Section H, negotiate around Section L and M, or find your money in Section B, you need to know the skeleton every negotiated federal contract is built on. Four Parts, thirteen lettered sections, always in the same order.

One Skeleton, Every Contract

Here's something that makes federal contracts far less intimidating once it clicks: a \$50,000 base-level task order and a \$2 billion weapons program are built on the exact same skeleton. Same sections, same letters, same order, every time. That skeleton is called the Uniform Contract Format, or UCF. Learn it once and you can open literally any negotiated federal contract, one you've never seen before, on a program you've never worked, and know roughly where to find what you're looking for. That's not a small thing. Most of the confusion new PMs and contracts professionals feel in their first year isn't about the substance, it's about not knowing which of thirteen sections to even open.

THE CITATION

FAR 15.204-1 establishes the Uniform Contract Format for negotiated contracts, which is what you'll work with the vast majority of the time. A separate, older format under FAR 14.201-1 exists for sealed bidding, but sealed bidding is rare in modern DoD acquisition. When someone says "UCF," they mean FAR 15.204-1.

The Four Parts and Thirteen Sections

PART	SEC.	TITLE	WHAT IT ACTUALLY CONTAINS
I — Schedule	A	Solicitation/Contract Form	The cover sheet: SF 33 or SF 1449, contract number, agency, dates
I — Schedule	B	Supplies or Services and Prices/Costs	CLIN-by-CLIN pricing: what, how much, and how funded
I — Schedule	C	Description/Specifications/SOW	The actual work: SOW, PWS, or SOO
I — Schedule	D	Packaging and Marking	How deliverables must be packaged, labeled, shipped
I — Schedule	E	Inspection and Acceptance	Who inspects, how, and who has authority to accept
I — Schedule	F	Deliveries or Performance	Period of performance, delivery schedule, place of performance
I — Schedule	G	Contract Administration Data	COR appointment, invoicing instructions, accounting data
I — Schedule	H	Special Contract Requirements	Program-specific rules: key personnel, GFE/GFP, OCI, security
II — Clauses	I	Contract Clauses	Standard FAR/DFARS clauses, almost always incorporated by reference
III — Attachments	J	List of Attachments	Index of every exhibit: SOW, CDRLs, wage determinations, DD254
IV — Reps & Instructions	K	Representations, Certifications & Other Statements	Offeror self-certifications: size status, tax status, compliance
IV — Reps & Instructions	L	Instructions, Conditions, and Notices to Offerors	How to format and submit a proposal, page limits, due date
IV — Reps & Instructions	M	Evaluation Factors for Award	The scoring rubric used to pick a winner

Part I (A-H): Where You'll Actually Live

If you only remember one part of this lesson, remember Part I. Sections A through H are the operational core of the contract, the part a PM, COR, or contracts specialist actually opens day to day. Section B tells you the money. Section C tells you the work. Section F tells you the schedule. Section G tells you who administers it. Everything you do on a live contract traces back to one of these eight letters.

Part I, Section by Section

- **Section A (Solicitation/Contract Form): The cover page. Contract number, issuing office, effective dates. Usually an SF 33 (sealed bid) or SF 1449 (commercial items) form.** Not exciting, but it is the first place to check you have the right contract number before you cite anything from the document elsewhere.
- **Section B (Supplies or Services and Prices/Costs): The pricing table, broken out by CLIN. Firm Price, Funded Amount, ACRN, quantity, unit price.** This is the section covered in depth in the attached example. Firm Price and Funded Amount are not always the same number, and knowing the difference is one of the most practically valuable things a PM can know.
- **Section C (Description/Specifications/SOW): The actual work. A Statement of Work (SOW), Performance Work Statement (PWS), or Statement of Objectives (SOO).** If a COR or TDL ever directs work that is not traceable back to Section C, that is a scope creep red flag, covered in the TDL lesson.
- **Section D (Packaging and Marking): How deliverables get packaged, labeled, and shipped.** Mostly relevant to supply contracts; often minimal or boilerplate on pure services contracts.
- **Section E (Inspection and Acceptance): Who inspects deliverables, using what standard, and who has authority to formally accept them.** On CDRL-heavy contracts, this section is where the acceptance/rejection clock (commonly 15 workdays to review, 10 to resubmit) actually comes from.
- **Section F (Deliveries or Performance): The period of performance, delivery schedule, and place of performance.** This is the section a Technical Direction Letter can never override. A TDL that extends the period of performance is not a TDL, it needs a modification.
- **Section G (Contract Administration Data): COR appointment information, invoicing instructions, and accounting/funding data points.** Your COR's formal appointment, the same appointment letter that defines the limits of their authority, is referenced here.
- **Section H (Special Contract Requirements): Program-specific rules that do not fit anywhere else: key personnel clauses, GFE/GFP, Organizational Conflict of Interest restrictions, security requirements.** Covered in full depth in the Section H lesson. This is often the section that runs your actual day-to-day program life.

Part II (Section I): The Clauses You Did Not Write

Section I is the full list of FAR and DFARS clauses that apply to the contract, things like the Changes clause, Limitation of Funds, Termination for Convenience. On most contracts these clauses are not printed out in full, they are incorporated by reference, meaning the contract just cites the clause number and title, and the actual text lives in the FAR itself. You will rarely read Section I start to finish, but you will look up specific clauses from it constantly, usually right after something has gone wrong and someone asks, "what does our contract actually say about this?"

Part III (Section J): Where the Real Documents Live

Section J is just a list, an index of every exhibit and attachment referenced elsewhere in the contract. But that list points to some of the most important documents you will use: the actual SOW/PWS text, the CDRL list (DD Form 1423s), wage determinations, a DD Form 254 for security requirements, past performance questionnaires. If Section C or Section H references "Attachment 3" or "Exhibit A," Section J is where you find out what that actually is and locate it.

Part IV (Sections K, L, M): The Sections That Mostly Disappear After Award

Sections K, L, and M exist for one purpose: running the competition before award. Section K holds the offeror's self-certifications (small business status, tax compliance, and similar representations). Section L tells offerors exactly how to format and submit a proposal. Section M is the scoring rubric the government uses to evaluate and rank proposals. Once a contract is awarded, K, L, and M have generally done their job. You will not find yourself citing Section M during contract administration the way you'll cite Section C or Section G. That's exactly why new PMs sometimes never learn these three sections properly, by the time they're managing the contract, K/L/M are already in the rearview mirror. But if you're on the business development or proposal side, L and M are the two most important pages in the entire solicitation, covered in full depth in the Section L vs. Section M lesson.

This is exactly the kind of thing I mean when I talk about practicing the basics every day. Knowing the UCF cold isn't glamorous. Nobody gets promoted for reciting Section letters. But I've watched people burn real credibility in their first few weeks on a program because they didn't know where to look, they'd get asked "what does Section H say about GFE" and go silent, or cite a Section M evaluation factor as if it still mattered after award. The people who look sharp in their first month aren't smarter. They just know their document cold, the same way an experienced operator knows their gear cold. When someone asks you a question about the contract, you shouldn't be searching, you should already know which of thirteen letters to open.

Key Terms

Uniform Contract Format (UCF)

FAR 15.204-1. The standard structure for negotiated federal contracts: four Parts, Sections A through M, always in the same order regardless of agency, dollar value, or contract type.

Part I — The Schedule (Sections A-H)

The operational core of the contract: what is being bought, for how much, delivered when, inspected how, and administered by whom. This is what a PM lives in day-to-day.

Part II — Contract Clauses (Section I)

The standard FAR and DFARS clauses incorporated into the contract, almost always by reference rather than reprinted in full.

Part III — List of Attachments (Section J)

The index of every exhibit, attachment, and referenced document: SOW/PWS, CDRLs, wage determinations, security requirements. Section J tells you where the real detail actually lives.

Part IV — Representations and Instructions (Sections K-M)

The solicitation-only sections that exist to run the competition: offeror certifications, proposal instructions, and evaluation criteria. Mostly gone from day-to-day contract administration once the contract is awarded.

Section B

Supplies or Services and Prices/Costs. The CLIN-by-CLIN pricing table: what is being bought, at what price, and how much of that price is actually funded right now.

Solicitation vs. Contract

A solicitation (RFP/RFQ) contains all thirteen UCF sections, including K, L, and M, because it has to run a competition. Once a contract is awarded, K/L/M have generally done their job; Sections A-J carry forward as the contract you actually administer.

Knowledge Check

The Uniform Contract Format for negotiated federal contracts is established by which FAR citation?

- A. FAR 14.201-1
- ✓ B. FAR 15.204-1
- C. FAR 16.103
- D. FAR 52.243-1

WHY

FAR 15.204-1 establishes the Uniform Contract Format used for negotiated contracts, the format you'll encounter on the vast majority of DoD contracts. FAR 14.201-1 is the separate, older format for sealed bidding.

Which Part of the UCF contains the operational core of the contract, the sections a PM actually works from day to day?

- ✓ A. Part I (Sections A-H)
- B. Part II (Section I)
- C. Part III (Section J)
- D. Part IV (Sections K-M)

WHY

Part I, the Schedule, covers Sections A through H: what's being bought, the price, the work, the schedule, and administration data. This is the part a PM, COR, or contracts specialist lives in daily.

A CLIN's pricing, including Firm Price, Funded Amount, and ACRN, is found in which section?

- A. Section A
- ✓ B. Section B
- C. Section G
- D. Section J

WHY

Section B, Supplies or Services and Prices/Costs, is the CLIN-by-CLIN pricing table. It's where you'll find Firm Price, Funded Amount, quantity, unit price, and the ACRN tying each line to its funding.

Where does the actual Statement of Work (SOW) or Performance Work Statement (PWS) live in the UCF?

A. Section B

✓ **B. Section C**

C. Section H

D. Section L

WHY

Section C, Description/Specifications/Statement of Work, contains the actual work being bought. If directed work isn't traceable back to Section C, that's a scope creep red flag.

Which section holds a contract's Period of Performance and delivery schedule, the section a Technical Direction Letter can never override?

A. Section D

✓ **B. Section F**

C. Section I

D. Section K

WHY

Section F, Deliveries or Performance, sets the period of performance and delivery schedule. A TDL that tries to extend the period of performance isn't a valid TDL, it requires a formal contract modification.

A COR's formal appointment and invoicing instructions are documented in which section?

A. Section E

✓ **B. Section G**

C. Section I

D. Section J

WHY

Section G, Contract Administration Data, contains COR appointment information, invoicing instructions, and accounting/funding data points.

Program-specific rules like key personnel clauses, GFE/GFP, and Organizational Conflict of Interest restrictions belong in:

A. Section C

✓ **B. Section H**

C. Section J

D. Section M

WHY

Section H, Special Contract Requirements, is where the government places unique, program-specific requirements that don't fit the standard FAR/DFARS clauses elsewhere. It's often the section that runs day-to-day program life.

Why are FAR and DFARS clauses in Section I usually cited by reference rather than printed in full?

A. It is a security requirement

✓ **B. The clauses are too long to reasonably reprint on every contract, and citing the clause number is sufficient since the full text lives in the FAR itself**

C. Only Section H clauses require full text

D. Reference citation is only used on contracts under the Simplified Acquisition Threshold

WHY

Standard FAR/DFARS clauses in Section I are almost always incorporated by reference, the contract cites the clause number and title, and the actual text lives in the FAR/DFARS itself. This keeps contracts from being thousands of pages long.

Sections K, L, and M are best described as:

A. Sections that apply equally before and after contract award

✓ **B. Solicitation-only sections that exist to run the competition, and are largely gone from day-to-day contract administration once awarded**

C. The sections that define CLIN pricing

D. Sections found only on sealed-bid contracts

WHY

Sections K, L, and M exist to run the competition before award: certifications, proposal instructions, and evaluation criteria. Once awarded, they've generally done their job; Sections A-J are what carry forward as the contract you actually administer.

Match each UCF section letter to what it actually contains:**CORRECT MATCHES**

Section B	Supplies or Services and Prices/Costs (CLIN pricing)
Section F	Deliveries or Performance (period of performance, schedule)
Section H	Special Contract Requirements (key personnel, GFE, OCI)
Section M	Evaluation Factors for Award (the scoring rubric)

WHY

Part I (A-H) is the operational core you live in daily. Section I holds the incorporated clauses. Section J indexes the real attachments. Sections K, L, and M run the competition and mostly disappear after award.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 3

Contract Types

16 min

Every contract you work on has a type. That type determines who absorbs cost risk, how your fee is calculated, and what the government will scrutinize. Also covers the separate question of services vs. procurement contracts, and where personal services contracts cross a legal line.

Contract Type = Risk Allocation

Every contract has a type. That type is the single biggest factor in who bears the financial risk if things go wrong. The FAR's overarching principle is simple: use Firm-Fixed-Price whenever possible. When you can define requirements clearly and competition exists, FFP transfers cost risk to the contractor: maximum incentive for efficiency, minimum government oversight. When you can't define requirements precisely: when technology is immature, scope is uncertain, or effort is unknowable: you move toward cost-reimbursable contracts. Each step along that spectrum shifts more risk to the government and increases oversight burden. There's no free lunch: more government protection means more government involvement in your business.

THREE EVERYDAY ANALOGIES FOR THE BIG THREE

FFP is like getting a fixed-price quote for a kitchen remodel. The contractor quoted \$40,000, and that is what you pay whether it takes them three weeks or three months, whether lumber prices spike or not. Their problem, not yours. Cost-type (CPFF, CPIF, CPAF) is like paying a mechanic for time and parts with no final cost cap. You agreed to cover whatever it actually costs to fix the car, plus their fee. If it turns out to be a bigger job than expected, you pay more. Your risk, not theirs. T&M is like hiring a freelance developer by the hour with no end date in sight. You are paying for their time directly, and nothing stops the clock except you deciding to stop it. That is exactly why the government watches T&M hours so closely, there is no natural brake on the spending.

The Contract Type Spectrum

TYPE	FULL NAME	WHO BEARS RISK?	BEST USED WHEN	FAR REF
FFP	Firm-Fixed-Price	Contractor (100%)	Well-defined requirements; stable design; competitive market	FAR 16.202
FPIF	Fixed-Price Incentive (Firm)	Shared via formula	Design fairly mature; some cost uncertainty remains	FAR 16.403
CPIF	Cost-Plus-Incentive-Fee	Shared via formula	Development programs where cost targets can be set	FAR 16.304
CPAF	Cost-Plus-Award-Fee	Mostly Government	Complex services where performance quality is hard to quantify	FAR 16.305
CPFF	Cost-Plus-Fixed-Fee	Government (100%)	Early R&D; high tech risk; level-of-effort work	FAR 16.306
T&M	Time & Materials	Government (100%)	Cannot define hours/effort upfront; last resort; D&F required	FAR 16.601

Contract Type Definitions: Know These Cold

- **FFP (Firm-Fixed-Price):** Price locked at award. Contractor eats every dollar over budget. Government pays nothing extra. Maximum incentive for contractor efficiency. FAR 16.202. FFP is the government's preferred type: cost risk transfers to the contractor, creating strong efficiency incentives. Required for commercial items. Not appropriate for immature development: FFP on uncertain scope forces excessive contingency or creates underpriced contracts that result in default or claims.
- **FPIF (Fixed-Price Incentive Firm):** Starts like FFP with a target cost and ceiling price. Cost savings/overruns are shared via a ratio (e.g., 80/20) until the Point of Total Assumption (PTA), where contractor absorbs 100%. FAR 16.403. Key numbers: Target Cost, Target Profit, Ceiling Price, and share ratio. The share ratio (e.g., 80/20) means for every dollar over target cost, contractor absorbs 80 cents; government absorbs 20. Above the Ceiling Price the contractor bears 100%. Standard for LRIP as programs transition from development to production.
- **CPIF (Cost-Plus-Incentive-Fee):** Government pays all allowable costs. Contractor fee goes up if they beat the target cost, down if they overspend: but they always get reimbursed. Incentive is on cost performance. FAR 16.304. Appropriate for complex development where cost targets can be established. Fee range (min to max) must be specified: typically 4% to 12% of target cost. Gives the contractor a financial reason to control costs while protecting them from catastrophic loss on genuinely uncertain technical work.
- **CPAF (Cost-Plus-Award-Fee):** Government pays all allowable costs plus a base fee. Additional award fee is determined subjectively by a Fee Determining Official (FDO) after each evaluation period. No formula: purely judgment-based. Incentive is on performance quality. FAR 16.305. The award fee is

subjective: based on the government's evaluation of performance quality, responsiveness, and management, not formulas. An Award Fee Plan defines evaluation criteria and periods. The FDO (often the PM or PEO) evaluates performance each period. Award fees are powerful motivators but require significant government evaluation effort.

- **CPFF (Cost-Plus-Fixed-Fee): Government pays all allowable costs plus a fixed fee that never changes regardless of actual cost. No financial incentive for contractor to control costs. Used for early R&D where cost estimation is impossible.** FAR 16.306. CPFF gives the least incentive to control costs: the fee doesn't change whether the contractor performs efficiently or not. Appropriate for exploratory R&D, studies, and work where scope is genuinely unknowable. Completion CPFF ties the fee to delivering a result; Term CPFF ties it to a level of effort with no specified end result.
- **T&M (Time & Materials): Government pays hourly labor rates plus materials at cost. No cap on hours unless a ceiling is set. Least preferred: requires a D&F that no other type is suitable and active CO surveillance.** FAR 16.601. T&M is the riskiest type for the government. FAR requires documentation that no other type is suitable, a ceiling price, and enhanced COR surveillance. Most common for emergency repairs, undefinitized periods before FFP is negotiated, and situations where level of effort is genuinely unknowable.

I've watched two PMs run nearly identical programs under two different contract types and behave like completely different people. The one on FFP tracked every dollar like his job depended on it, because it did. The one on CPAF spent more time in the COR's office than at his desk, because his fee depended on that relationship as much as the work itself. Same job title, same technical scope, completely different instincts. That's what contract type actually does to you. On **FFP**, you eat every dollar over budget, so budget discipline is survival. On **CPAF**, your fee is someone's subjective judgment call, so your relationship with the COR and program office PM directly determines whether you get paid well for the same work. On **T&M**, the government watches your hours like a hawk and questions everything. **Know your contract type before your first status meeting.** Understand how your fee is calculated, what the government is evaluating, and what the upside and downside actually look like. If you're on a CPAF contract and you don't know when the next award fee period ends, you're leaving money on the table.

THE FAR'S HIERARCHY OF PREFERENCE

FAR 16.103(d) requires the contracting officer to document the contract type selection rationale in the written acquisition plan. The presumption is FFP. Every step away from FFP must be justified. An undocumented contract type decision is a significant finding in a contract audit.

HEADS UP: FAR PART 16 IS MID-REWRITE

FAR Part 16 (Types of Contracts) is one of the parts already touched by the Revolutionary FAR Overhaul: it was updated again on July 1, 2026 to implement Executive Order 14402, Promoting Efficiency, Accountability, and Performance in Federal Contracting. The core contract types and risk logic on this page haven't changed, but the FAR 16.XXX citations above reflect the pre-overhaul numbering. Where an agency has adopted the RFO Part 16 deviation, verify current clause numbering at [acquisition.gov/far-overhaul](https://www.acquisition.gov/far-overhaul) before citing a FAR reference in a proposal or acquisition plan.

CPIF Share Ratio: How It Works**T&M CONTRACTS REQUIRE SPECIAL JUSTIFICATION**

Time & Materials (T&M) and Labor-Hour (LH) contracts provide the least incentive for efficient performance. FAR 16.601(c) requires a D&F (Determination and Findings) that no other contract type is suitable. T&M contracts must also have a ceiling price that the contractor cannot exceed without CO approval.

CONTRACT TYPE IN DEVELOPMENT PROGRAMS

Defense development programs often evolve through contract types: CPFF or CPIF during early development (high technical risk), transitioning to FPIF as design matures, then FFP for production. This progression mirrors the risk reduction achieved through the acquisition lifecycle.

INTERMEDIATE**Contract Type Strategy for Mid-Career PMs**

Contract type is decided during acquisition planning. Before the contractor is even selected. By the time the RFP drops, the risk structure is locked in. Mid-career PMs need to think beyond "who bears risk" to incentive design. A CPIF with an 80/20 share ratio incentivizes cost control. A 50/50 ratio gives the contractor less motivation. They keep more of every dollar saved, which sounds good, but also absorbs less of every overrun. For schedule incentives: CPIF-CPAF combinations work well. The fixed fee covers profit at plan, the incentive fee rewards cost performance, and the award fee rewards schedule and technical performance. Complex programs often use multiple CLINs with different contract types. A development CLIN at CPFF, a production option at FFP. Design the structure so each CLIN type matches the actual risk profile of that work, not a one-size-fits-all label.

ADVANCED**UNDEFINITIZED CONTRACT ACTIONS (UCAS): THE MOST DANGEROUS CONTRACT TOOL**

A UCA (Un definitized Contract Action) is a contract started before price is agreed. They're authorized under FAR 16.603 and DFARS 217.74. But they're the source of some of the worst cost outcomes in DoD acquisition. DFARS requires definitization within 180 days or 40% of not-to-exceed value obligated. Whichever comes first. In practice, programs routinely miss these deadlines. Definitization happens after the contractor has already incurred most costs, which completely eliminates your negotiating leverage. The contractor who knows you MUST definitize has zero incentive to reduce costs. They've already spent the money. You're just arguing over who pays for it. Senior PMs: minimize UCAs. Use them only when genuine urgency justifies starting before price is agreed. And when you do use one, definitize aggressively. Before the contractor has spent their way into a position of strength.

A Different Question: Services or Procurement?

Everything above is about pricing structure, who bears cost risk. There is a completely separate question you have to answer on every acquisition: are you buying a thing, or are you buying effort? A procurement (or supply) contract buys a deliverable: a radar system, a fleet of vehicles, spare parts, software licenses. You know what you are getting when the contract is signed, and acceptance is usually a matter of testing the thing against a spec. A services contract buys labor and effort toward an outcome or a set of tasks: program management support, IT help desk staffing, engineering analysis, maintenance labor. There is nothing to physically inspect at delivery. You are buying people's time and expertise, which creates a completely different set of risks than a supply contract, and one specific risk that can get both the government and the contractor in real trouble.

PERSONAL SERVICES CONTRACTS: THE LINE YOU CANNOT CROSS

A personal services contract is one where the government effectively supervises contractor employees the same way it would supervise its own federal employees: setting their day-to-day work assignments, dictating hours, controlling how the work gets done rather than just what gets done. FAR 37.104 makes this the default answer: personal services contracts are prohibited unless a specific statute authorizes them. The government is not supposed to create employer-employee relationships with contractor personnel. A properly structured non-personal services contract buys an outcome or a defined scope of work. The contractor manages their own people: who does the work, how they are supervised, and how the task gets done. The government states the requirement and evaluates the result, not the process. The real-world issue: this line gets crossed constantly, almost never on purpose. A COR who assigns a contractor employee's daily tasks, sets their exact working hours, includes them in the government's own staff meetings and org chart, or directs their work the same way they would a government employee's, has started creating what looks like an illegal personal services relationship. This is sometimes called *de facto* personal services, and it is a genuine finding that auditors, IGs, and GAO look for on services contracts. It also creates real legal exposure for the contractor employee, who could end up viewed as a co-employee of the government for benefits and liability purposes.

What to Actually Watch For on a Services Contract

- **Direction should flow through the SOW or PWS, not day-to-day verbal instructions** If a COR is telling a contractor employee what to do hour by hour instead of managing to the contract's statement of work, that is a personal services red flag. Direction belongs in writing, tied to the contract, not delivered like a supervisor assigning tasks.
- **Contractor employees should not appear on government org charts, phone directories, or staff rosters as if they were government staff** This is one of the most common and most avoidable mistakes. It visually signals an employer-employee relationship even when none was intended.
- **The contractor, not the government, sets schedules, assigns specific personnel, and manages performance of its own employees** If the government is approving contractor employee leave requests or setting their shift schedules, that is government behavior appropriate for a government employee, not a contractor.
- **Watch for scope creep that quietly shifts a non-personal services contract into personal services territory** A contract can start out properly structured and drift over time as the relationship gets comfortable and the COR starts treating a familiar contractor employee like one of the team. This drift is exactly what internal reviews and IG audits are trained to catch.

Key Terms

FFP

Firm-Fixed-Price. Price is set at award and does not change. Contractor bears 100% of cost risk. Most preferred by FAR. Used when requirements are well-defined and market competition exists. (FAR 16.202)

FPIF

Fixed-Price Incentive (Firm Target). Has a target cost, target fee, ceiling price, and share ratio. Contractor and government share cost savings/overruns up to the ceiling. Above the Point of Total Assumption (PTA), contractor absorbs 100%. (FAR 16.403-1)

CPFF

Cost-Plus-Fixed-Fee. Government reimburses all allowable costs plus a fixed fee that does not change with cost performance. Contractor has no financial incentive to control costs. Used for R&D and early development where costs cannot be estimated. (FAR 16.306)

CPIF

Cost-Plus-Incentive-Fee. Government reimburses all allowable costs, and the fee adjusts based on cost performance against a target. If the contractor beats the target cost, fee goes up; if they overspend, fee goes down. Still cost-reimbursable. Government pays all costs regardless. (FAR 16.304)

CPAF

Cost-Plus-Award-Fee. Government reimburses all allowable costs plus a base fee, with additional award fee determined subjectively by a Fee Determining Official (FDO) based on periodic performance evaluations. Unlike CPIF, the award fee is not tied to a formula. It is a judgment call. Used when performance quality matters more than cost control. (FAR 16.305)

T&M

Time & Materials. Contractor is paid fixed hourly labor rates plus actual material costs. Government bears essentially all cost risk since there is no ceiling on hours. Requires CO surveillance and a not-to-exceed ceiling. D&F required to justify use. (FAR 16.601)

Share Ratio

In incentive contracts, the split of cost savings or overruns between government and contractor (e.g., 80/20 means government absorbs 80¢ and contractor keeps/loses 20¢ of every dollar above/below target cost).

PTA

Point of Total Assumption. On an FPIF contract, the cost level at which the contractor has lost all its fee and begins absorbing 100% of additional costs. Above the PTA, the contract behaves like FFP.

D&F

Determination and Findings. A documented government decision required to justify use of certain contract types (e.g., T&M, cost-reimbursable) or acquisition actions that deviate from standard FAR policy.

Services Contract

A contract that buys labor and effort toward an outcome, such as program management support or IT staffing, rather than a physical or software deliverable.

Procurement (Supply) Contract

A contract that buys a deliverable, such as equipment, systems, or software licenses, which can be inspected and accepted against a spec.

Personal Services Contract

A contract where the government effectively supervises contractor employees like its own staff (day-to-day direction, set hours). Prohibited under FAR 37.104 unless specifically authorized by statute.

Non-Personal Services Contract

A properly structured services contract where the contractor, not the government, supervises its own employees and manages how the work gets done. The government evaluates the result against the SOW or PWS.

Knowledge Check

Which contract type places 100% of cost risk on the contractor and is most preferred by the FAR?

- A. Cost-Plus-Fixed-Fee (CPFF)
- B. Fixed-Price-Incentive-Firm (FPIF)
- ✓ C. Firm-Fixed-Price (FFP)
- D. Time & Materials (T&M)

WHY

Firm-Fixed-Price (FFP) is the government's most preferred contract type because it places maximum cost risk on the contractor, creating the strongest incentive for efficiency. Under FFP, if the contractor spends more than the agreed price, it absorbs the loss.

On a Cost-Plus-Incentive-Fee contract with a 70/30 share ratio, if the contractor comes in \$2M under the target cost, how much additional fee do they earn?

- A. \$2M
- B. \$1.4M
- ✓ C. \$0.6M
- D. \$0.7M

WHY

With a 70/30 (Government/Contractor) share ratio, the contractor earns 30% of cost savings. On a \$2M underrun: contractor additional fee = $30\% \times \$2M = \$0.6M$ added to their target fee. The government retains 70% of the savings (\$1.4M).

A Time & Materials contract requires what special documentation before award?

A. A Nunn-McCurdy waiver

✓ B. A Determination and Findings (D&F) that no other contract type is suitable

C. Congressional notification

D. A GAO protest review

WHY

Per FAR 16.601(d), T&M and Labor-Hour contracts require a written D&F (Determination and Findings) signed by the contracting officer (or higher official for contracts over \$1M) justifying that no other contract type is suitable. T&M provides the least incentive for efficiency and must be used only when necessary.

The Point of Total Assumption (PTA) on a Fixed-Price Incentive Firm (FPIF) contract is the point at which:

A. The government assumes 100% of remaining cost risk

✓ B. The contractor assumes 100% of cost overruns above the ceiling price

C. The target fee is fully earned

D. The contract converts to cost-plus

WHY

The PTA on an FPIF contract is the cost level at which the contractor absorbs 100% of additional costs: effectively making it FFP above that point. Beyond the PTA, the contractor's fee has been entirely eroded by the cost overrun sharing.

Which contract type is most appropriate for a program in early technology development where cost and technical scope cannot be well-defined?

A. FFP

B. FPIF

✓ C. CPFF

D. BPA

WHY

CPFF (Cost-Plus-Fixed-Fee) is appropriate when technical risk is high and costs cannot be reliably estimated. The government pays all allowable costs plus a fixed fee that does not change with cost performance. It is the standard for early R&D work covered by FAR Part 35.

Under FAR 16.103, what must the contracting officer document to justify the chosen contract type?

A. A cost analysis certified by the comptroller

✓ **B. Written rationale in the acquisition plan explaining why the chosen type is appropriate**

C. Congressional approval for non-FFP contracts

D. A GAO pre-award review

WHY

FAR 16.103(d) requires the contracting officer to document the contract type selection rationale in the written acquisition plan. This is a standard audit requirement: unsupported contract type decisions are a common finding in IG and GAO reviews.

A Cost-Plus-Award-Fee (CPAF) contract is distinguished from CPIF in that the award fee is:

A. Calculated using a fixed formula tied to cost performance

✓ **B. Subjectively determined by the government based on overall performance evaluation**

C. Paid automatically at contract completion

D. The same as the base fee on a CPFF contract

WHY

CPAF award fees are subjectively evaluated by a government Fee Determining Official (FDO) based on qualitative performance criteria. This makes CPAF useful for service contracts where the quality of performance matters most. CPIF, by contrast, uses a formula-based fee tied to measurable cost targets.

Which contract type is specifically PROHIBITED for use with commercial items under FAR Part 12?

A. FFP

B. FPIF

✓ **C. Cost-reimbursable contracts (CPFF, CPIF, CPAF)**

D. T&M

WHY

FAR 12.207 prohibits the use of cost-reimbursable contracts for the acquisition of commercial items. Commercial items must use FFP, FPIF, or T&M/LH contract types. This rule reflects the commercial marketplace reality that vendors sell at firm prices, not on a cost-reimbursable basis.

What is the primary advantage of an FPIF contract over a pure FFP contract for a development program?

- A. FPIF requires less government oversight
- ✓ **B. FPIF shares cost risk while still incentivizing cost control**
- C. FPIF allows the contractor unlimited cost reimbursement
- D. FPIF requires no competition

WHY

FPIF shares cost risk between government and contractor through a negotiated share ratio, while maintaining a firm ceiling price. This is appropriate when some cost uncertainty exists but a pure cost-plus arrangement is not warranted. The incentive structure motivates the contractor to control costs without fully absorbing unpredictable risk.

The FAR preference for contract type selection, in order from most to least preferred, is:

- A. T&M → CPFF → FPIF → FFP
- ✓ **B. FFP → FPIF → CPIF → CPFF → T&M**
- C. CPFF → FFP → T&M
- D. CPIF → FFP → CPFF → T&M

WHY

The FAR preference order moves from maximum contractor risk (FFP) to maximum government risk (T&M/CPFF): FFP → FPI → Cost-Reimbursable (CPIF, CPFF, CPAF) → T&M/LH. Each step requires additional justification and imposes greater government oversight obligations.

Order these contract types from HIGHEST contractor risk to LOWEST contractor risk:

CORRECT ORDER

1. FFP: Firm-Fixed-Price (Contractor 100%)
2. FPIF: Fixed-Price Incentive Firm (Shared, formula-based)
3. CPIF: Cost-Plus-Incentive-Fee (Mostly Government)
4. CPAF: Cost-Plus-Award-Fee (Mostly Government, subjective)
5. T&M: Time & Materials (Government ~100%)

WHY

FFP places 100% cost risk on the contractor: they absorb every dollar over budget. FPIF shares risk via a formula up to the ceiling/PTA. CPIF reimburses all costs with incentive fee adjustments. CPAF reimburses all costs with subjective award fee. T&M reimburses hours + materials with no ceiling unless set: government bears virtually all cost risk.

Match each contract type to the scenario where it is **MOST** appropriate:

CORRECT MATCHES

FFP	Stable requirements, mature design, competitive market
FPIF	Design mostly mature; some cost uncertainty remains
CPFF	Early R&D; cost cannot be estimated with any confidence
T&M	Undefined hours/effort; last resort; D&F required

WHY

Contract type selection must match the risk environment. FFP works when requirements are stable and competition exists. FPIF works when some cost uncertainty remains but a ceiling is feasible. CPFF works for early R&D where you truly can't estimate cost. T&M requires a D&F and is the last resort when effort is completely undefined.

What is the key distinguishing feature between a services contract and a procurement (supply) contract?

A. Services contracts are always cost-reimbursable, supply contracts are always FFP

✓ **B. A services contract buys labor and effort toward an outcome; a supply contract buys a deliverable that can be inspected against a spec**

C. Services contracts do not require a Statement of Work

D. Supply contracts cannot use incentive fee structures

WHY

The distinction is about what is actually being acquired, not the pricing structure. A procurement/supply contract buys a physical or software deliverable you can inspect and accept. A services contract buys labor and effort toward tasks or an outcome, with no physical item to inspect at delivery. Either type can use any pricing structure (FFP, CPFF, etc.).

A COR sets a contractor employee's exact daily work hours, assigns their tasks verbally each morning, and includes them on the government's internal staff roster. What compliance issue does this create?

A. None, this is standard COR oversight

✓ B. A potential de facto personal services contract, which is prohibited under FAR 37.104 without specific statutory authority

C. A T&M contract type violation

D. A Nunn-McCurdy reporting requirement

WHY

FAR 37.104 prohibits personal services contracts unless specifically authorized by statute, because they create an employer-employee relationship between the government and contractor personnel. Day-to-day supervision, dictating hours, and treating contractor staff like government employees, even unintentionally, is exactly what turns a properly structured non-personal services contract into an illegal de facto personal services arrangement.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 4

Source Selection

15 min

Walk through the source selection process from RFP to award decision.

How the Government Picks a Winner (in Plain English)

Think of source selection like a structured hiring process, except instead of interviewing candidates for a job, the government is scoring companies for a contract. The rules are published in advance, every decision gets written down, and a company that loses can challenge the result in court. That structure exists for two reasons: get the best value for taxpayers, and protect the government from accusations of playing favorites. Below is the 10-step process, grouped into 5 phases so it is easier to hold in your head.

The 10-Step Source Selection Process

Five phases. Ten steps. This is the exact order every competitive award moves through.

• Planning

- **Develop Acquisition Strategy** Contract type, competition approach, and evaluation method get locked in before anything is drafted. — Approved by the CO's supervisor before the solicitation is drafted. Large buys often start with an RFI or industry day.
- **Draft the RFP** Section L (how to write your proposal) and Section M (how it gets scored) are the two sections that matter most. — A mismatch between L and M is the single most common reason companies successfully protest an award.

• Solicitation

- **Issue Draft RFP** Industry gets 30-45 days to read it and flag anything confusing or unrealistic before it becomes final. — Skipping this step usually means more protests and more confusion after award.
- **Issue Final RFP** The clock starts. Companies typically get 45-60 days to prepare and submit a full proposal. — Rushed timelines quietly favor big companies with large proposal teams over smaller, qualified ones.

• Evaluation

- **SSEB Evaluation** A board of evaluators scores every proposal against the exact factors published in Section M: nothing else. — Every finding must be written down and tied to something specific in the proposal, not a gut feeling.
- **Competitive Range Determination** Proposals with no real shot at winning get cut here. Everyone else moves forward. — Getting cut here ends your chance at that award: you are entitled to a debrief on why.

- **Negotiation**

- **Discussions** If the government talks to one company still in the running about weaknesses in their proposal, it has to talk to all of them. — The CO cannot run an auction or leak one company's price to another. That is an automatic protest.
- **Final Proposal Revisions (BAFOs)** Every company gets one shot to submit their best and final offer by the same deadline. — You can only improve your offer here, never make it worse or take something back.

- **Decision**

- **SSAC Review** An advisory panel double-checks the evaluators' work and gives the final decision-maker a recommendation. — Advisory only: the person who actually decides is not required to follow it.
- **SSA Award Decision** The Source Selection Authority signs a written decision explaining exactly why the winner won. — A weak, vague award decision document is the government's single biggest protest vulnerability.

Same government dollar, two completely different ways to decide who earns it.

LPTA vs. Best Value Tradeoff

APPROACH	WHEN TO USE	RISK	EXAMPLE
LPTA	Well-defined requirements; commoditized services; minimal performance variation	Risk of minimum acceptable quality	Janitorial services, standard IT help desk
Best Value Tradeoff	Complex programs; performance matters; clear benefit to paying more	More subjective; higher protest risk	Software development, systems integration
Value Adjusted Total Evaluated Price (VATEP)	When non-cost factors can be monetized	Requires thorough methodology	Logistics support with reliability trade-offs

THE "EQUAL" EVALUATION OBLIGATION

Every offeror must be evaluated against the same factors, using the same standards. If the SSEB gives credit to offeror A for a feature not mentioned in Section L, and the same feature is overlooked in offeror B's proposal, that is a basis for a successful bid protest. Disciplined source selection panels document every finding.

PROTEST RISK MANAGEMENT

GAO bid protest rates have risen steadily. Best practices to minimize protest risk: use clear, specific evaluation criteria in Section M; document all evaluation findings with specific proposal citations; ensure debriefs are conducted professionally within 5 days of request; never deviate from stated evaluation factors regardless of CO or PM preference.

INTERMEDIATE**Shaping the Solicitation: What Mid-Career PMs Can Control**

By the time an RFP is released, the source selection outcome is largely determined by the evaluation criteria. Mid-career PMs who engage early in PWS/SOW development and Section M criteria weighting have the most influence. Push for evaluation factors that discriminate on the qualities that matter: management approach (how does the contractor plan to staff and manage the program?), cost realism (does their estimate reflect what the work actually costs?), and relevant past performance (not just any past performance). Weight price lower on high-complexity development work. The cheapest proposal is rarely the best value. The most common mistake: writing evaluation criteria so broad they discriminate on nothing, leading to a selection driven entirely by price.

ADVANCED**PROTEST-PROOFING YOUR SOURCE SELECTION**

GAO sustains about 15-20% of bid protests it reviews. Most sustained protests result not from wrong decisions, but from inadequate documentation of correct decisions. Senior PMs preparing for a source selection must ensure: (1) the SSDD documents the SSA's independent judgment. Not just a recitation of SSAC recommendations; (2) every strength and weakness is documented with specific proposal references; (3) the best-value tradeoff explicitly states why higher price is (or is not) worth better technical factors; (4) all offerors in the competitive range received equal treatment during discussions. The most protest-prone decision is the competitive range determination. Excluding an offeror requires thorough documentation of why their proposal has no realistic chance of award. Assume every decision will be reviewed by a GAO attorney.

When I'm writing a proposal, I read Section M before I read anything else. Before the SOW, before Section C, before the instructions. Section M is the scoring rubric. It tells me exactly what the evaluator is going to grade me on. Everything else in the proposal is in service of Section M. If an evaluation factor says "management approach" is the second-highest weighted factor, my best writer goes on that section, not on the technical approach. If past performance is pass/fail, I don't spend 20 pages on it. Most proposals I've reviewed spend the most effort on what the team knows best, not on what the government is actually scoring. Read M first. Build your outline from M. Then fill it in.

Key Terms

RFP

Request for Proposal. The government's solicitation document inviting offerors to submit proposals.

SSEB

Source Selection Evaluation Board. The team that evaluates proposals against established criteria.

SSAC

Source Selection Advisory Council. Senior advisory body that reviews SSEB results.

SSA

Source Selection Authority. The individual with authority to make the award decision.

LPTA

Lowest Price Technically Acceptable. Award to the lowest priced proposal that meets minimum requirements.

Best Value

Award to the proposal offering the best combination of technical merit and price.

Past Performance

An evaluation factor assessing the offeror's track record on similar contracts.

Knowledge Check

Which RFP section describes the evaluation factors and their relative importance used to select the contractor?

A. Section L

✓ B. Section M

C. Section C

D. Section H

WHY

Section M of a DoD RFP contains the evaluation factors and their relative importance (e.g., Technical > Past Performance > Price, or they may be listed as equal). Section L contains the instructions for proposal preparation. Offerors must directly address Section L requirements, knowing they'll be evaluated against Section M.

LPTA (Lowest Price Technically Acceptable) is most appropriate when:

A. The acquisition is for a complex, technically challenging development program

✓ B. Requirements are well-defined and there is minimal performance benefit to paying more

C. Past performance is the most important evaluation factor

D. International competition is expected

WHY

LPTA is used when requirements can be expressed precisely and performance above the minimum offers no added value. It's common for commodity services (janitorial, food service, standard IT maintenance). For complex programs where better performance justifies higher cost, Best Value Tradeoff is more appropriate.

The Source Selection Authority (SSA) is the individual who:

- A. Evaluates proposals on the SSEB
- ✓ **B. Has final authority to make the contract award decision**
- C. Chairs the Source Selection Advisory Council
- D. Prepares the government's independent cost estimate

WHY

The SSA is the senior official with final authority to make the source selection decision and execute the award. Depending on program value, the SSA may be the CO, PEO, or even a senior Service official. The SSA reviews the SSAC recommendation but is not bound by it: and must document the rationale for any deviation.

A contractor files a GAO bid protest after losing a contract award. What is the standard GAO resolution timeframe?

- A. 30 days
- B. 60 days
- ✓ **C. 100 days**
- D. 180 days

WHY

GAO is required to issue a decision within 100 days of the protest filing. An express option exists for 65 days. During this time, performance on the protested contract is typically suspended unless the agency overrides the stay. This 100-day window creates significant program schedule risk.

The Competition in Contracting Act (CICA) requires competition for most DoD acquisitions above what threshold?

- A. \$10,000
- B. \$25,000
- ✓ **C. \$350,000 (Simplified Acquisition Threshold)**
- D. \$1,000,000

WHY

CICA requires full and open competition for acquisitions above the Simplified Acquisition Threshold (SAT), currently \$350,000. Below the SAT, simplified acquisition procedures apply. Sole-source awards above the SAT require a written Justification and Approval (J&A).

During source selection, the Competitive Range Determination is used to:

A. Set the government's should-cost estimate range

✓ **B. Identify proposals with a reasonable chance of award to focus discussions**

C. Determine whether LPTA or Best Value applies

D. Establish the price range for negotiations

WHY

The Competitive Range Determination (FAR 15.306) identifies which offerors have a reasonable chance of being selected for award, allowing the government to focus discussions on viable competitors. Proposals outside the competitive range are eliminated. However, COs must document this decision carefully as exclusions are a common protest basis.

Discussions during source selection (FAR 15.306) must be conducted with:

A. Only the incumbent contractor

B. All offerors, regardless of technical rating

✓ **C. All offerors within the competitive range equally**

D. Only offerors whose price is within 10% of the lowest bid

WHY

FAR 15.306 requires that if discussions are held, they must be conducted with all offerors in the competitive range. The government must address significant weaknesses or deficiencies with each offeror. Engaging only certain offerors is a violation and a strong basis for a successful protest.

What is a "best value tradeoff" analysis primarily used to determine?

A. Which offeror has the lowest cost per unit

✓ **B. Whether the additional technical merit of a higher-priced proposal justifies the price premium**

C. The maximum price the government is willing to pay

D. The government's should-cost estimate

WHY

Best Value Tradeoff analysis weighs technical merit, past performance, and price against each other. The SSA must document that any price premium paid over the lowest-priced technically acceptable offer is justified by demonstrably superior technical or performance features.

A offeror requests a debriefing after losing a source selection. The government is required to provide the debriefing within:

✓ **A. 5 business days of the request**

B. 10 business days of request

C. 30 calendar days of award

D. Only if required by statute

WHY

FAR 15.505-15.506 requires that post-award debriefings be provided within 5 business days of the debriefing request. Timely, professional debriefs are critical: they help contractors improve future proposals and reduce protest likelihood by explaining the award rationale.

The SSEB (Source Selection Evaluation Board) evaluates proposals against which established document?

A. The government's cost estimate

✓ **B. The evaluation criteria published in Section M of the RFP**

C. The offeror's past performance database only

D. The program office's internal scoring matrix not shared with offerors

WHY

The SSEB evaluates every proposal exclusively against the criteria and standards stated in Section M of the RFP. Using unstated criteria or changing the evaluation standard mid-process is a violation of FAR Part 15 and the basis for a successful protest. Consistency and documentation are the SSEB's most important obligations.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 5

Contracts vs. Task Orders

14 min

Understand the fundamental distinction between base contracts and task orders. And why it matters for how work gets authorized, modified, and paid.

Two Levels of Agreement

Think of it like a hotel contract and a reservation. The hotel contract sets the rules: room rates, cancellation policy, what's included. The reservation is the specific authorization: room 412, three nights, Tuesday check-in. You can't just show up because you signed the contract. You need a reservation. In federal contracting, the **base contract** (the IDIQ) is the hotel contract. It sets labor rates, legal terms, applicable regulations, and the overall ceiling. The **task order (TO)** is the reservation: it authorizes specific work and obligates actual money. No task order, no work. Period. This two-level structure lets agencies order services on demand without running a full competition every single time. The vehicle is competed once. Then individual requirements are competed among the pool: faster, leaner, still competitive.

Single Award vs. Multiple Award

A **Single Award IDIQ** gives one contractor exclusive rights: no competition at the task order level. The government uses this when one firm has truly unique capabilities. It's the exception, not the rule. A **Multiple Award Contract IDIQ (MAC-IDIQ)** awards the base vehicle to several contractors. When the government has work, they run a mini-competition among those awardees. The winner gets the task order. FAR 16.504 prefers multiple awards because it keeps price competition alive after award: and gives the government a bench of qualified vendors to draw from. As a contractor PM, most of the vehicles you'll work on are MAC-IDIQs. **Winning the vehicle** gets you in the door. **Winning task orders** is how you actually make money.

The IDIQ Ordering Process (Step by Step)

- **Step 1: Requirement identified: program office describes the work** This is the most underinvested step in task order contracting: and it shows. A vague SOW produces vague proposals, scope disputes, and a contract that's hard to manage. A good task order SOW describes outcomes (what does "done" look like?), includes measurable acceptance criteria, and lists deliverables with format and timing. As a contractor PM, if the SOW is unclear before award, it will be a headache every single month of performance.
- **Step 2: Scope check: does this work fit the IDIQ?** The Contracting Officer checks whether the requirement actually falls within the IDIQ's scope. This matters more than people think. If work is placed outside the vehicle's scope, it's an improper order: essentially a sole-source contract without the required justification. Competitors can protest. For broad GWACs like OASIS+, scope is wide but not unlimited.

- **Step 3: Issue a TORFP to all pool members** The government sends a Task Order Request for Proposals (TORFP) to everyone holding a seat on the vehicle. It includes the SOW, evaluation factors, proposal instructions, and period of performance. Page limits are typically 10–30 pages (vs. 100+ for full proposals). Response windows are usually 7–30 days. This is your chance: how well you respond to the TORFP is what wins or loses the work.
- **Step 4: Fair opportunity: the government must notify all eligible awardees equally** Fair opportunity is the law, not a courtesy. The ordering CO must distribute the TORFP to all eligible pool members simultaneously with equal response time. The six exceptions that allow skipping fair opportunity are narrow: urgency, only one contractor is capable, logical follow-on, minimum guarantee, and national security. Anything else is protestable: and it gets protested.
- **Step 5: Evaluate proposals (lighter than a full competition, but still documented)** Task order evaluations skip the heavy Part 15 machinery: no formal discussions, no Source Selection Advisory Council. It's faster. But the evaluation must still follow the stated factors consistently and be written up in a way that can survive a protest. Task order awards absolutely can be protested to GAO. Sloppy documentation gets overturned.
- **Step 6: Award to best value (or LPTA, depending on the requirement)** Best value means the proposal offering the best combination of technical merit, past performance, and price: not automatically the lowest price. The CO documents the tradeoff rationale. For straightforward work with well-defined requirements, LPTA (Lowest Price Technically Acceptable) is used: the lowest price that meets the minimum technical bar wins. Most professional services go best value.
- **Step 7: Execute: the task order is its own contract in practice** Once awarded, the task order has its own period of performance, deliverables, COR, and CPARS rating. The COR monitors against the task order SOW, not the base IDIQ. Option years on the task order can be exercised independently of the base contract. As a contractor PM, this is your world: you are managing the task order, not the IDIQ.
- **Step 8: Modify the task order for changes: not the base IDIQ** When work changes, funding is added, or the period extends, those changes go on the task order: not the base IDIQ contract. Mods use the SF-30 and follow the same rules as standalone contract modifications. The base IDIQ is only modified for vehicle-level changes: extending the ordering period, raising the ceiling, or updating base pricing. If your COR tells you to do something new: stop and make sure a task order mod is coming.

THE FAIR OPPORTUNITY REQUIREMENT

FAR 16.505 requires that for MAC-IDIQ task orders over \$3,500, all awardees must receive a fair opportunity to compete: meaning each must receive notice of the opportunity and a reasonable time to respond. Six narrow exceptions allow sole-source task orders: urgency, only one awardee is capable, follow-on to a prototype, logical follow-on, minimum guarantee, and national security. Bypassing fair opportunity without a valid exception is illegal and a common IG finding.

IDIQ Contract Structure

Three things a PM on a MAC-IDIQ needs to know cold: their **task order** (what work is authorized), their **SOW/PWS** (what they're obligated to deliver), and their **funding** (how much is actually on contract). The IDIQ base contract is the vehicle. The task order is the game. I've seen PMs confused about why their invoices aren't getting paid, and it's because they were billing against a CLIN that doesn't have money on the task order. Know your TO like you know your own name.

Common DoD IDIQ Vehicles by Type

CONTRACT VEHICLE	TYPE	ADMINISTERED BY	BEST FOR
OASIS+	MAC-IDIQ GWAC	GSA	Professional services across all disciplines
Alliant 2	MAC-IDIQ GWAC	GSA	Large-scale IT services and solutions
STARS III	MAC-IDIQ GWAC (SDVOSB/SB)	GSA	IT services, small business set-aside
SeaPort-NxG	MAC-IDIQ	NAVSEA	Navy engineering and program support
AFCAP IV	MAC-IDIQ	AFCEC	Air Force contingency base support
EAGLE II	MAC-IDIQ	DHS	IT solutions for DHS components

TASK ORDER VS. CONTRACT MODIFICATION: DON'T CONFUSE THEM

A modification to a task order changes the scope, funding, or schedule of that specific task. A modification to the base IDIQ changes the contract-wide terms: labor rates, clauses, ceiling value, ordering period, or adding/removing CLINs. Most day-to-day changes (adding work, extending a PoP, adding funding) are task order mods. Changes to underlying pricing or terms require base contract modifications.

INTERMEDIATE

IDIQ Management: Ceiling, Scope, and Competition

Mid-career PMs working IDIQs and GWACs need to hold three constraints in their head simultaneously: the ceiling, the scope, and the competition rules. **The ceiling** sets the max dollar value of all orders combined. You can't exceed it without a base contract mod. The minimum guarantee is small: the government is not obligated to give you any specific amount above that. **Scope** limits what work can

actually go on the vehicle. Task orders must be within the IDIQ's defined scope. Ordering outside scope is an improper action: it's a protest magnet and an IG finding. Some programs try to stretch scope to use a preferred vehicle. Competitors notice. **Competition** requirements mean most IDIQs require fair opportunity for any order above \$3,500. The most common mistake at this level: picking a vehicle because it's familiar rather than because it's the right fit: then forcing the requirement to fit the scope.

ADVANCED**BRIDGE CONTRACTS AND OPTION EXERCISE DISCIPLINE**

Two of the most common contracting failures senior PMs face: bridge contracts and missed option windows. Bridge contracts: short-term extensions to maintain continuity between vehicles: are technically legal. But they signal poor acquisition planning, attract GAO scrutiny, and typically cost more because competition is waived. The real problem: the bridge becomes a habit. Some programs have been "on bridge" for five-plus years, paying a sole-source premium indefinitely. Option exercise discipline: options must be exercised before the expiration date: missed windows forfeit the option entirely and require a new full competition. Build a 90-day calendar trigger for every option on every task order you own. The J&A you'll need to write for a bridge contract after a missed option is a career embarrassment that documents your planning failure for the record.

Key Terms

IDIQ

Indefinite Delivery / Indefinite Quantity. A contract type that establishes terms and conditions for ordering supplies or services over time.

Task Order (TO)

An order for services placed under an IDIQ contract. The mechanism that authorizes and funds specific work.

Delivery Order (DO)

An order for supplies placed under an IDIQ contract (parallel to task order, but for products).

MAC-IDIQ

Multiple Award Contract IDIQ. Competition is split among multiple awardees who then compete for individual task orders.

GWAC

Government-Wide Acquisition Contract. An IDIQ available for use by multiple federal agencies, awarded by a lead agency.

Ordering Period

The time window during which task orders may be placed under an IDIQ contract (distinct from the period of performance on individual TOs).

Ceiling

The maximum dollar value of all orders that may be placed under an IDIQ contract.

Minimum Guarantee

The minimum value the government is obligated to order under an IDIQ. Typically a nominal amount (\$1,000–\$25,000).

Fair Opportunity

The requirement under FAR 16.505 to provide each MAC-IDIQ awardee a fair opportunity to compete for each task order over \$3,500.

BPA

Blanket Purchase Agreement. A simplified ordering agreement under GSA Schedule or open market, similar in concept to an IDIQ but without minimum/maximum guarantees.

Knowledge Check

Under a Multiple Award IDIQ contract, what is the primary mechanism that actually authorizes a contractor to begin work and obligates government funding?

A. The base IDIQ contract award

✓ **B. A task order (or delivery order) issued under the IDIQ**

C. A Blanket Purchase Agreement call

D. A contract modification to the base IDIQ

WHY

The IDIQ base contract establishes the legal framework and terms but does NOT authorize specific work or obligate funds. A task order (or delivery order for supplies) is the mechanism that authorizes a specific scope of work and obligates the corresponding funding. No work should begin without an issued task order.

What is the minimum guarantee on an IDIQ contract, and why does it exist?

A. 50% of the contract ceiling, to ensure the contractor recovers setup costs

✓ **B. A nominal amount (typically \$1K–\$25K) obligated at award, protecting the contractor from a zero-value contract**

C. The amount needed to fund the first task order

D. The government's estimated annual spend, used for market research

WHY

The minimum guarantee is a nominal amount (typically \$1,000–\$25,000) obligated at contract award that represents the government's only guaranteed obligation under the IDIQ. It protects the contractor from the scenario where no task orders are ever placed. Above the minimum, the government has no obligation to order any specific amount up to the ceiling.

FAR 16.505 requires "fair opportunity" for MAC-IDIQ task orders above what threshold?

- A. \$100,000
- B. \$350,000
- ✓ C. **\$3,500**
- D. \$1,000,000

WHY

FAR 16.505 requires that all MAC-IDIQ awardees receive fair opportunity to compete for task orders exceeding \$3,500. Below this threshold, the contracting officer may place orders without following the fair opportunity procedures. This relatively low threshold means nearly all meaningful task orders require fair opportunity competition.

What distinguishes an IDIQ contract from a Blanket Purchase Agreement (BPA)?

- A. BPAs have a maximum ceiling; IDIQs do not
- ✓ B. **IDIQs have enforceable minimum/maximum quantities; BPAs have no such guarantees**
- C. BPAs require full and open competition; IDIQs do not
- D. IDIQs are only for services; BPAs are only for supplies

WHY

IDIQs have both a minimum guarantee (legally obligated at award) and a maximum ceiling (cannot exceed). BPAs are simplified ordering arrangements: typically against GSA Schedule contracts: with no minimum guarantee and no maximum ceiling (though agencies usually set an estimated value). BPAs are simpler to establish but provide less legal certainty.

The "ordering period" on an IDIQ contract refers to:

- A. The period of performance for individual task orders
- ✓ B. **The time window during which new task orders may be placed against the IDIQ**
- C. The fiscal year in which funds were appropriated
- D. The time from award to the first task order competition

WHY

The ordering period defines when task orders may be placed. A common structure is 5 years base plus one 5-year option. Task order periods of performance CAN extend beyond the IDIQ ordering period (a common misconception): what matters is that the task order itself was awarded before the ordering period closed.

Which of the following is NOT a recognized exception to the fair opportunity requirement under FAR 16.505?

- A. Urgency: need so urgent that fair opportunity would cause harm
- B. Only one IDIQ awardee is technically capable of performing the work

✓ C. The contracting officer prefers working with a particular contractor

- D. Minimum guarantee: task order to fulfill the contract's minimum

WHY

Personal preference is never a valid exception to fair opportunity. The six valid exceptions are: urgency, only one awardee is capable, logical follow-on to a prototype, follow-on for consistency, minimum guarantee order, and national security. Violating fair opportunity without a documented exception is a serious contracting violation.

The IDIQ contract vehicle OASIS+ (administered by GSA) is best described as:

- A. A single-award IDIQ for IT services only

✓ B. A Government-Wide Acquisition Contract (GWAC) MAC-IDIQ for professional services available to all federal agencies

- C. A Navy-specific contract vehicle for shipbuilding support
- D. A simplified acquisition tool for purchases under \$350K

WHY

OASIS+ (One Acquisition Solution for Integrated Services Plus) is a GSA-administered GWAC MAC-IDIQ that provides professional services across multiple functional areas (management consulting, engineering, R&D, financial management, logistics, IT) to all federal agencies. It replaced the original OASIS contract and is structured with unrestricted and small business pools.

A program manager wants to add new work to an existing task order that was not in the original task order statement of work. The correct action is to:

- A. Issue a new task order for the additional work
- B. Verbally direct the contractor to start the new work immediately

✓ C. Execute a task order modification adding the new scope and corresponding funding

- D. Award a new sole-source contract for the additional work

WHY

New in-scope work under an existing task order should be incorporated through a task order modification (bilateral mod signed by both parties, or a unilateral mod if using Changes clause). The modification adds the scope and obligates additional funding. Simply directing the contractor to start work without a mod is an unauthorized commitment and a constructive change.

Under a MAC-IDIQ, when a task order competition results in an award, which document governs the evaluation of task order proposals?

- A. The evaluation criteria in the original base IDIQ solicitation

✓ B. The task order Request for Proposal (TORFP) issued to the pool

- C. The Federal Acquisition Regulation Part 15 formal source selection process
- D. The GSA Price List for schedule contracts

WHY

Task order competitions use a Task Order Request for Proposal (TORFP) that specifies the requirements, evaluation factors, and instructions for that specific task. This is typically a simplified process compared to full FAR Part 15 source selection: but the same principles of consistency and documentation apply, and task order awards can be protested to GAO or the CO.

A government program has multiple contractors all holding IDIQ contracts under the same MAC vehicle. To place a task order, the ordering officer must:

A. Select whichever contractor most recently won an order to balance workload

✓ B. Issue a TORFP providing all eligible pool members a fair opportunity to compete

C. Always select the lowest-priced contractor from the original competition

D. Get CO approval only if the order exceeds the simplified acquisition threshold

WHY

Under a MAC-IDIQ, the ordering officer must provide all pool members a fair opportunity to compete by issuing a TORFP. This maintains competition at the task order level and is the core benefit of the MAC-IDIQ structure. Bypassing fair opportunity without a valid FAR 16.505 exception is illegal.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 6

IDIQs, GWACs & A&AS

18 min

Master the full spectrum of defense contract vehicles. From IDIQ structures and fair opportunity rules to A&AS categories and GWACs that define how defense contractors win recurring work.

What an IDIQ Actually Is

IDIQ stands for Indefinite Delivery, Indefinite Quantity. It is a contract vehicle that does not buy any specific work up front. It just sets a ceiling value and a minimum guarantee, and creates the legal pathway for the government to later order actual work through task or delivery orders. GWACs, MACs, and BPAs are all variations on this same basic idea: get on the vehicle first, then compete for the real work. Before a single proposal is written, before a capture plan is built, the most consequential BD decision a defense contractor makes is which contract vehicles to pursue and hold. The vehicle you're on determines what opportunities you can see, which agencies you can serve, and whether you're competing in a pool of 3 contractors or 300. Winning a place on the right IDIQ vehicles is the infrastructure of a sustainable defense business. Task order wins are built on top of it.

Contract Vehicle Types: Know the Differences

VEHICLE TYPE	SCOPE	WHO CAN USE	ENTRY DIFFICULTY	BEST FOR
IDIQ (Agency-Specific)	Agency-specific requirements	Named awardees only	Moderate–High	Recurring work with target agency
GWAC	Government-wide	All federal agencies	High: rigorous qualification	IT, professional services across agencies
GSA MAS	Commercial items/services	All federal agencies	Low–Moderate	Commercial-type offerings, product sales
BPA	Agency/base-level recurring needs	Specific CO only	Low	Recurring small purchases, simplified acquisitions
OTA	R&D / Prototype only	Sponsoring agency	Moderate (consortium model)	Innovation, rapid prototyping under 10 U.S.C. § 4022

Single Award vs. Multiple Award IDIQ: The Revenue Tradeoff

The choice between single and multiple award structures reflects a fundamental government tradeoff between competition and efficiency. Single award IDIQs deliver maximum revenue certainty for the

winner. But they require the government to demonstrate that only one firm is capable, which is increasingly difficult to defend. Multiple award IDIQs dominate the defense services landscape precisely because they maintain competition at the task order level while reducing the procurement overhead of re-competing each requirement from scratch.

FAIR OPPORTUNITY IS THE RULE: EXCEPTIONS ARE NARROW

Under FAR 16.505, the government must give all MA-IDIQ awardees a fair opportunity to be considered for every task order. The five exceptions. Unusual urgency, only one awardee capable, public interest sole source, logical follow-on, and minimum order. Are each legally constrained and routinely protested. Never assume an exception applies. If a competitor receives a task order without fair opportunity competition, GAO protest is a viable and often successful remedy.

Single vs. Multiple Award IDIQ: Side by Side

FEATURE	STANDALONE CONTRACT	SINGLE AWARD IDIQ	MULTIPLE AWARD IDIQ
Competition Level	Full & Open or Set-Aside	Single competition at award	Competition at vehicle + each task order
Revenue Certainty	High (if awarded)	Very High	Moderate: depends on win rate
Entry Difficulty	Moderate to High	Very High	Moderate
Typical Duration	1–5 years	5–10 years	5–10 years
BD Effort Post-Award	Low	Low	High: continuous task order competition
Common Use Cases	Unique, defined scope	Specialized capability, single source	Broad services, IT, professional services

Advisory and Assistance Services (A&AS): What It Means for Contractors

A&AS is not just a label. It is a formal acquisition category under FAR 37.2 with regulatory implications for how contracts are structured, what personnel qualifications may be required, and how inherently governmental function boundaries are applied. Being categorized as A&AS often means higher scrutiny, more demanding performance standards, and greater government oversight of your personnel qualifications. But it also means access to some of the most stable, high-value recurring work in the defense space.

The Three A&AS Subcategories: Know Yours

- **Management and Professional Support Services: program management support, financial management consulting, organizational studies, strategic advisory. This is where most large defense service firms compete.** This subcategory covers program office support contracts: the analysts, program managers, financial advisors, and organizational consultants that work alongside government personnel. These are among the most sensitive A&AS contracts because contractors are often deeply embedded in government decision-making processes, raising inherently governmental function concerns.
- **Studies, Analyses, and Evaluations: research, assessments, analytical work products, independent evaluations. Requires demonstrated analytical methodology and cleared personnel for sensitive assessments.** This covers FFRDC-type work performed by for-profit contractors: alternatives analyses, cost-benefit studies, program assessments, policy research. Contractors in this space must be especially careful about organizational conflicts of interest: if you evaluate a program for which your parent company is also bidding, that's a textbook OCI.
- **Engineering and Technical Services: support to acquisition programs including systems engineering, technical advice, test support, and logistics engineering. The backbone of major program office support contracts.** This is the largest A&AS subcategory by dollar volume. SETA (Systems Engineering and Technical Assistance) contracts provide integrated engineering support to program offices. SETA contractors often have significant influence over requirements and acquisition strategy: which makes OCI management critical and inherently governmental function boundaries essential to enforce.
- **A&AS-D (Digital): emerging Air Force/Space Force category covering digital engineering, DevSecOps support, software factory integration, and digital transformation advisory. Contractors without demonstrated digital credentials will find these task orders increasingly difficult to compete.** A&AS-D reflects the DAF's push toward digital-first acquisition. Contractors must demonstrate Platform One familiarity, IL4/IL5 cloud delivery experience, and DevSecOps credentials. This category is growing rapidly: contractors without demonstrated digital engineering credentials are increasingly finding traditional A&AS work difficult to retain on recompet.

A&AS WORK AND OCI GO HAND IN HAND

- **Section H: The Special Requirements That Run Your Program** Full breakdown of Organizational Conflict of Interest: the 3 types and why A&AS/SETA contractors hit this constantly

The Major GWACs: Which Vehicles to Target

GWACs represent the premium tier of the defense contracting vehicle landscape. They require the most rigorous qualification process and carry the highest competition at task order level. But they open the entire federal marketplace, not just a single agency. The strategic value of a GWAC position compounds over time as you build past performance, expand to new agencies, and develop relationships across the federal enterprise.

Key Defense & Federal GWACs

GWAC	MANAGED BY	SCOPE	KEY FOR	SET-ASIDE POOLS
OASIS+	GSA	Complex professional services: PM, management consulting, engineering, logistics	Large businesses + SB set-aside pools	Yes: SB, SDB, 8(a), SDVOSB, HUBZone, WOSB
CIO-SP4	NIH	IT services and solutions	IT-focused defense contractors	Yes: unrestricted + small business
Alliant 3	GSA	Large-scale IT solutions and services	Large prime IT integrators	Unrestricted only
STARS III	GSA	IT services for small businesses	Small businesses in IT/cyber/cloud	Small business only
SEWP VI	NASA	IT products and product-related services	Product-heavy offerings	Mixed pools

OTA WARNING FOR CONTRACTORS

Other Transaction Agreements under 10 U.S.C. § 4022 are NOT contracts in the FAR sense. They bypass standard procurement regulations. This makes them attractive for speed but requires careful legal and DCAA awareness. OTAs executed through consortium managers (like NSTXL, AFWERX, or DIU) have different terms than traditional contracts. Always have acquisition counsel review OTA terms before executing. Particularly around IP rights, audit access, and flow-down requirements.

Building Your Vehicle Portfolio Strategy

A mature defense contractor does not pursue every vehicle. It builds a deliberate portfolio aligned to its core capabilities, target agencies, and growth strategy. The right vehicle mix balances near-term revenue (agency-specific IDIQs where you have relationships) with long-term expansion (GWACs that open new agencies) and specialized positioning (set-aside vehicles that make use of socioeconomic certifications). Map every pursuit in your pipeline to a vehicle before you commit proposal resources.

Key Terms

IDIQ

Indefinite Delivery, Indefinite Quantity. A contract type that establishes a ceiling value and minimum guarantee, under which the government orders services or supplies via task or delivery orders.

Single Award IDIQ

An IDIQ where one contractor holds the vehicle and receives all task orders without further competition. Highest revenue certainty; hardest to win.

MA-IDIQ

Multiple Award IDIQ. The dominant defense contracting model. Multiple contractors hold the vehicle; task orders are competed among awardees under fair opportunity provisions (FAR 16.505).

Fair Opportunity

FAR 16.505 requirement that all MA-IDIQ awardees receive a fair opportunity to be considered for each task order. Exceptions are narrow and scrutinized.

A&AS

Advisory and Assistance Services. A formal acquisition category under FAR 37.2 covering management advisory functions, studies and analyses, and engineering and technical services.

GWAC

Government-Wide Acquisition Contract. A pre-competed IDIQ vehicle available to all federal agencies. Examples: OASIS+, CIO-SP4, Alliant 3, STARS III.

GSA MAS

GSA Multiple Award Schedule. Allows contractors to sell pre-negotiated commercial products and services to federal agencies. A marketing platform, not a revenue guarantee.

BPA

Blanket Purchase Agreement. A simplified acquisition mechanism for recurring needs, established against an existing contract or GSA Schedule.

MAC

Multiple Award Contract. Umbrella term for any contract vehicle where multiple awardees compete for individual task orders.

A&AS-D

Advisory and Assistance Services. Digital. Emerging subcategory covering digital engineering, DevSecOps support, and digital transformation advisory. Growing across Air Force and Space Force.

OASIS+

One Acquisition Solution for Integrated Services Plus. GSA's flagship professional services GWAC replacing the legacy OASIS vehicle. Covers complex professional services including program management, management consulting, and engineering.

CIO-SP4

Chief Information Officer Solutions and Partners 4. NIH's GWAC for IT services and solutions. One of the most widely used GWACs across civilian and defense agencies.

Knowledge Check

Under FAR 16.505, what is the default rule for task order competition on a Multiple Award IDIQ?

A. The government may award to any awardee at its sole discretion

Incorrect for MAIDIQ. Under FAR 16.505, Multiple Award IDIQ contracts require a 'fair opportunity' process for task orders over the threshold. Every awardee must be given a fair opportunity to compete. Sole discretion applies only to Single Award IDIQs.

✓ **B. All awardees must receive a fair opportunity to be considered**

Correct. FAR 16.505(b)(1) requires fair opportunity procedures for task orders over the threshold. Each MAIDIQ awardee must be notified, given the opportunity to submit a proposal, and evaluated using the criteria established in the base IDIQ.

C. Task orders under \$150,000 require full and open competition

Incorrect. Task orders under \$150,000 are often exempt from fair opportunity requirements, the CO may award at their discretion. It's orders OVER \$3,500 (and especially over \$150,000 for civilian agencies, \$6M for DoD) that trigger increasing fair opportunity formality.

D. The incumbent contractor receives right of first refusal

Incorrect. There is no statutory right of first refusal for incumbent contractors on MAIDIQ task orders. All awardees must receive fair opportunity. While past performance is a legitimate evaluation factor, it does not give the incumbent a contractual preference.

WHY

FAR 16.505 requires the government to provide all MA-IDIQ awardees a fair opportunity to be considered for each task order. This is the default rule. Exceptions (unusual urgency, only one awardee capable, public interest, logical follow-on, minimum order) are narrow and legally constrained.

Which A&AS subcategory covers digital engineering support, DevSecOps, and software factory integration?**A. Management and Professional Support Services**

Incorrect. This is one of the four A&AS (Advisory and Assistance Services) categories defined in FAR 37.2. It covers management analysis, organizational studies, training, and professional support. Defense agencies use this category for program management support and strategic planning assistance.

B. Studies, Analyses, and Evaluations

Incorrect. This A&AS category covers independent research, operational analysis, technical evaluations, and studies. It includes policy analysis, program assessments, and alternatives analysis, work that informs government decisions without directly executing them.

C. Engineering and Technical Services

Incorrect. This A&AS category covers technical expertise supporting government programs, systems engineering, technical review, test support, and engineering advisory services. It is the most commonly used A&AS category in DoD acquisition programs.

✓ D. A&AS-D (Digital)

Correct. The correct expansion is A&AS-D = Advisory and Assistance Services, Defense (or specifically, GSA's AAS-D = Assisted Acquisition Services - Defense). There is no 'Digital' designation in the standard A&AS taxonomy.

WHY

A&AS-D (Digital) is the emerging subcategory gaining traction across the Air Force and Space Force that specifically covers digital engineering, DevSecOps support, software factory integration, and digital transformation advisory.

What is the key distinction between a GWAC and an agency-specific IDIQ?

A. GWACs have higher minimum guarantees than agency IDIQs

Incorrect. GWAC minimum guarantees are often very low, sometimes \$1 per awardee, to minimize the government's financial commitment while maintaining a large awardee pool. The minimum guarantee comparison between GWACs and agency IDIQs varies by vehicle.

✓ B. GWACs are available to all federal agencies; agency IDIQs are limited to named awardees

Partially correct but conflated. GWACs are available to all federal agencies as ordering agencies. Agency IDIQs are typically limited to the establishing agency or named ordering activities. The key difference is who can ORDER, not who can hold the contract.

C. Agency IDIQs require Congressional notification; GWACs do not

Incorrect. There is no general rule requiring Congressional notification for agency IDIQs vs. GWACs. Large contracts may trigger Congressional notification under specific statutes (e.g., Nunn-McCurdy for cost growth on MDAPs), but that is program-specific, not vehicle-type-specific.

D. GWACs are only for small businesses; agency IDIQs are unrestricted

Incorrect. GWACs are available to all businesses: large and small. Some GWACs have small business pools alongside large business pools (e.g., OASIS+, ALLIANT 2). Agency IDIQs can also be set-aside for small businesses. The restriction to small businesses is a set-aside decision, not inherent to GWACs.

WHY

The defining characteristic of a GWAC is that it is available government-wide. Any federal agency can place orders against it. Agency-specific IDIQs are limited to the ordering agency and named awardees only.

An OTA (Other Transaction Agreement) differs from a traditional FAR contract primarily because:**A. OTAs have lower dollar thresholds**

Incorrect. OTAs do not have lower thresholds than FAR contracts, in fact, they are often used for larger, more complex prototype and production programs. The value of OTAs is regulatory flexibility, not cost threshold reduction.

✓ B. OTAs bypass standard FAR procurement regulations

Correct. OTAs are authorized under 10 U.S.C. 4021-4022. They are explicitly not subject to the FAR, DFARS, or most standard procurement regulations. This allows DoD to negotiate customized agreements and attract non-traditional defense contractors. However, OTAs require a prototype purpose.

C. OTAs require Congressional approval

Incorrect. OTA authority is already granted by Congress through statute (10 U.S.C. 4021). Individual OTA agreements do not require separate Congressional approval.

D. OTAs are only available to small businesses

Incorrect. OTAs are available to any contractor. One requirement is that at least one 'non-traditional defense contractor' participates. Large defense contractors can and do use OTAs when working with non-traditional partners.

WHY

OTAs under 10 U.S.C. § 4022 are NOT contracts in the FAR sense. They bypass standard procurement regulations. This makes them attractive for speed and innovation but requires careful legal review, particularly around IP rights, DCAA access, and flow-down requirements.

Which of the following best describes the GSA Multiple Award Schedule (MAS)?**A. A guaranteed revenue source for qualified contractors**

Incorrect. Being on the Federal Supply Schedule does not guarantee revenue. Schedule contractors must still market their offerings and compete for individual orders. Many schedule holders receive little or no government business.

B. A pre-competed vehicle available only to defense agencies

Incorrect. The GSA Multiple Award Schedule (MAS/FSS) is available to all federal agencies, civilian and defense. It is managed by GSA and is government-wide.

✓ C. A marketing platform with pre-negotiated commercial terms available to all federal agencies

Correct. The GSA Multiple Award Schedule (MAS) is a long-term contract vehicle with pre-established pricing that any federal agency can use. Contractors list their products and services at pre-negotiated prices, and agencies can order directly.

D. An IDIQ requiring annual task order competitions

Incorrect. MAS orders are simplified, for orders below \$15K, the ordering agency can select any MAS contractor; for orders over \$15K, the agency must provide fair opportunity to three or more MAS awardees. There is no annual re-competition requirement.

WHY

The GSA MAS allows contractors to sell pre-negotiated commercial products and services to federal agencies. But it is a marketing platform, not a revenue guarantee. Contractors must actively pursue orders; simply holding a schedule generates no revenue.

OASIS+ is best described as:**A. An Army-specific IDIQ for base operations services**

Incorrect. AFICC (Air Force Installation Contracting Center) is an Air Force contracting organization, not Army. AFICC manages Air Force installation contracting across all CONUS Air Force installations.

✓ B. GSA's flagship GWAC for complex professional services including program management and engineering

Correct for OASIS+. OASIS+ is GSA's largest and most comprehensive professional services GWAC. Recompeted in 2023-2024, it provides access to a large pool of qualified contractors for complex, integrated professional services across all disciplines.

C. A NASA GWAC for IT products and services

Correct. SEWP (Solutions for Enterprise-Wide Procurement) is a NASA-managed GWAC for IT products and services, hardware, software, and related services. SEWP V is the current generation, with very fast ordering timelines (24-48 hours for simple orders).

D. A DoD-only vehicle for classified program support

Incorrect. Major GWACs (OASIS+, SEWP, ALLIANT) are unclassified and available to all agencies. Classified program acquisitions typically use separate, program-specific vehicles.

WHY

OASIS+ (One Acquisition Solution for Integrated Services Plus) is GSA's flagship GWAC for complex professional services. Covering program management, management consulting, engineering, logistics, and scientific services. It replaced the legacy OASIS vehicle and includes both unrestricted and small business set-aside pools.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 7

GSA Vehicles: OASIS+ & AAS-D

18 min

Master the most important government-wide acquisition contracts for professional services. How they work, when to use them, and what the differences are.

The Government's Pre-Negotiated Shopping List

Imagine you need consultants but the normal procurement takes 18 months and you need them in 6. GWACs -- Government-Wide Acquisition Contracts -- solve this. They are pre-competed, pre-approved contract vehicles that any federal agency can use to buy professional services quickly, without a full competition from scratch. Think of it like a wholesale club: someone already negotiated prices with pre-vetted vendors, and members just place orders. For defense PMs, knowing which vehicles exist and when to use them can cut procurement time from 18 months to 6.

Major GSA GWACs: At a Glance

VEHICLE	TYPE	FOCUS	CEILING	POOLS
OASIS+	MAC-IDIQ GWAC	Professional & technical services (all disciplines)	\$60B+	Unrestricted + SB pools by functional area
Alliant 2	MAC-IDIQ GWAC	Large-scale, complex IT services & solutions	\$50B	Unrestricted only (Large Business)
STARS III	MAC-IDIQ GWAC	IT services: small business	\$50B	8(a), WOSB, SDVOSB, HUBZone pools
8(a) STARS III	MAC-IDIQ GWAC	IT services, 8(a) SDB only	(part of STARS III)	8(a) small disadvantaged business
MAS (Schedules)	IDIQ Schedule	Commercial products and services (broad)	No ceiling	Multiple SINs (Special Item Numbers)

OASIS+ In Depth

OASIS+ (One Acquisition Solution for Integrated Services Plus) is GSA's marquee professional services GWAC, replacing the original OASIS contract. It covers essentially all professional and technical service categories: management consulting, engineering, research & development, program management support, IT services, logistics, financial management, and more. OASIS+ is structured in two primary tracks: Unrestricted (large businesses and small businesses competing full-and-open) and Small Business: each with multiple functional area pools. A DoD agency can access OASIS+ by establishing an Interagency

Agreement with GSA, then placing task orders directly against the appropriate pool using fair opportunity competition.

How to Use OASIS+ as an Ordering Agency

7 steps, start to finish. This is the actual order of operations.

- **Confirm the requirement fits OASIS+** OASIS+ covers professional and technical services: consulting, engineering, program management, logistics, and more. It does NOT cover IT products, construction, or off-the-shelf items. — Ordering outside this scope is a protest risk. GSA's OASIS+ Program Office can help confirm fit.
- **Pick the right pool** OASIS+ has separate pools: unrestricted, small business, 8(a), HUBZone, SDVOSB, and WOSB, each broken down further by functional area. — Ordering from the wrong pool is a compliance error, not just a paperwork issue.
- **Set up an Interagency Agreement (IAA) with GSA** This is the paperwork that gives your agency permission to use GSA's vehicle. — GSA charges a 0.75% Industrial Funding Fee (IFF) on every OASIS+ order: factor that into your price analysis.
- **Issue a Task Order RFP (TORFP)** Sent to every eligible pool holder through eBay, GSA's e-procurement system. — Exception: if GSA is running the acquisition for you (see below), GSA handles this step, not you.
- **Give every pool holder fair opportunity** This is the law under FAR 16.505: every eligible company gets a real shot at the order. — The narrow exceptions (urgency, sole capability, etc.) are the most common ground companies use to protest an award.
- **Evaluate and award best value** Technical approach and past performance usually outweigh price on complex services orders. — Lighter documentation than a full FAR Part 15 source selection, but it still has to hold up if challenged.
- **Administer the order after award** Your own CO and COR manage performance from here: accepting deliverables, tracking issues, writing CPARS. — A clean CPARS record at close-out is some of the most valuable evidence you'll have in the next competition.

FEDSIM Is Just the Old Name for AAS-D (Same Office, Same Job)

Here's where most people get confused, and it's an easy fix: FEDSIM and AAS-D are not two different services. FEDSIM (Federal Systems Integration and Management Center) was the original name for GSA's assisted acquisition team. GSA has since rebranded that same office as AAS-D (Assisted Acquisition Services: Defense) for its DoD-facing work. Same people, same process, new name. If a colleague, a solicitation, or an older training course says “FEDSIM,” they mean AAS-D.

One Office, One Rename

Federal Systems Integration and Management Center → Assisted Acquisition Services – Defense. Same GSA office. Same job: they act as the contracting office on your behalf.

What AAS-D (FEDSIM) Actually Does

Rather than just handing an agency a contract vehicle to use on its own, AAS-D acts AS the contracting office on behalf of the customer. The customer agency defines the requirement and provides the funding; AAS-D drafts the solicitation, runs the source selection, awards the contract, and administers it: the whole lifecycle. AAS-D commonly places that work on vehicles like Alliant 2, STARS III, and OASIS+. DoD program offices turn to AAS-D when their own contracting office doesn't have the bandwidth or specialized expertise to run a full competitive acquisition: particularly for complex IT and professional services work.

OASIS+ Self-Service vs. GSA-Assisted (AAS-D / FEDSIM)

ASPECT	SELF-SERVICE	GSA-ASSISTED (AAS-D)
Who runs the acquisition?	Your own agency's CO	AAS-D's CO, acting on your behalf
Who holds contracting authority?	Your agency	AAS-D
Best for	Agencies with strong in-house contracting capacity	Agencies without enough CO capacity or expertise
Timeline	Faster if your agency has the resources	Can be slower: adds a coordination layer
Cost	GSA's standard IFF/vehicle fee	IFF plus an acquisition management fee to AAS-D
Vehicles used	Whichever pool you choose directly	AAS-D may use Alliant 2, STARS III, OASIS+, or others

THE BUY DECISION: GWAC VS. STANDALONE CONTRACT

A GWAC is not always the right answer. Use a GWAC when: (1) the requirement fits squarely within the vehicle's scope; (2) speed matters: GWACs eliminate re-competition of the base contract; (3) competition is maintained at the task order level. Consider a standalone contract when: (1) requirements are unique and don't fit any GWAC scope; (2) you need non-standard terms or special contract structure; (3) a single strategic partner relationship is more valuable than rotating competition. Misusing a GWAC by placing out-of-scope orders is a serious contracting violation and a recurring IG audit finding.

SCOPE DISCIPLINE: THE IG'S FAVORITE FINDING

The most common GWAC compliance failure is awarding task orders that exceed the scope of the base contract. OASIS+ covers professional and technical services: it does NOT cover construction (use a construction IDIQ), supplies (use MAS schedules or standalone contracts), or highly classified programs requiring specialized contract structures. Every task order must be scope-checked against the GWAC's Statement of Objectives. Inspectors General regularly find out-of-scope orders on GWACs, resulting in contract actions being voided and requiring re-procurement.

AAS-D VS. IN-HOUSE: THE PRACTICAL DECISION

Many DoD program offices consider AAS-D (FEDSIM) when their own contracting office is understaffed or lacks experience with a particular acquisition type. AAS-D brings deep expertise and established processes, but adds coordination overhead and fees. The practical question is: does your contracting office have the bandwidth and skills to run a full competitive acquisition on this vehicle? If not, AAS-D is a legitimate and efficient alternative: used by major DoD agencies including Army, Air Force, and numerous defense agencies.

INTERMEDIATE**GSA OASIS+ and AAS-D: Navigating the Competitive Order Process**

Mid-career PMs using OASIS+ must understand that the task order competition is where outcomes are determined. Not at the MAC vehicle level. For orders above \$10M, AAS-D (the GSA office formerly known as FEDSIM) conducts the competition on your behalf. The government PM's role: write a well-scoped PWS, establish meaningful evaluation criteria, and review the price analysis. Common pitfalls: (1) PWS written so broadly that every OASIS+ contractor can qualify, leading to a lowest-price competition; (2) past performance evaluation relying on contractor-provided references that are selectively positive; (3) underestimating transition risk when switching from an incumbent. Build transition requirements directly into the PWS. Require a 60-day joint transition with the incumbent, with knowledge transfer milestones and penalties for transition failures.

ADVANCED**MAC VEHICLE STRATEGY: WHEN TO USE WHICH AND PROTEST RISK MANAGEMENT**

Senior acquisition professionals understand that MAC vehicle selection is itself a strategic decision. OASIS+ for complex professional services; ALLIANT 3 for IT services; SeaPort NxG for Navy; CIO-SP4 for HHS/civilian. The wrong vehicle creates protest risk: using a vehicle whose scope doesn't cover your requirement, or using a sole-source exception under a MAC vehicle when fair opportunity competition was required. The most legally dangerous pattern: steering task orders to preferred contractors by writing evaluation criteria tailored to a specific firm's past performance or unique capabilities. Experienced protesters know how to document this, and GAO has sustained numerous protests on exactly these grounds. Run your task order strategy through your legal team before release.

Key Terms

GWAC

Government-Wide Acquisition Contract. A task order contract established by one agency for use by any federal agency.

OASIS+

One Acquisition Solution for Integrated Services Plus. GSA's flagship GWAC for professional and technical services across all disciplines.

FEDSIM / AAS-D

Same office, two names. FEDSIM (Federal Systems Integration and Management Center) was the original name. GSA has since rebranded it as AAS-D (Assisted Acquisition Services, Defense). If you hear either name, people are talking about the same GSA team that runs the entire acquisition on a DoD agency's behalf.

Assisted Acquisition

When one agency (the servicing agency) conducts an acquisition on behalf of another agency (the requesting agency) using an Economy Act or similar authority.

Ordering Agency

The agency that places task orders against a GWAC for its own requirements (distinct from the agency that holds the contract).

Interagency Agreement (IAA)

The agreement between the requesting agency and servicing agency (e.g., GSA/FEDSIM) that authorizes the assisted acquisition.

Alliant 2

GSA's large-scale IT GWAC for complex IT solutions, available to all federal agencies.

STARS III

8(a) STARS III. GSA's GWAC for small business IT services, including 8(a) and HUBZone set-asides.

Economy Act

31 U.S.C. § 1535. The statutory authority allowing federal agencies to request services or supplies from other federal agencies.

Knowledge Check

What does OASIS+ stand for, and what type of services does it primarily cover?

A. Optimized Acquisition Services: IT systems only

Incorrect. OASIS+ stands for One Acquisition Solution for Integrated Services Plus. It is NOT limited to IT: it covers professional and technical services including program management, management consulting, engineering, scientific, financial, and logistics support. SEWP V is the GSA IT-focused GWAC.

✓ B. One Acquisition Solution for Integrated Services Plus: professional and technical services across all disciplines

Correct. OASIS+ is GSA's flagship professional and technical services GWAC. Awarded in 2023-2024, it replaced the original OASIS contract with an expanded scope covering management consulting, program management support, engineering, R&D, data analytics, logistics, and more.

C. Operations and Sustainment Integrated Services: logistics and supply chain only

Incorrect. No GWAC uses the abbreviation OASIS+ to mean 'Operations and Sustainment Integrated Services.' OASIS+ is a GSA GWAC for professional and technical services; not a logistics-only vehicle.

D. Ordered Acquisition System for IT Services: information technology only

WHY

OASIS+ (One Acquisition Solution for Integrated Services Plus) is GSA's flagship GWAC for professional and technical services, covering management consulting, engineering, R&D, program management, IT, logistics, financial management, and more. It is not limited to IT: that distinguishes it from vehicles like Alliant 2 and STARS III.

AAS-D (formerly known as FEDSIM) differs from a self-service GWAC in that AAS-D:**A. Provides a contract vehicle that agencies use independently**

Incorrect. That describes self-service (using OASIS+ directly). AAS-D's defining characteristic is that GSA manages the entire acquisition on behalf of the customer, acting as the contracting office. That is what 'assisted acquisition' means: fundamentally different from simply providing a vehicle.

✓ B. Manages the entire acquisition process on behalf of the customer agency, serving as the contracting office

Correct. AAS-D (Assisted Acquisition Services: Defense, formerly called FEDSIM) is an assisted acquisition service where GSA acts as the buying agency, managing the full acquisition lifecycle from requirements to award to contract administration on behalf of DoD and other federal customers.

C. Only supports civilian agencies, not DoD

Incorrect. AAS-D is specifically designed for DoD customers. The 'Defense' designation in AAS-D indicates the primary customer base.

D. Is restricted to purchases under the simplified acquisition threshold**WHY**

AAS-D (the current name for what used to be called FEDSIM) is an assisted acquisition service: it acts as the contracting office for customer agencies, managing solicitation, source selection, award, and administration on the customer's behalf. A self-service GWAC (like using OASIS+ directly) puts the ordering agency's own CO in charge of the process.

A Government-Wide Acquisition Contract (GWAC) is distinct from an agency-specific IDIQ in that a GWAC:**A. Can only be used by the agency that established it**

Incorrect for GWACs. Government-Wide Acquisition Contracts, by definition, are available to all federal agencies. That government-wide accessibility is their defining feature.

✓ B. Is available for use by any federal agency as an ordering agency

Correct. GWACs are authorized under 40 U.S.C. 11314 and are open to all federal agencies. This cross-agency accessibility allows smaller agencies without acquisition expertise to use GWACs managed by agencies like GSA or NIH.

C. Does not require competition at the task order level

Incorrect. Most GWACs require fair opportunity competition at the task order level under FAR 16.505. Awardees must be given a fair opportunity to submit offers for each task order. Exceptions are narrow.

D. Has no ceiling on total contract value**WHY**

A GWAC is established by a lead agency (like GSA) for use by all federal agencies. Any agency can place task orders against the GWAC as an "ordering agency." An agency-specific IDIQ is established by and for use by the establishing agency only; other agencies cannot place orders against it without a formal arrangement.

Which GSA vehicle is specifically designed for large-scale, complex IT services and solutions, primarily for large businesses?

- A. OASIS+
- B. STARS III

✓ **C. Alliant 2**

- D. MAS IT Schedule

WHY

Alliant 2 is GSA's GWAC specifically for large-scale IT services and solutions, targeting complex enterprise IT requirements. It is an unrestricted (large business) contract with a \$50B ceiling. STARS III is the small business IT equivalent. OASIS+ covers professional services more broadly including IT but also non-IT disciplines.

The Economy Act (31 U.S.C. § 1535) is relevant to assisted acquisitions because it:

- A. Limits the total value of task orders under any GWAC

Incorrect. There is no universal statutory cap on GWAC total value, individual GWACs have their own ceiling values set at award.

✓ **B. Provides statutory authority for one agency to procure services or supplies from another federal agency**

Correct. The Economy Act (31 U.S.C. 1535) authorizes interagency acquisitions, one agency using another agency's contracting resources or purchasing on their behalf.

- C. Requires competition for all orders over \$350K

Incorrect for the Economy Act specifically. The Economy Act governs the relationship between federal agencies in interagency acquisitions, it does not set competition thresholds. Competition requirements at the ordering level are governed by the individual GWAC's terms and FAR 16.505.

- D. Prohibits the use of GWACs for classified requirements

WHY

The Economy Act authorizes federal agencies to request goods or services from other federal agencies (the "servicing agency"). This is the legal foundation for arrangements like using FEDSIM or AAS-D: the customer agency uses Economy Act authority to have GSA conduct the acquisition on its behalf, reimbursing GSA for costs and fees.

AAS-D (Assisted Acquisition Services: Defense) is specifically designed to serve:**A. Civilian agencies only**

Incorrect for AAS-D. AAS-D is specifically a defense-focused assisted acquisition service. DoD components regularly use AAS-D to tap into GSA's contracting expertise.

✓ B. DoD agencies requiring assisted acquisition support, particularly for IT and professional services

Correct. AAS-D serves DoD customers who need a skilled contracting office to manage acquisitions on their behalf, particularly valuable for program offices that lack acquisition expertise or contracting capacity.

C. Small businesses seeking to enter the defense market

Incorrect. AAS-D is a customer-facing service for government agencies, not a vehicle for small businesses to enter the market. Small businesses participate as contractors; AAS-D is used by government agencies as the buyer-side mechanism.

D. Foreign military sales programs only**WHY**

AAS-D is GSA's defense-focused assisted acquisition service that works specifically with DoD components. It has deep expertise in DFARS requirements, security requirements, and defense-specific contract structures. DoD program offices use AAS-D when they need acquisition support for requirements suited to existing GWACs.

What is the primary compliance risk when using a GWAC like OASIS+?**A. Paying too high a price due to lack of competition**

Incorrect as primary GWAC risk. GWACs are pre-competed vehicles. The primary ordering-level risks are: scope creep (ordering work outside the GWAC's scope), improper use of the vehicle, and bypassing fair opportunity requirements.

✓ B. Placing task orders for work outside the scope of the GWAC base contract

Correct. This is the most legally significant risk when using GWACs. A task order placed for work outside the scope of the base IDIQ constitutes an unauthorized procurement, potentially triggering a protest or legal challenge.

C. Failing to meet small business goals

Incorrect. Many GWACs have small business set-aside pools. Ordering agencies that consistently bypass small business pools may face scrutiny from the SBA and their agency's Office of Small Business Programs.

D. Exceeding the ordering period without an extension**WHY**

The primary GWAC compliance risk is out-of-scope task orders: placing work that doesn't fit within the GWAC's established scope. This is the most common IG audit finding on GWACs and can result in orders being voided and requiring re-procurement. Every task order must be scope-checked against the GWAC's Statement of Objectives before placement.

STARS III is best characterized as:**A. A large-business IT GWAC for complex solutions**

Correct for ALLIANT 2. ALLIANT 2 is a GSA GWAC for complex IT solutions, limited to large businesses. ALLIANT 3 is in procurement as of 2024. ALLIANT 2 Small Business is the companion vehicle. These vehicles cover IT services, systems integration, cybersecurity, and cloud solutions.

✓ B. A small business IT GWAC with 8(a), WOSB, SDVOSB, and HUBZone pools

Correct for ALLIANT 2 Small Business or SEWP V small business. These GWACs organize small business participation into socioeconomic pools: 8(a) (SBA-certified disadvantaged businesses), WOSB (women-owned), SDVOSB (service-disabled veteran-owned), and HUBZone.

C. A professional services GWAC for all service disciplines

Correct for OASIS+. OASIS+ is GSA's flagship professional services GWAC covering management consulting, program management, engineering, logistics, data analytics, and more, for both large and small businesses across multiple pools.

D. A GSA Schedule for commercial IT products**WHY**

STARS III (Streamlined Technology Acquisition Resources for Services) is GSA's small business IT GWAC. It includes pools for different small business categories: 8(a) Small Disadvantaged Business, Woman-Owned Small Business (WOSB), Service-Disabled Veteran-Owned Small Business (SDVOSB), and HUBZone. It's a key vehicle for meeting small business goals on IT programs.

When should a DoD PM recommend using AAS-D (FEDSIM) rather than using a GWAC directly?**A. When the acquisition is under \$350K and competition is not required**

Incorrect. AAS-D is used for significant acquisitions, particularly complex services benefiting from GSA's contracting expertise. Small purchases under the SAT would typically be handled through simplified acquisition or purchase card.

✓ B. When the program office's contracting office lacks capacity, expertise, or bandwidth to run the full acquisition

Correct. This is the primary driver for using AAS-D. Program offices with technical expertise but limited acquisition personnel benefit from GSA's experienced acquisition teams managing the process.

C. When competition is not desired to protect the incumbent contractor

Incorrect. AAS-D does not allow non-competitive awards as a matter of policy. Any acquisition through AAS-D must still comply with competition requirements.

D. When the requirement exceeds the GWAC ceiling**WHY**

AAS-D (formerly known as FEDSIM) is the right choice when the program office's contracting office doesn't have the resources or specialized expertise to run the acquisition effectively. AAS-D brings experienced contracting professionals who manage the process end-to-end. The tradeoff is coordination overhead and fees: for programs with strong in-house contracting capacity, self-service GWAC use is typically faster and cheaper.

An Interagency Acquisition Agreement (IAA) between a DoD program office and GSA for OASIS+ use primarily documents:

A. The technical requirements for the specific task order

Incorrect. The Task Order SOW/PWS/SOO describes what the contractor will actually do, the scope, deliverables, performance standards, and period of performance for that specific task order.

✓ B. The mutual terms under which the ordering agency will use the GWAC, including funding transfer and responsibilities

Correct. An Interagency Agreement (IAA), including a MIPR or Economy Act Order, establishes the terms of the relationship between the ordering agency and the contracting agency, covering funding transfer and responsibilities.

C. The competition strategy for individual task orders

Incorrect. The Acquisition Plan or Task Order Acquisition Strategy defines how the agency will conduct fair opportunity for a specific task order, factors, evaluation methodology, oral presentation requirements, past performance approach, and price reasonableness determination.

D. The contractor team members who will perform the work

WHY

An IAA (often in the form of a Reimbursable Work Order or Economy Act agreement) between the ordering agency and GSA establishes the terms for the assisted acquisition or GWAC use: including funding transfer, fee arrangements, roles and responsibilities, and performance expectations. It must be in place before task orders are placed under the assisted acquisition arrangement.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 8

MACs & Technical Direction Letters

22 min

Understand IAC MACs and GWACs, the full contract instrument hierarchy (IDIQ base → task order → CLIN), and how TDLs work on GSA vehicles day-to-day. Includes a deep dive on DTIC and STI deliverables that surprise most contractor PMs on MAC vehicles.

Start Here: Two Ideas This Lesson Is Built On

This lesson covers two things that sound unrelated and turn out to be connected. The first is the family of shared contract vehicles the government uses so that every agency does not have to run its own competition for the same kind of work: multiple award contracts, government-wide acquisition contracts, and the interagency rules that let one agency buy through another. The second is the Technical Direction Letter, the everyday tool the government uses to steer work under a task order on those vehicles without writing a contract modification. If you work on a GSA, OASIS+, or similar task order, you will live inside both.

What a MAC Is, in One Paragraph

A Multiple Award Contract is an IDIQ awarded to several companies at once. Winning a spot on it does not give you work; it gives you the right to compete for task orders against the other awardees. A Government-Wide Acquisition Contract is a MAC that has been designated for use by any federal agency, not just the one that set it up. The Contracts vs. Task Orders and IDIQs, GWACs & A&AS lessons cover the vehicle mechanics. This lesson goes deeper on how the vehicles fit together and what happens once you are performing on one.

WHAT A TECHNICAL DIRECTION LETTER IS (AND IS NOT)

A TDL is written direction from the government, usually the COR or task order manager, telling the contractor how to carry out work that is already in the task order: which of several tasks to prioritize, which site to support first, how to format a deliverable. It is not a contract modification. It cannot add scope, add money, extend the period of performance, or change the contract terms. Only a contracting officer can do those things, in writing, through a modification. A TDL that tries to do any of them is not a TDL; it is a constructive change wearing a TDL's clothes.

The Three-Question TDL Test

Before starting work on any TDL, ask these three questions. If the answer to any of them is no, stop and go to your contracts lead.

- **Is the work already described in the task order SOW?** If you cannot point to the paragraph, the TDL is adding scope.
- **Can the work be done within the current funding and ceiling?** If it requires more money, only a modification can provide it.
- **Does it leave the schedule, terms, and deliverables unchanged?** A TDL that moves a delivery date or changes a CDRL is a modification in disguise.

Who Can Do What

ACTION	COR / TASK ORDER MANAGER (VIA TDL)	CONTRACTING OFFICER (VIA MODIFICATION)
Prioritize among in-scope tasks	Yes	Yes
Clarify how an in-scope deliverable should look	Yes	Yes
Add new scope	No	Yes
Add funding or raise the ceiling	No	Yes
Extend the period of performance	No	Yes
Change contract terms or CDRLs	No	Yes

One sentence to teach your team: **a TDL steers work that is already in the contract; anything that adds scope, money, or time needs a contracting officer and a modification, no matter who asks or how nicely.**

INTERMEDIATE

Here's the problem the government was trying to solve: every federal agency independently running its own competitions for the same categories of work. The Air Force needs IT consulting. The Army needs IT consulting. The Navy needs IT consulting. Each one writes its own solicitation, evaluates its own proposals, awards its own contract. And pays its own acquisition workforce to manage all of it. That's expensive, slow, and duplicative. Interagency contracts. Vehicles set up by one agency that other agencies can order from. Solve this. One agency does the heavy lifting of competition and award. Everyone else benefits.

These three terms get used interchangeably in conversation, but they're not the same thing. Think of them as nested categories. An IAC (Interagency Acquisition Contract) is the broadest term. Any contract vehicle established by one agency for use by others. GWACs are a subset of IACs. A MAC (Multiple Award Contract) describes the award structure: multiple vendors win simultaneously, each holding a "seat" on the vehicle. When the government has work, it competes a task order among those awardees. A MAC can be agency-specific (only one agency uses it) or government-wide. A GWAC (Government-Wide Acquisition Contract) is a MAC that has been designated for use by any federal agency. GSA administers the major GWACs. OASIS+, Alliant 2, STARS III. OMB policy puts pressure on agencies to use existing GWACs rather than creating duplicative vehicles. Before an agency can set up its own competing contract, they're supposed to justify why a GWAC doesn't meet their needs.

Think of GWACs like Costco. Costco did the negotiation work once. Pre-vetted suppliers, competitive prices, standardized terms. Any Costco member can walk in and buy without running their own sourcing process. GSA is Costco. The GWAC is the store. The awardee vendors are the suppliers stocked on the shelves. Any federal agency (Costco member) can place an order without running their own full and open competition. A MAC-IDIQ that isn't a GWAC is like a company's internal supply agreement. Same concept, same efficiency, but only employees of that one company can use it.

The Economy Act (31 U.S.C. § 1535) is the law that makes interagency acquisitions possible. It authorizes one federal agency to buy goods or services from another federal agency. Here's how the transaction works: The requesting agency (the one with the requirement) and the servicing agency (the one that holds the contract) execute an Interagency Agreement (IAA). The IAA documents the scope, the funding being transferred, and the terms of the arrangement. The servicing agency then places the order against its own contract on behalf of the requesting agency. Two key requirements under the Economy Act: (1) the using agency must determine that the use of another agency's contract is in its best interest. Not just convenient, but genuinely advantageous; and (2) the cost must be fair and reasonable. On OASIS+ and most major GWACs, OMB designations handle much of this analysis. The determination has effectively already been made at the policy level.

Getting on a MAC-IDIQ vehicle is not the same as winning work. Under FAR 16.505, every awardee on the vehicle must be given a "fair opportunity" to be considered for each task order above the simplified acquisition threshold (currently \$350K, effective October 1, 2025). In practice, this means the government issues a Task Order Request for Proposals (TORFP or TORP) to some or all of the vehicle awardees, receives proposals, evaluates them, and awards the task order to one (or sometimes multiple) awardees. There are exceptions. Urgent and compelling need, only one awardee is capable, the order is a logical follow-on. But they're the exception, not the rule. Being on the bus doesn't guarantee you'll play. It guarantees you're eligible to compete.

One of the most common sources of confusion in defense contracting is understanding exactly what type of acquisition instrument you're dealing with. And what it can and can't do. Here's the full stack, from most complex to most granular.

Acquisition Instrument Comparison

INSTRUMENT	WHAT IT IS	WHERE THE MONEY LIVES	WHO USES IT DAILY
Standalone Contract	A single contract for one specific, defined requirement. Full FAR Part 15 competition. When the work ends, the relationship ends.	In the contract itself: fully funded at award (or by option).	PM and CO manage it directly.
IDIQ Base Contract	The "umbrella": establishes terms, ceiling value, ordering period, labor categories/rates, and eligible awardees. Obligates little or no money (often just the minimum guarantee, sometimes \$1).	Does NOT contain most of the money. That comes later, in task orders.	Contracts team manages the base. PM focuses on task orders.
Task Order (TO)	An order for services placed under the IDIQ. Has its own SOW, period of performance, CLINs, and funding. This is where the actual work lives.	Yes: task orders are funded and obligated. This is what pays the contractor.	The contractor PM manages this every day.
Delivery Order (DO)	Identical concept to a task order, but for supplies or products instead of services.	Yes: funded and obligated.	Program office and logistics.
CLIN	Line items within a task order or contract that define specific work elements, funding, and periods of performance.	Funding is tracked and obligated at the CLIN level: each CLIN has its own ceiling.	Finance, contracts, and PM all track CLIN burn rates.
TDL	A written technical direction within the existing task order scope. Directs HOW the contractor does the work: not WHAT work is authorized.	No new money. TDLs operate within already-obligated task order funding.	Issued by the COR; executed by the contractor PM.

Winning an IDIQ base contract. Like getting awarded a position on OASIS+. Is a significant achievement. It means the government has vetted you, qualified you, and put you in the pool of eligible vendors. But here's the honest truth: winning the base contract obligates almost nothing. The base IDIQ sets the terms: the ordering period (how long agencies can place task orders), the ceiling value (the maximum total value of all task orders across all awardees), the labor categories and rate structures, and any vehicle-specific rules. But it doesn't direct specific work, and it doesn't obligate meaningful money. The minimum guarantee is often \$1 per awardee, just enough to make the contract legally binding. Winning the base gets you on the team bus. It doesn't guarantee you'll play. Playing means winning task orders.

Task orders are for services. Delivery orders are for supplies. That's the official distinction under FAR 16.501. In practice, defense professionals often use "task order" to mean both. And in a conversation context, that's usually fine. But in a contract or legal context, the distinction matters. If your IDIQ is structured for services, you issue task orders. If it's for products, you issue delivery orders. If it's a hybrid (many defense IDIQs are), you may have both. For most BD and PM professionals working on services-based vehicles like OASIS+ or FEDSIM, you'll almost always be talking about task orders.

Every task order has a CLIN structure. A breakdown of the funded work into line items. Think of CLINs like a restaurant order itemized on the bill: CLIN 0001. Base Period Services (the entree) CLIN 0002. Option Year 1 (the dessert you haven't ordered yet) CLIN 0003. Option Year 2 CLIN 0004. Travel (drinks) CLIN 0005. Other Direct Costs (sides) Each CLIN has its own funding ceiling, its own period of performance, and sometimes its own contract type (one CLIN might be Firm Fixed Price while another is Time & Materials). Most importantly: appropriation tracking. The "color of money". Is managed at the CLIN level. Why does color of money matter? Because different appropriation types (O&M, RDT&E, Procurement) have different rules about what they can fund and when. Mixing appropriation types incorrectly at the CLIN level is an Antideficiency Act issue. Your finance team worries about this. As a PM, you need to know it exists and make sure you're never directing work under the wrong CLIN.

ADVANCED

If you work on a FEDSIM-managed task order or a GSA OASIS+ task order, TDLs are not an occasional tool. They are the primary mechanism for directing day-to-day work. Understanding them thoroughly is one of the most practically valuable things a contractor PM or government COR can do.

The task order SOW on most GSA vehicles is intentionally broad. It might say something like: "Provide IT advisory and assistance services in support of the customer agency's enterprise modernization mission." That language is flexible by design. Flexibility is the whole point of these vehicles. Once the task order is awarded, the COR (or Ordering Officer, depending on the agency's delegation) issues TDLs throughout the period of performance to direct specific activities within that broad scope. A typical TDL might look like this: "Effective Monday, March 3, assign two senior analysts to support the network migration project in Building 7. Provide weekly status reports to the COR by COB each Friday. Estimated level of effort: 160 hours per analyst over 8 weeks." The contractor reads it, confirms it's within the authorized scope and within available CLIN funding, acknowledges receipt in writing, and executes. No new competition. No contract modification. No new approval chain. Just directed work within an already-established framework. This is efficient. It's also where most disputes on these vehicles originate.

A TDL is powerful precisely because it doesn't require a formal contract action. But that power has hard limits. A TDL cannot: 1. Add scope. If the new work wasn't described. Directly or by reasonable implication. In the task order SOW, a TDL cannot authorize it. "Please also support the new data center consolidation effort that wasn't mentioned in the SOW" is not a valid TDL. That's a new requirement, and it needs either a task order modification or a new task order. 2. Obligate additional funding. Only the

Contracting Officer can obligate government funds. A COR who writes a TDL saying "here's \$50K more to handle the additional work" has no legal authority to do that. The \$50K isn't real until the CO signs a modification. 3. Extend the period of performance. If the task order expires September 30 and the COR writes a TDL on September 15 directing work through December 31, that TDL is void as to the extension. A contract mod signed by the CO is required. 4. Change any contract terms. The contract type, payment terms, reporting requirements, security requirements. All of these are established in the task order. A TDL cannot change them. That's what a contract modification is for.

Think of your task order like an apartment lease. You've agreed to pay \$2,000 a month for 12 months, and the lease defines exactly what the apartment includes: two bedrooms, one parking space, shared laundry. The landlord (government COR) can tell you to use the parking space on the north side of the building instead of the south side. That's a TDL. A direction about how to use what's already included in your lease. But if the landlord says "I also need you to pay for the storage unit downstairs". That's a lease amendment (contract modification). It adds something not in the original agreement. You can't just pay for the storage unit because the landlord asked nicely and then try to get reimbursed later. You don't have a legal basis, and the landlord's management company (the Contracting Officer) never approved it.

Here's how contractors get burned. The COR. Who is a perfectly good, well-intentioned government employee. Asks the contractor to do something extra. Maybe it's a small thing. Maybe it's urgent. Maybe the relationship is strong and nobody wants to slow down to do paperwork. The contractor performs the work. Later, there's a dispute. Maybe the task order ran out of funding. Maybe there was a leadership change. Maybe there's a protest. Someone asks: was this work authorized? The COR didn't have authority to authorize it. The CO never touched it. There's no modification. The contractor has invoices for work the government has no legal obligation to pay for. This is an unauthorized commitment. When someone without contracting authority binds (or appears to bind) the government to pay for something. Unauthorized commitments can be ratified after the fact, but that's a painful, time-consuming process with no guaranteed outcome. The better strategy is to never get there. The COR is not the enemy in this scenario. The COR often doesn't realize they're stepping outside their authority. The contractor PM has to know the rules well enough to protect both parties.

If a TDL asks you to do something that wasn't in the SOW, adds funding, references extending the work beyond the current period of performance, or changes how the contract works. Stop. Do not start the work. Immediately notify the Contracting Officer in writing, explain the concern, and ask for a contract modification if the work is legitimate. Document the notification. This protects you legally and gives the government a chance to do the right paperwork.

Treating TDL management as a disciplined process, not just reading emails and starting work, is what separates experienced GSA vehicle PMs from the ones who end up in disputes. Step 1: Read it carefully. Is the directed work within the scope of your task order SOW? Not just vaguely related to the mission.

Actually within the authorized scope language. Step 2: Check the CLIN. Is there funded ceiling available under the right CLIN to cover this work? If the TDL directs work under a CLIN that's nearly exhausted, flag it immediately before starting. Step 3: If it's within scope and funded, acknowledge receipt in writing. A simple email back to the COR works. "Received TDL-2026-007 dated March 31. We will commence the directed activities on April 7 as specified." Step 4: Execute and document. Keep records of what you did in response to the TDL, when, by whom, and at what cost. When you invoice, reference the TDL number. Step 5: If it's not within scope, or if you're not sure. Stop and write to the CO. Not the COR. The CO. Clearly, professionally, in writing. "We received TDL-2026-008 directing support for the cloud migration effort. We want to flag that cloud migration services do not appear to be within the current SOW. Please advise whether a task order modification is needed before we proceed."

INTERMEDIATE

DTIC. The Defense Technical Information Center. Is DoD's central repository for scientific and technical information produced under defense research contracts. On MAC vehicles that include R&D, engineering, or science and technology work. Including OASIS+ task orders involving technical studies or systems engineering. The contract will likely include STI (Scientific and Technical Information) CDRLs. Think of DTIC as the DoD's library: your technical reports go in so the next program office doesn't pay to reinvent the same wheel. Missing an STI deliverable is a CDRL deficiency with the same CPARS consequences as missing any other contractual deliverable. Most contractors working professional services MACs don't realize their task order has STI requirements until they get a COR deficiency notice.

- **STI deliverables are formal CDRLs with due dates and submission requirements: not optional** STI CDRLs are typically data items like DI-MISC-80711B (Scientific and Technical Reports). Submission is through the DTIC portal at discover.dtic.mil. Your contracts team should flag all STI CDRLs at task order kickoff.
- **OASIS+ and similar GWACs flow STI requirements down to qualifying task orders: read the base contract** Even if your task order SOW does not explicitly mention DTIC, the vehicle-level terms may require STI compliance for work involving R&D, design, or technical analysis. Read the base IDIQ contract terms, not just the task order SOW.
- **Every submission requires a distribution statement (A through F) assigned by the Contracting Officer** Distribution Statement A means unlimited public release. Statement C restricts access to U.S. government and contractors with need-to-know. Never assume public release: the CO assigns this.
- **If you miss an STI deadline, self-report and cure immediately: do not wait for the COR to flag it** Document the miss, identify the cause, submit the deliverable, and send a brief memo to the COR explaining the delay. Proactive correction minimizes CPARS impact far more than hoping the government doesn't notice.
- **STI is distinct from CDRL deliverables for program reporting: but equally enforceable** Unlike status reports or schedules, STI deliverables go into a government repository. They become permanently part of the

contract file and DTIC record. Non-compliance is visible at the program office, the command level, and DTIC audit.

ADVANCED

Managing a GSA vehicle task order well isn't complicated. But it does require consistent discipline on a few key practices. Here's what the experienced PMs do.

INTERMEDIATE

- Know your task order SOW cold. If you don't know the exact boundaries of your authorized scope, you cannot evaluate whether a TDL is within scope. Read the SOW at award. Re-read it at the start of each option year. If the language is ambiguous, get clarification from the CO in writing before the ambiguity becomes a dispute.
- Maintain a TDL log. Track every TDL you receive: TDL number, date issued, description of directed work, estimated and actual labor hours, and the invoice(s) you tied to it. This log is your primary protection in a dispute. If the COR's memory and your log disagree, your log wins.
- Build your COR relationship proactively. The COR is your primary government customer on a day-to-day basis. They write your CPARS rating: the performance evaluation that follows you to your next competition. They issue your TDLs. They know what's coming before you do. Invest in a weekly check-in, stay transparent about issues, and treat them as a partner, not just a gatekeeper.
- Know when to escalate to the CO: and escalate through your contracts lead. Scope questions, funding concerns, anything that feels like a TDL is trying to change the task order: that goes to the CO. But in most large programs, contractors communicate with the CO through their own contracts and legal team, not directly. Know your internal escalation chain and use it.
- Never start work on a verbal direction alone. "The COR called me and asked us to do this" is not sufficient documentation. An email from the COR directing specific work is acceptable as a written TDL equivalent in many cases, but a phone call is not. If you received only verbal direction, follow up immediately in writing: "Per our call today, I understand you're directing us to [X]. Please confirm by reply email so we can proceed." Do not start the work until you have that confirmation in writing.
- Track CLIN funding monthly, not just total task order ceiling. Running out of funding under a specific CLIN before the period of performance ends is a serious problem: you may have to stop work even if there's money in other CLINs. Watch burn rates by CLIN every month. When a CLIN reaches 75% expended, flag it to the COR so the CO can be looped in on whether a modification is needed.
- At option year time, make sure your performance is documented. Task order options are not automatically exercised. The decision to exercise depends on mission need, funding availability, and performance. Make sure the COR has documented your performance evaluations: CPARS entries and interim assessments: before option year decisions are made. An undocumented great performance is worth less than a documented good one.

The interagency acquisition framework exists to save time and reduce duplication. GWACs like OASIS+ are the government's shared infrastructure for recurring service needs. Task orders, not the base IDIQ, are where the real work lives. TDLs are the day-to-day tool for directing that work, with real and hard limits on what they can authorize. Knowing the difference between what a COR can direct via TDL and what requires a CO-signed modification is the single most practically valuable piece of knowledge for any contractor PM or government COR working on these vehicles.

Key Terms

IAC (Interagency Acquisition Contract)

Any contract vehicle set up by one federal agency that other agencies are allowed to order from. GWACs are the most well-known type of IAC, but the broader category includes many agency-specific vehicles that permit limited cross-agency use.

MAC (Multiple Award Contract)

A contract awarded to multiple vendors at the same time. Each awardee holds a "seat on the vehicle." When the government has work, it runs a competition among those awardees and issues a task order to one (or more) of them. Winning a MAC gets you in the door. It doesn't guarantee work.

GWAC (Government-Wide Acquisition Contract)

A MAC that has been officially designated for use by any federal agency. Not just the one that awarded it. GSA runs the major GWACs: OASIS+, Alliant 2, STARS III. OMB policy requires agencies to justify why they're not using a GWAC before they stand up a competing vehicle.

Economy Act (31 U.S.C. § 1535)

The federal law that lets one agency buy goods or services from another agency. It's the legal foundation for interagency acquisitions. The requesting agency and the servicing agency formalize the arrangement through an Interagency Agreement. The using agency must certify the arrangement is in its best interest and that the cost is fair and reasonable.

Interagency Agreement (IAA): Advanced

The formal document between a requesting agency (the buyer) and a servicing agency (the one that holds the contract) that authorizes an interagency acquisition transaction. On OASIS+, for example, the IAA between the customer agency and GSA is what legally kicks off the ordering process.

Task Order (TO)

An order for services placed against an IDIQ base contract. The task order is where the actual work lives. It has its own Statement of Work, period of performance, CLIN structure, and funding. If you're a contractor PM, the task order is what you manage every day. The base IDIQ sets the rules; the task order is the game.

Delivery Order (DO)

Mechanically identical to a task order, but used for supplies or products instead of services. If the IDIQ is for laptops, the delivery order says "deliver 500 units to Fort Bragg by March 31." In practice, defense folks often use "task order" loosely to cover both. But technically, task orders = services, delivery orders = supplies.

CLIN (Contract Line Item Number)

The line-item structure inside a contract or task order that breaks down the work into discrete, funded elements. Think of CLINs like a restaurant check itemized by dish: CLIN 0001 is the base period, CLIN 0002 is Option Year 1, CLIN 0003 is travel. Each CLIN has its own funding ceiling, period of performance, and contract type. Appropriation tracking (the "color of money") happens at the CLIN level.

Technical Direction Letter (TDL)

A written instruction from the government. Typically the COR or Ordering Officer. That directs the contractor's technical work within the existing scope of the task order. The critical word is "within." A TDL cannot add scope,

add funding, extend the period of performance, or change any contract terms. If it tries to do any of those things, it's not a TDL. It's an unauthorized commitment.

Unauthorized Commitment

When someone who lacks contracting authority agrees to. Or implies. That the government will pay for something it hasn't legally authorized. A COR who directs work outside the task order scope is making an unauthorized commitment. The contractor may perform the work in good faith and never get paid. This is one of the most common disputes on GSA vehicle task orders.

COR (Contracting Officer's Representative)

The government's day-to-day technical point of contact on a contract or task order. The COR monitors contractor performance, issues TDLs, and writes CPARS ratings. They do NOT have contracting authority. They can't obligate funds, change contract terms, or authorize work outside the scope. Only the Contracting Officer (CO) can do those things.

Fair Opportunity

The requirement under FAR 16.505 that all awardees on a MAC-IDIQ vehicle must be given a fair opportunity to compete for each task order above the simplified acquisition threshold. There are limited exceptions (unusual urgency, one awardee is uniquely qualified, etc.), but as a rule, being on the vehicle doesn't mean you automatically get the work. You have to compete for it.

Knowledge Check

What is the key difference between a GWAC and a MAC?

A. A GWAC is awarded to a single vendor; a MAC is awarded to multiple vendors

incorrect

✓ **B. A GWAC has been designated for use by any federal agency; a MAC may be limited to one agency or a subset of agencies**

correct

C. A GWAC can only be used for IT services; a MAC covers all service categories

incorrect

D. A MAC requires the Economy Act; a GWAC does not

incorrect

WHY

A MAC (Multiple Award Contract) describes the award structure. Multiple vendors win simultaneously. A GWAC is a specific type of MAC that has been officially designated for government-wide use. Not every MAC is a GWAC. An agency-specific IDIQ with multiple awardees is a MAC but not a GWAC.

The Economy Act (31 U.S.C. § 1535) authorizes what?

A. GSA to award contracts on behalf of other agencies without competition

incorrect

✓ **B. One federal agency to purchase goods or services from another federal agency**

correct

C. Contractors to self-authorize additional work when the COR is unavailable

incorrect

D. Agencies to exceed their appropriated budgets when mission requirements demand it

incorrect

WHY

The Economy Act is the legal foundation for interagency acquisitions. It allows one agency (the requesting/using agency) to buy from another agency (the servicing agency that holds the contract). The two agencies formalize the arrangement through an Interagency Agreement (IAA). The using agency must certify the use is in its best interest and the cost is fair and reasonable.

A task order differs from the base IDIQ contract primarily in what way?

A. The base IDIQ defines the specific work and funds it; the task order just establishes eligibility

incorrect

✓ **B. The task order contains the specific SOW, period of performance, funding, and deliverables; the base IDIQ provides the framework and terms but obligates little or no money**

correct

C. The base IDIQ is competed; the task order is awarded without competition

incorrect

D. Task orders are signed by the COR; the base IDIQ is signed by the CO

incorrect

WHY

The base IDIQ is the umbrella. It sets the rules, ceiling value, ordering period, and eligible awardees, but obligates little money (often just the minimum guarantee). The task order is where the actual work and funding live. It has its own SOW, CLIN structure, period of performance, and obligated dollars. The task order is what a contractor PM manages day-to-day.

What is the key difference between a Task Order and a Delivery Order?

A. Task orders are issued by the CO; delivery orders are issued by the COR

incorrect

✓ **B. Task orders are used for services; delivery orders are used for supplies or products**

correct

C. Task orders require fair opportunity competition; delivery orders do not

incorrect

D. Delivery orders are placed against standalone contracts; task orders are placed against IDIQs

incorrect

WHY

Under FAR 16.501, task orders are orders for services placed against an IDIQ, while delivery orders are orders for supplies or products. In practice, defense professionals often use "task order" informally to cover both, but the legal distinction matters for contract structure and appropriation purposes.

A TDL from a COR asks the contractor to begin supporting a new project not described anywhere in the task order SOW. What should the contractor PM do?

A. Execute the work immediately; the COR has authority to direct all technical activities

incorrect

B. Refuse to do any additional work until the task order period of performance expires

incorrect

✓ C. Stop, notify the Contracting Officer in writing of the scope concern, and do not start the work until a contract modification is issued

correct

D. Execute the work and add a note to the invoice explaining that the COR verbally authorized it

incorrect

WHY

A TDL cannot add scope. If a TDL directs work that wasn't in the task order SOW, the COR has exceeded their authority. The contractor PM must immediately notify the Contracting Officer (CO) in writing, describe the concern, and not start the work. Starting the work anyway risks performing an unauthorized commitment. Work the government has no legal obligation to pay for.

CLINs (Contract Line Item Numbers) in a task order serve what primary purpose?

A. They identify which contracting officer is responsible for each deliverable

incorrect

✓ B. They break the task order into funded work elements with individual ceilings, periods of performance, and appropriation tracking

correct

C. They establish the vendor's security clearance level for each phase of work

incorrect

D. They are used exclusively to track travel and ODC reimbursements

incorrect

WHY

CLINs are the financial and contractual architecture of a task order. Each CLIN defines a specific element of work (e.g., base period services, option year 1, travel), has its own funding ceiling and period of performance, and may have its own contract type. Critically, appropriation tracking, or color of money, is managed at the CLIN level, which matters for Antideficiency Act compliance.

On a GSA OASIS+ task order, the COR verbally directs the contractor to add two analysts to the team starting next week. What is the correct contractor response?

A. Assign the analysts immediately: the COR is the day-to-day authority on all staffing decisions

incorrect

✓ B. Follow up with the COR in writing to confirm the verbal direction before starting, verify the work is within scope and within available CLIN funding, then execute once confirmed in writing

correct

C. Decline any staffing change unless it is accompanied by a signed contract modification

incorrect

D. Contact OMB to report the unauthorized direction

incorrect

WHY

Verbal direction alone is not sufficient documentation on a government contract. The contractor should immediately follow up in writing, "Per our call today, I understand you're directing us to assign two senior analysts starting April 7. Please confirm by email." Once confirmed in writing, the contractor should verify the work is within scope and that CLIN funding covers the effort, then proceed. This protects both parties.

An agency wants to use OASIS+ to acquire professional services. What document authorizes the interagency transaction between the requesting agency and GSA?

A. A Technical Direction Letter issued by the agency COR

incorrect

B. A Fair Opportunity Determination signed by the CO

incorrect

✓ C. An Interagency Agreement (IAA) executed between the requesting agency and GSA under the Economy Act

correct

D. A Sole Source Justification approved by the agency's Senior Procurement Executive

incorrect

WHY

When a requesting agency wants to use a GSA vehicle like OASIS+, they execute an Interagency Agreement (IAA) with GSA under the authority of the Economy Act. The IAA documents the scope of the requirement, transfers the funding, and establishes the terms of the interagency relationship. GSA (the servicing agency) then places the task order against OASIS+ on the requesting agency's behalf.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 9

Contract Administration & COR

14 min

Learn how contracts are administered after award and the critical role of the COR.

The Post-Award Phase

Contract award is not the end: it's the beginning of the most critical phase. The vast majority of cost growth, schedule delays, and disputes occur during contract administration, not before award. A program office that does excellent source selection but weak contract administration will still fail. Understanding the roles of the CO, ACO, COR, and DCMA is essential for any PM.

Four roles, four different jobs. Only one of them can actually change what the contract says.

The Four People Running Your Contract

PCO

Signs the contract

Procuring Contracting Officer. The person who awarded the contract and is the only one who can legally change its scope, price, or terms. If a contractor wants more money or a schedule extension, it has to go through the PCO. Nobody else: not the COR, not the PM: can commit the government to additional work or cost.

ACO

Runs it day-to-day

Administrative Contracting Officer. Handles the daily life of the contract after award: approving invoices, managing modifications, monitoring compliance, issuing cure notices. On major contracts, the ACO is typically a DCMA official. Think of them as the property manager after the real estate deal is signed.

COR

Your eyes on performance

Contracting Officer's Representative. The technical expert the CO delegates to monitor contractor performance day-to-day: reviewing deliverables, attending status meetings, documenting issues. Critical distinction: the COR has ZERO contract authority. They cannot direct new work, approve scope changes, or obligate money. Only the CO can. A COR who directs extra work without CO authorization creates an unauthorized commitment: a legal problem.

DCMA

On-site oversight

Defense Contract Management Agency. Government officials physically present at contractor facilities on major programs. They validate EVM systems, oversee quality, review invoices, and can withhold payment for non-conforming deliverables. Not to be confused with DCAA (the auditors): DCMA manages performance, DCAA audits the money.

THE CONSTRUCTIVE CHANGE TRAP

A "constructive change" occurs when a government action effectively changes the contract's scope, schedule, or cost without a formal contract modification. Common examples: a COR directing "a little extra work," a PM verbally approving scope expansion, or government-caused delays. These are legally binding and can result in large, retroactive contractor claims. All changes must go through the CO via a formal contract modification (mod).

Critical COR Responsibilities

- **Monitor contractor performance against the PWS/SOW and CDRLs daily/weekly** The COR is the government's eyes and ears on contract performance. Monitoring includes reviewing deliverables, attending status meetings, and verifying labor categories match the contract. Documentation is critical: undocumented COR observations have no legal standing in disputes or CPARS assessments.
- **Document all contractor communications: emails, meeting minutes, phone notes** The contract file is a legal document. In a dispute or claim, the government's case rests on contemporaneous documentation. A COR who verbally agrees to a scope change without documentation has potentially created an unauthorized commitment: a legally binding obligation without contracting authority. Rule: if it's not in writing and in the file, it didn't happen.
- **Review and accept/reject deliverables within the specified timeframe** Most contracts specify an acceptance period (e.g., 30 days). If the government doesn't accept or reject within that period, constructive acceptance may occur: the government is deemed to have accepted even without explicit action. This waives the right to reject on quality grounds. CORs must review promptly and document acceptance or provide written rejection with specific deficiencies cited.
- **Notify the CO immediately of any performance deficiencies, schedule slips, or scope issues** The COR's notification obligation is immediate and in writing: verbal notifications don't create a legal record. The CO needs the documented notification to issue cure notices, show cause letters, or contract modifications. CORs who delay notification to avoid conflict give contractors time to dig deeper into performance problems.
- **Maintain a surveillance plan and daily/weekly surveillance records** The Quality Assurance Surveillance Plan (QASP) defines how the COR monitors performance: what gets inspected, how often, and what the acceptance criteria are. Surveillance records must be detailed enough to support CPARS ratings and claims resolution. Spotty or absent records consistently disadvantage the government in disputes.
- **Never direct the contractor to do work not in the contract scope: that creates constructive changes** A constructive change is a government-directed change to the contract that occurs without a formal modification. If the COR tells the contractor to "just add this" without CO authorization, the contractor may have a valid claim for additional compensation. The COR has no authority to change scope: only the CO does.
- **Track invoices against actual work performed; do not accept invoices for work not completed** Invoice acceptance is a COR responsibility on many contracts. Accepting an invoice for work not performed or not

accepted is improper payment: potentially a False Claims Act issue. The COR must verify deliverables are accepted, work is performed as described, and hours/materials are accurate before recommending payment.

CDRL MANAGEMENT

CDRLs (Contract Data Requirements Lists, DD Form 1423) are the formal mechanism for requiring data deliverables from contractors. A PM who fails to review CDRLs on time and provide Government Furnished Information (GFI) on schedule may inadvertently waive the government's right to reject substandard work or trigger an excusable delay claim. Every CDRL has a review period: track them religiously.

QASP AND SURVEILLANCE

Every services contract should have a Quality Assurance Surveillance Plan (QASP). The QASP defines how the government will monitor performance, what metrics are tracked, and what constitutes acceptable performance. A well-executed QASP provides the documentation needed to support negative past performance ratings, withhold award fees, or terminate for cause.

The constructive change is the trap I see contractor PMs fall into constantly. The COR asks for something small, a little extra analysis, a slightly different format, a new briefing that wasn't in the SOW. The PM just says yes, because they want to keep the relationship smooth. That's admirable. But here's the problem: you just did work that isn't on contract. Do it enough times and you've created scope creep, burned hours you can't bill, and maybe set a precedent for what "standard" looks like. And if you ever try to get paid for it through an REA, you've got no documentation to back it up. The right answer isn't to say no. It's to say, "Happy to do that. Let's just make sure there's a mod first." Simple, and it protects everyone.

INTERMEDIATE

COR Oversight of High-Risk Performance Areas

Mid-career PMs must direct their COR's oversight efforts to the highest-risk contract areas. Not just routine deliverable acceptance. Risk areas that warrant enhanced COR attention: (1) subcontractor performance (prime contractors often absorb subcontractor failures rather than escalating to the government, masking systemic problems); (2) key personnel substitutions (contractors routinely propose senior experts who disappear post-award. CORs must verify key personnel presence); (3) Government-Furnished Equipment (GFE) receipt and accountability; and (4) cybersecurity compliance under DFARS 252.204-7012. A COR who only reviews deliverables is missing 80% of performance risk. Build a COR surveillance plan that maps oversight activities to contract risk, not just to deliverable schedules.

ADVANCED**CURE NOTICES, SHOW CAUSE, AND TERMINATION FOR DEFAULT: THE ESCALATION LADDER**

Senior PMs have a contract escalation ladder they must understand thoroughly. Cure Notice (FAR 49.607): when a contractor is in danger of default, the CO issues a cure notice giving typically 10 days to cure the condition. Show Cause Notice: when default appears imminent, requires contractor to explain why the contract should not be terminated. Termination for Default (T4D): the nuclear option. The government terminates, the contractor loses all rights to claim for termination costs, and the government can reprocur at the contractor's expense. T4D creates its own risks: contractors routinely convert T4D to Termination for Convenience through litigation by arguing the default was government-caused (weather, GFE delays, government-directed changes). Document government actions meticulously throughout performance. The paper trail determines whether T4D survives a challenge.

Three rungs. Each one is harder to walk back than the last.

Key Terms**ACO**

Administrative Contracting Officer. Responsible for contract administration after award.

DCMA

Defense Contract Management Agency. The primary government agency for DoD contract administration.

CDRL

Contract Data Requirements List. The official list of data deliverables required under the contract.

SOW

Statement of Work. Defines the technical requirements and work the contractor must perform.

PWS

Performance Work Statement. Outcome-based work description focused on desired results, not methods.

Constructive Change

An informal action by the government that changes contract scope without a formal contract modification.

Knowledge Check

Which individual is the **ONLY** person with authority to change a contract's scope, price, or delivery schedule?

- A. Program Manager
- B. COR (Contracting Officer's Representative)

✓ **C. Contracting Officer (CO)**

- D. DCMA Quality Assurance Representative

WHY

Only a warranted Contracting Officer (CO) with appropriate authority has legal power to modify a contract. The PM, COR, and government technical personnel cannot direct changes to scope, price, or schedule. Doing so creates an unauthorized commitment and potential constructive change claim.

DCMA (Defense Contract Management Agency) primarily provides which service to DoD?

- A. Contract award and source selection support

✓ **B. On-site contractor oversight including quality, delivery, and financial surveillance**

- C. Independent cost estimates for program offices
- D. Legal review of contract disputes

WHY

DCMA provides post-award contract administration and on-site oversight at contractor facilities, including quality assurance, production surveillance, delivery monitoring, EVMS surveillance, and property management. They act as the government's eyes and ears at the contractor's facility.

A constructive change claim may arise when:

A. A CO issues a formal bilateral modification

✓ **B. A COR verbally directs the contractor to perform work beyond the contract scope**

C. DCMA approves a contractor's quality plan

D. An offeror submits a proposal for additional work

WHY

A constructive change occurs when a government action: including informal direction from a COR or government technical personnel: effectively changes contract scope without a formal modification. The contractor can file a claim for the additional cost. All scope direction must go through the CO via formal contract modification.

The Performance Work Statement (PWS) differs from a Statement of Work (SOW) in that a PWS:

A. Lists every specific task the contractor must perform

✓ **B. Focuses on desired outcomes and performance standards rather than prescribing how work is done**

C. Is only used for cost-plus contracts

D. Requires the contractor to use government-specified methods and procedures

WHY

A PWS defines the outcomes and standards the contractor must achieve, not the specific methods or procedures. This gives the contractor flexibility to innovate while holding them accountable for results. An SOW, by contrast, specifies exactly what tasks must be performed. PWS is required for performance-based services contracts.

A CDRL (Contract Data Requirements List) is used to:

A. List all government-furnished equipment provided to the contractor

✓ **B. Formally specify data deliverables the contractor must provide under the contract**

C. Define the contract quality inspection criteria

D. Identify subcontractor qualifications required

WHY

CDRLs (DD Form 1423) are the contractually binding list of data deliverables: reports, technical documents, test plans, drawings: that the contractor must deliver. Each CDRL specifies the data item description (DID), frequency, format, and review period. Failure to track and respond to CDRLs is a common government oversight failure.

What is a Quality Assurance Surveillance Plan (QASP) primarily used for?

A. Contractor proposal evaluation during source selection

✓ **B. Defining how the government will monitor, measure, and document contractor performance**

C. Approving contractor subcontracting plans

D. Setting contract award fee criteria

WHY

The QASP defines the government's plan for monitoring contract performance: what will be measured, how often, by whom, and what constitutes acceptable vs. unacceptable performance. A QASP is required for performance-based services contracts and provides the documentation baseline for past performance assessments and award fee decisions.

A COR discovers a contractor has submitted an invoice for deliverables not yet completed. The COR should:

A. Approve the invoice to maintain the contractor relationship

✓ **B. Reject the invoice and immediately notify the Contracting Officer with documentation**

C. Ignore it and wait for the CO to review all invoices

D. Direct the contractor to complete the work and resubmit

WHY

CORs have a responsibility to verify work completion before approving invoices. Accepting invoices for work not performed is improper payment: potentially a fraud issue. The COR should reject the invoice, document the discrepancy, and immediately notify the CO so proper action can be taken.

The Administrative Contracting Officer (ACO) differs from the Procuring Contracting Officer (PCO) in that the ACO:

A. Has authority to award new contracts and modifications

✓ B. Handles post-award administration including payments, contractor compliance, and closeout

C. Is responsible for source selection only

D. Reports directly to the program manager

WHY

The PCO focuses on pre-award activities (strategy, solicitation, negotiation, award) and significant modifications. The ACO handles ongoing contract administration after award: processing invoices, monitoring compliance, managing property, and handling routine modifications within delegated authority.

A contractor misses a contractual delivery milestone due to a government delay in providing Government Furnished Equipment (GFE). This may entitle the contractor to:

A. Termination for convenience

✓ B. An excusable delay extension to the contract schedule

C. Increased profit on remaining work

D. Conversion to a cost-plus contract type

WHY

When government-caused events: like late delivery of GFE, late approval of drawings, or government-directed changes: impact the contractor's schedule, the contractor is generally entitled to an "excusable delay": a schedule extension with no liability for delay damages. PMs must track GFE and GFI delivery dates carefully to avoid creating government-caused delays.

Past Performance Assessments (PPAs) in the Contractor Performance Assessment Reporting System (CPARS) are important because:

A. They determine the contractor's fee on the current contract

✓ B. They become part of the contractor's official record and are used in future source selections

C. They trigger mandatory audits by DCAA

D. They are only used to document contractor failures

WHY

CPARS records are used in future source selections as the past performance evaluation factor. Both positive and negative assessments follow contractors for 3 years. CORs and PMs have a legal and ethical obligation to complete CPARS assessments accurately and on time; they are the government's institutional memory of contractor performance.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 10

Modifications, REAs & Claims

22 min

Master contract modifications, constructive changes, Requests for Equitable Adjustment, and the claims process. The most contentious and costly aspects of contract administration.

What a Contract Modification Actually Is

A contract modification is simply a formal change to a contract after it has already been signed. Some are bilateral, meaning both sides sign off. Others are unilateral, meaning the Contracting Officer directs it alone under an authority clause and the contractor has to perform it regardless. A Request for Equitable Adjustment, or REA, is what a contractor files when they believe a change entitles them to more money or more time. A claim is what happens when that request turns into a formal legal demand. The initial contract price is a starting point. Not the final cost. On complex defense programs, contract modifications routinely add 20-50% to the original contract value. Every undefinitized UCA, every government-caused delay, every specification change, every constructive change creates entitlement for the contractor to more money. PMs who do not understand modification authority, REA management, and claims risk losing budget discipline entirely. The contractors' contracts and claims departments are professional. PMs must be equally sophisticated.

Types of Contract Modifications: Know the Difference

TYPE	WHO SIGNS	AUTHORITY	COMMON USE	KEY RISK
Bilateral Mod (SF30)	CO + Contractor	Mutual agreement	Definitize changes; price supplements; scope adjustments	Scope creep if poorly scoped; waiver of claims if "accord & satisfaction" language added
Unilateral Mod: Change Order	CO only	Changes Clause (FAR 52.243-1)	Direct contractor to change work; price to be negotiated after	Contractor has 30 days to submit REA; undefinitized cost risk grows over time
Unilateral Mod: Admin	CO only	Administrative necessity	Correct errors, change COR, update addresses, issue/modify options	Low risk if truly administrative; never use to sneak in scope changes
Letter Contract / UCA	CO + Contractor	FAR 16.603 / DFARS 217.74	Begin urgent work before price is agreed; requires definitization schedule	Highest risk: contractor bills costs with limited incentive to control; DFARS requires definitization within 180 days

The Changes Clause: Your Most Important Tool and Risk

The Changes clause (FAR 52.243-1 for fixed-price supply, 52.243-2 for cost-reimbursable, etc.) is one of the most powerful tools in government contracting. It allows the CO to unilaterally direct changes to the contract's technical requirements, delivery schedule, place of performance, or other specified areas. Without the contractor's consent. The contractor must perform. But the Changes clause also creates the contractor's entitlement to an equitable adjustment for any change that increases cost or time. The PM must ensure every directed change is formally documented. Verbal direction to "just go do it" is a constructive change waiting to happen.

CONSTRUCTIVE CHANGES: THE SILENT BUDGET KILLER

A constructive change is not a formal directive. It is a government action or inaction that effectively changes the contractor's work without formal paperwork. Common examples: Government-issued specifications that turn out to be defective (requiring rework); CO over-inspection that goes beyond contract standards; Government delay in furnishing data, GFE, or approvals; Government interference with contractor methods of performance; Informal technical direction from a COR or Government engineer that exceeds their authority. The contractor can pursue an REA or claim for a constructive change years after the work was performed. The best defense is meticulous daily documentation of all government-contractor interactions.

The REA Process: Timeline and Requirements

The earlier you can resolve an REA via bilateral modification, the better. Once an REA becomes a claim and enters dispute resolution, costs escalate for both sides and relationships deteriorate. PMs should push for rapid, fair REA resolution. A contractor that knows its REAs will be resolved promptly is less likely to inflate future REAs.

Un definitized Contract Actions (UCAs): The Highest-Risk Modification

A UCA (also called a letter contract or undefinitized change order) authorizes a contractor to begin work before the price is agreed. UCAs are necessary for urgent national security situations. But they create serious cost risk. A contractor performing under a UCA has no price ceiling and a weak incentive to control costs: they bill actual costs and know the government will pay them regardless of final negotiated price. DFARS 217.7404 requires definitization within 180 days of initial performance. In practice, many UCAs run for years undefinitized. For PMs, every open UCA is a financial exposure that should be tracked and closed as quickly as possible.

REAL TALK

Legal doctrine is not why anyone raises their hand to become a PM, myself included. But this particular line matters, because it's the point past which the government legally cannot keep piling on new work without either paying you more or running a new competition. You don't need to recite the legal test word for word at a dinner party. That's what your contracts team, and eventually a lawyer, gets paid to do. You just need to know the line exists so you can point at it.

Cardinal Change Doctrine: When a Change Becomes a Breach

CONCEPT	DEFINITION	EXAMPLE	CONSEQUENCE
Within-Scope Change	Change is within the general scope of the original contract: CO can direct it unilaterally	Changing radar frequency range on a radar development contract	Contractor must perform; entitled to equitable adjustment
Cardinal Change	Change so significant it falls outside the general scope: essentially a new contract requirement	Changing a radar development contract to also develop a missile guidance system	Cannot be directed unilaterally; must be competed separately or bilateral agreement required
Change vs. Breach	An unauthorized direction that constitutes a cardinal change is a government breach: contractor can terminate for cause	CO directs contractor to provide services not contemplated anywhere in the original SOW	Contractor entitled to settlement as if for termination for convenience

THE PM'S BEST DEFENSE: AN ACTIVE CHANGE CONTROL BOARD

Every major program should have a formal Change Control Board (CCB) that reviews, approves, and documents every technical, schedule, or contract change before it is executed. The CCB records: what changed, why, who authorized it, and the estimated cost/schedule impact. Good CCB discipline prevents constructive changes (changes that happen informally), gives the PM visibility into cumulative scope growth, and provides documentation if a contractor's REA is disputed. PMs who run informal programs without CCBs routinely lose REA negotiations because they cannot reconstruct what was actually directed.

ACCORD & SATISFACTION: READ EVERY BILATERAL MOD CAREFULLY

When a contractor signs a bilateral modification that includes "accord and satisfaction" language (or "full and final settlement"), they may be waiving their right to any future claim related to that change.

Contractors sometimes sign these under time pressure without fully recognizing the financial waiver. As a PM working with the CO, be aware that modification language matters legally. Conversely, if you want to definitively close out all claims associated with a change, including "full and final settlement" language is appropriate. Just ensure both parties understand what they are agreeing to.

INTERMEDIATE

Constructive Changes: The Most Expensive Undocumented Government Actions

A constructive change occurs when government actions. Without a formal modification. Effectively change the contract's scope, schedule, or performance requirements. Examples: a government engineer verbally directing the contractor to add features not in the SOW; a COR demanding deliverables in a format not specified in the contract; unreasonable inspection failures that require rework not called for by contract quality standards. Contractors document every instance and compile them into REAs at contract closeout. Mid-career PMs prevent constructive changes by enforcing a single communication protocol: all direction goes through the CO, all informal guidance is labeled as "information only, not direction," and CORs are trained that they cannot direct scope changes. Track every verbal exchange with contractors at the technical level.

ADVANCED**ARMED SERVICES BOARD OF CONTRACT APPEALS: WHAT SENIOR PMS NEED TO KNOW**

When REAs become claims and claims become disputes, they go to the Armed Services Board of Contract Appeals (ASBCA) or the Court of Federal Claims. Senior PMs are rarely ASBCA participants personally, but their decisions. And their documentation. Become the evidence. ASBCA cases routinely turn on: (1) whether government direction was communicated in writing or only verbally; (2) whether the contractor provided timely notice of a changed condition (failure to provide REQ notice waives the right to recover); (3) whether government delay was "excusable" (sovereign acts, weather) or "compensable" (government failure to perform its obligations). Build a file culture from day one: every significant decision in writing, every government-caused delay documented with specific dates and contract references. The ASBCA judge reading your file 5 years from now is your actual audience.

Simple rule I give every new contractor PM: if your COR asks you to do something that isn't in your Statement of Work, **stop**. Don't do it yet. Just say, "I want to make sure we're covered, can we get a mod?" Nine times out of ten, the COR didn't realize it was out of scope. They're not trying to get free work, they just didn't check the SOW, and you'll get a quick mod and move on. It's the tenth time that matters: when the government comes back and says "we don't have funding for a mod," that tells you everything you need to know about whether you should be doing the work at all. Winning the contract was the starting line, not the finish line. Everything after that is execution, and execution without documentation is just volunteering.

Key Terms

Bilateral Modification

A contract change signed by both the contractor and the contracting officer. Used for definitized changes, price adjustments, and scope changes both parties agree to.

Unilateral Modification

A contract change signed only by the contracting officer, using a contract authority clause (e.g., Changes clause, stop-work order, exercise of option). Contractor may disagree but must perform.

Changes Clause

FAR 52.243-1 through 52.243-4. Authorizes the CO to direct changes within the general scope of the contract. Contractor must perform the change; has right to an equitable adjustment.

Constructive Change

A change that is not formally directed but results from government action or inaction that effectively changes the contractor's work. Examples: defective specifications, government-caused delays, over-inspection.

REA

Request for Equitable Adjustment. A contractor's formal request for a contract price or schedule adjustment due to a government-directed or constructive change. Precursor to a claim.

Claim

A written demand by a contractor to the CO for payment of a specific sum, adjustment to contract terms, or other relief. Subject to the Contract Disputes Act. Claims over \$100K must be certified.

Definitization

The process of negotiating and finalizing the price and terms of an undefinitized contract action (UCA). Converting a letter contract or other interim vehicle to a fully priced contract.

UCA

Undefinitized Contract Action. A contract where work begins before price is agreed. Risky for government. Contractor has little incentive to control costs before definitization.

Contract Disputes Act

41 U.S.C. § 7101 et seq.. Establishes the process for resolving government contract disputes, including CO Final Decisions, ASBCA appeals, and Court of Federal Claims.

ASBCA

Armed Services Board of Contract Appeals. Administrative tribunal that hears contractor appeals of Contracting Officer Final Decisions on contract disputes.

Knowledge Check

Which type of contract modification requires signatures from BOTH the contracting officer and the contractor?

- A. Change order
- B. Administrative modification

✓ C. **Bilateral modification**

- D. Stop-work order

WHY

A bilateral modification (Standard Form 30) is executed by both the CO and the contractor, typically reflecting a mutual agreement on scope, price, or schedule changes. Change orders and stop-work orders are unilateral modifications. Signed only by the CO using an existing contract authority clause.

A government program manager verbally tells a contractor's engineer to "add this new feature while you're at it" without a formal contract modification. This most likely creates:

- A. A valid contract change under the Changes clause

✓ B. **A constructive change: the contractor may pursue an REA based on government-directed work outside the contract SOW**

- C. No obligation since it was not in writing
- D. An unauthorized commitment by the contractor

WHY

Verbal direction to perform out-of-scope work without a formal modification is a classic constructive change. The contractor performed work beyond the contract requirements based on government direction. Even without a formal mod, the contractor has entitlement to an equitable adjustment. This is why COR authorities are strictly limited. Informal technical direction can bind the government to pay for work without contractual authority.

An Undefinitized Contract Action (UCA) must be definitized within how many days under DFARS 217.7404?

- A. 30 days
- B. 90 days
- ✓ C. 180 days
- D. 365 days

WHY

DFARS 217.7404-3 requires UCAs to be definitized within 180 days of issuance of the authorization to proceed, or by the time 50% of the work is completed. Whichever comes first. In practice, many UCAs remain undefinitized beyond this requirement. Every day a UCA is undefinitized, the government faces increasing cost risk because the contractor is billing actual costs with no negotiated price ceiling.

A contractor submits an REA that grows into a formal claim of \$2.5M. For the claim to be valid, it must be:

- A. Submitted within 30 days of the change
- ✓ B. Certified by a senior company official and submitted as a written demand to the CO
- C. Approved by DCAA before submission
- D. Accompanied by a technical evaluation from DCMA

WHY

Under the Contract Disputes Act (41 U.S.C. § 7103), claims exceeding \$100K must be certified by an authorized contractor representative that the claim is made in good faith, supporting data are accurate and complete to the best of their knowledge, and the amount requested accurately reflects the contract adjustment believed to be due. False certification can expose the contractor to criminal liability under the False Claims Act.

A "cardinal change" is significant because:

A. It requires a 30-day waiting period before performance

✓ **B. It falls outside the general scope of the contract and cannot be directed unilaterally: it may constitute a breach**

C. It always requires Congressional approval

D. It must be competed under full and open competition

WHY

The cardinal change doctrine (developed through case law at the ASBCA and Court of Federal Claims) holds that changes so substantial they alter the nature of the bargained-for contract cannot be directed unilaterally under the Changes clause. Doing so constitutes a government breach, and the contractor is entitled to breach remedies. For PMs, this means very large scope additions should be scrutinized for cardinal change risk before direction is issued.

A Contracting Officer Final Decision (COFD) in response to a contractor claim must be issued within:

A. 30 days of the claim

✓ **B. 60 days of the claim (or reasonable time with notification for complex claims)**

C. 180 days

D. There is no time requirement

WHY

The Contract Disputes Act requires the CO to issue a Final Decision within 60 days of a certified claim, or within a reasonable time for more complex claims. Provided the CO notifies the contractor of the anticipated decision date. If the CO fails to issue a COFD, the contractor may treat the inaction as a denial and appeal directly to the ASBCA or Court of Federal Claims (deemed denial).

Which of the following is an example of a constructive change based on defective government specifications?

A. The CO directs a formal change to the system's performance requirements

✓ B. Government-provided technical specifications contain errors that cause the contractor to perform excessive rework to meet the actual requirement

C. The contractor voluntarily redesigns the system to improve performance

D. The CO exercises an option on the contract

WHY

Defective government specifications are one of the most common sources of constructive changes. When the government provides faulty specs that the contractor relies on. Only to find they are incorrect or impossible to meet. The extra work required to correct the problem is a constructive change entitling the contractor to an equitable adjustment. The government warrants the accuracy of specifications it provides (the "Spearin Doctrine," 248 U.S. 132 (1918)).

A bilateral modification that includes "full and final settlement" language regarding all claims related to a change means:

A. The contractor retains the right to pursue additional claims for hidden costs

✓ B. The contractor waives their right to future claims arising from that change: an accord and satisfaction

C. DCAA must approve the settlement before it is final

D. The modification automatically triggers a DCMA review

WHY

"Accord and satisfaction" in a bilateral mod means both parties agree the modification fully resolves all claims arising from the specified change. Once signed, the contractor generally cannot pursue additional claims for that change. This is a powerful tool for closing out changes cleanly. But contractors sometimes sign without fully understanding the financial waiver implications.

The ASBCA (Armed Services Board of Contract Appeals) has jurisdiction over:

A. Pre-award bid protests by losing offerors

✓ **B. Contractor appeals of Contracting Officer Final Decisions (COFDs) on contract disputes**

C. DCAA audit disputes between contractors and auditors

D. Congressional notification of Nunn-McCurdy breaches

WHY

The ASBCA (and its civilian counterpart, the CBCA) hears contractor appeals of CO Final Decisions under the Contract Disputes Act. It is an administrative tribunal (not a federal court), but its decisions can be appealed to the Court of Appeals for the Federal Circuit. The alternative forum is the U.S. Court of Federal Claims, a judicial (Article III) court.

A Change Control Board (CCB) on a major defense program primarily serves to:

A. Review and approve DCAA audit findings before they are released

✓ **B. Document, review, and approve all technical and contractual changes before execution: preventing constructive changes and scope creep**

C. Authorize program managers to exceed budget without congressional notification

D. Approve new hire requests for the program office

WHY

A CCB provides the formal process for evaluating and approving changes to the baseline. Technical, schedule, and contractual. Every proposed change is evaluated for cost/schedule impact before it is directed. This prevents informal, undocumented changes (constructive changes) and gives the PM a documented record of all directed changes. Essential for defending against REAs that claim the government directed more work than the formal record shows.

Place the REA-to-Claim process in the correct sequence:**CORRECT ORDER**

1. **Government directs change (formal or constructive)** Correct. The changes clause process begins when the government directs a change, either through a formal written order under the Changes clause (FAR 52.243-1 through -4) or through constructive change (government actions that effectively change the contract without formal direction).
2. **Contractor submits REA with entitlement and cost proposal** Correct. The contractor submits a Request for Equitable Adjustment (REA) that establishes: (1) entitlement, the legal basis for why a change occurred, and (2) the cost/schedule impact. The REA is not a certified claim, it is a negotiation opener.
3. **DCAA audits REA cost proposal (if >\$2M)** Correct. For cost proposals over \$2M, DCAA typically audits the REA cost proposal to assess cost reasonableness, allocability, and allowability. The audit opinion gives the CO a basis for evaluating the contractor's claimed costs before negotiation.
4. **CO and contractor negotiate equitable adjustment** Correct. After DCAA audit (if applicable), the CO and contractor negotiate the amount and terms of the equitable adjustment, the change in contract price and/or schedule to account for the directed change.
5. **Bilateral modification definitizes the change (ideal outcome)** Correct. A bilateral modification (signed by both the CO and contractor) is the preferred outcome, it definitizes the change and prevents future disputes. Once signed, the contractor cannot re-open the REA for additional compensation.
6. **If failed: REA converts to certified Claim; CO issues Final Decision** Correct. If REA negotiation fails, the contractor may convert the REA to a certified Claim under the Contract Disputes Act (CDA). The CO issues a Contracting Officer's Final Decision (COFD), which can be appealed to the Armed Services Board of Contract Appeals (ASBCA) or the Court of Federal Claims.

WHY

The process flows: triggering change → contractor submits REA → government review/DCAA audit of cost proposal → negotiation → bilateral mod (ideal resolution). If negotiation fails, the REA becomes a certified claim → CO issues Final Decision → contractor may appeal to ASBCA or Court of Federal Claims. Each step that advances past bilateral mod resolution increases cost and time for both parties.

Match each modification or change concept to its correct definition:**CORRECT MATCHES**

Bilateral Modification	Requires signatures from both CO and contractor
Constructive Change	Informal government direction or inaction that effectively changes the work
UCA (Letter Contract)	Work begins before price is agreed; must be definitized within 180 days
Cardinal Change	Change outside original scope; cannot be directed unilaterally; may be a breach

WHY

These concepts form the vocabulary of contract changes. Bilateral mods require consent; unilateral mods do not. Constructive changes happen informally. UCAs are open-ended cost risks. Cardinal changes exceed what can be directed unilaterally. Understanding each distinction allows PMs to manage scope, cost, and legal exposure effectively.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 11

Section H: Special Requirements

24 min

Section H is where the government puts everything that does not fit in the standard contract structure. Security requirements, GFE, key personnel clauses, small business subcontracting plans. This section runs your day-to-day program life.

Wait, what is Section H? (The 30-second version)

Think of a Federal contract like a lease. Sections I and J are the standard lease boilerplate every renter signs. The stuff that is basically the same no matter which apartment you rent. Section H is the landlord walking up separately and saying "quiet hours are 10pm, do not sublet the guest room, and you are responsible for the shared grill." It is the program-specific house rules that only apply to YOUR contract. Every Section H is different because every program is different. Which is exactly why you cannot skim it like the rest of the contract.

Every program's personality is written in Section H.

Sections A through G establish the basics. Sections I and J contain hundreds of standard clauses that apply to most contracts. But Section H is where the government tells you exactly how this specific program works. Security requirements, property accountability, key person rules, subcontracting obligations, organizational conflict restrictions. It is all in Section H. Most contractor PMs read their SOW carefully and barely glance at Section H. That is how surprises happen.

READ SECTION H ON DAY ONE. THEN AGAIN ON DAY 30.

The first read gives you the high-level picture. The second read. After you have been working the program for a month and understand what is actually happening. Is where you catch the requirements that will bite you. Key personnel, GFP accountability, reporting obligations, OCI restrictions, and option mechanics all need to be in your program tracking system, not just in your contract binder.

What Actually Lives in Section H

- **Key Personnel** If a name is in Section H, that person cannot be replaced without CO approval. Build a succession plan from day one. The government approved your team at award: any change is a risk to them and a compliance obligation for you. — Names, roles, substitution rules
- **GFE / GFP** Government-furnished equipment, facilities, data, or software. You are responsible for it while it is in your possession. Inventory it when you receive it, track it throughout the program, and report any issues immediately. — What the government will provide and when

- **Security Requirements** The DD Form 254 (Contract Security Classification Specification) is usually attached to Section H or Section J. It defines the classification levels, facility requirements, and personnel clearances needed. Missing a security requirement is a program stopper. — Clearances, DD Form 254, facility access
- **OCI Restrictions** Organizational Conflict of Interest clauses limit your ability to compete on related work while on this program. See the plain-English breakdown of OCI right below this: it is one of the most misunderstood terms in the industry. — What other work you cannot pursue
- **Subcontracting Plan** If required, your approved small business subcontracting plan is part of Section H. You are contractually obligated to meet the goals in that plan. Miss them and face a negative CPARS notation and potential liquidated damages. — Small business commitments
- **Option Terms** The mechanics of option exercise: notification requirements, pricing, period lengths, and government rights. The government typically must notify you 60 to 90 days before option exercise. Know the notice period. Plan your staffing around it. — How and when options can be exercised

OCI, actually explained: why can't you just bid on whatever you want?

Organizational Conflict of Interest sounds like legal jargon, but the idea is simple: the government does not want you to have an unfair edge. Or even the appearance of one. Because of something you learned or did on a different contract. There are three classic flavors, and every one of them shows up constantly in real programs.

The 3 Types of OCI (In Plain English)

- **Unequal Access to Information** Example: While supporting a program office, you see the Government's internal budget estimate for an upcoming competition. If you then bid on that competition, you would know something no other bidder knows. That insider knowledge is the conflict: even if you never intended to misuse it. — You know things your competitors don't
- **Biased Ground Rules** Example: You help the government write the requirements or the Statement of Work for a program. Then your company turns around and bids on performing that same work. You had a hand in shaping the rules of a competition you are now entering: that is the conflict, regardless of how good your bid is. — You can't grade your own homework
- **Impaired Objectivity** Example: You are hired to independently evaluate a system, but a sister division of your own company built that system. Your employer has a financial stake in what verdict you reach. Even a completely honest evaluation looks compromised: and looking compromised is often treated the same as being compromised. — You can't be neutral about your own product

WHY THE GOVERNMENT CARES THIS MUCH

It is not about assuming contractors are dishonest. It is about protecting the competition itself. If bidders believe the process can be gamed by whoever has insider access, fewer companies bid, prices go up, and the government gets worse value. OCI clauses exist to keep the playing field level enough that companies without an inside track still want to compete.

THE KEY PERSONNEL TRAP

Key personnel clauses are the most commonly violated Section H requirement. A senior engineer leaves for a better offer. The PM thinks they can just hire someone equally qualified. They bring the new person on without CO approval. Six months later, during an award fee evaluation, the COR flags the unapproved substitution. The rating drops. Always. Always. Get written CO approval before substituting a key person.

Building a Section H tracker

On every new program, create a simple Section H compliance tracker. List every requirement, its compliance action, the person responsible, and the next due date. Key personnel changes, GFP inventories, subcontracting report submissions, security documentation updates. All of it goes in the tracker. Review it monthly. The requirements in Section H do not announce themselves when they come due.

I took over a program mid-execution once and the outgoing PM handed me a thick contract binder and said everything is running fine. Three weeks in I finally read Section H carefully and found a small business subcontracting plan with goals we had been missing for two quarters. Nobody had tracked it. We had to do an emergency replan and spent considerable time on a corrective action narrative to the CO. Read Section H before you trust that everything is fine.

Key Terms

Section H

Special contract requirements. The section of a Uniform Contract Format (UCF) contract where the government places unique, program-specific requirements that are not covered by the standard FAR/DFARS clauses in Sections I and J. This is where your program really lives.

Uniform Contract Format

FAR 15.204-1. The standard structure for negotiated federal contracts, organized into Parts I-IV and Sections A through M: Part I (Sections A-H) is the Schedule; Part II (Section I) is Contract Clauses; Part III (Section J) is the List of Attachments; Part IV (Sections K-M) covers Representations, Instructions, and Evaluation Factors.

Key Personnel Clause

A Section H requirement identifying specific individuals by name and role whose substitution requires prior government approval. Losing a key person without approval is a contract compliance issue.

GFE / GFP

Government Furnished Equipment or Property. Section H specifies what the government will provide to the contractor, when it will be provided, and who is responsible for tracking and maintaining it. Lost or damaged GFP is a contractor liability.

Organizational Conflict of Interest

OCI. A situation where a contractor has (or appears to have) an unfair advantage on a competition because of something learned or done on a different contract. The 3 types: Unequal Access to Information (you saw insider data), Biased Ground Rules (you helped write the requirements you are now bidding on), and Impaired Objectivity (you can't be neutral about evaluating your own company's product). Section H restricts what other work you can pursue specifically to prevent these situations.

TINA

Truth in Negotiations Act. A separate, much higher threshold than the SAT: contractors on negotiated contracts over \$10 million (raised from \$2.5 million by the FY2026 NDAA, effective for contracts awarded after June 30, 2026) must disclose cost or pricing data and certify its accuracy. Violations can lead to price reduction and fraud exposure.

Place of Performance

Section H often specifies where work must be performed. Government site, contractor facility, or both. Changes to place of performance typically require a modification.

Option Periods

Section H details the government's rights to exercise options for additional periods of performance or quantities. The government is not required to exercise options. Understanding option mechanics is critical for program continuity planning.

Knowledge Check

Your contract has a key personnel clause naming your Lead Systems Engineer. She resigns. What must you do?

A. Replace her immediately with the best available candidate

✓ B. Notify the CO and get written approval for the substitution before the replacement starts

C. Notify the COR within 30 days of the change

D. The key personnel clause only applies during source selection

WHY

Key personnel clauses require prior written government approval for substitutions. This is not a courtesy notification. It is a contractual requirement. Substituting key personnel without approval is a contract compliance violation. Notify the CO as soon as you know, propose a qualified replacement, and do not start the new person until you have written approval.

The government provided equipment under your contract and it is damaged on your watch. Who is responsible?

A. The government: it is their property

✓ B. The contractor: you are responsible for GFP in your possession

C. Your subcontractor if they were using it

D. Neither: GFP damage is covered by the government's insurance

WHY

FAR 52.245-1 establishes contractor liability for government property in your possession. You are required to maintain a property control system, use GFP only for the intended contract purpose, and report any loss, damage, or destruction. Failure to maintain GFP accountability is a serious performance issue.

Section H contains an OCI restriction that limits your company from competing on follow-on work. Your BD team wants to bid anyway. What do you advise?

A. Bid and deal with it later if challenged

✓ B. Review the OCI clause with legal, assess the restriction scope, and seek a waiver or mitigation plan before bidding

C. The restriction expires at contract end so bidding is fine

D. OCI restrictions only apply to the specific employees who worked on the program

WHY

OCI restrictions are serious. Bidding on work that conflicts with a contractual OCI restriction can result in a bid protest, contract termination, and reputational damage. The right move is to involve legal counsel, understand the exact scope of the restriction, and determine whether a mitigation plan or waiver is possible before any bid decision.

Your program has performance requirements shifting from a contractor site to a government facility. Where does this change need to be documented?

A. In the program schedule only

✓ B. In a formal contract modification: place of performance is a contract term

C. In a memo from the COR

D. Via email from the CO

WHY

Place of performance is a contract term. Changes to where work is performed require a bilateral modification signed by both the CO and the contractor. A COR memo or email does not change contract terms. Only a modification does. Performing work at an unapproved location is a contract compliance issue.

The government decides not to exercise the option for Period of Performance Year 3. What right does your company have?

A. You can claim breach of contract and seek damages

✓ B. No right: the government is not obligated to exercise options

C. You can request the CO exercise the option under the Competition in Contracting Act

D. You are entitled to a termination for convenience settlement covering the full option value

WHY

Options are unilateral rights held by the government. They are under no obligation to exercise them. This is a key risk in base-plus-options contract structures. Your company's revenue projections should account for the possibility that options are not exercised. Planning for option exercise is a business development and retention strategy, not a contractual entitlement.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 12

CDRLs & DIDs

28 min

Contract Data Requirements Lists and Data Item Descriptions are how the government controls every document, report, and artifact you produce. Master this system and you stop drowning in surprise deliverables.

The deliverable system is a contract within the contract.

Most contractor PMs focus on the Statement of Work. The tasks they have to perform. But buried in Exhibit A is a separate set of obligations that can make or break your CPARS rating: the CDRL. Every report, every technical document, every status update you owe the government is documented there. If you do not own this list, it owns you.

THE RULE THAT CHANGES EVERYTHING

If it is not on the CDRL, you are not required to deliver it. That sounds obvious, but government stakeholders regularly ask for documents, analyses, and reports that are not in the contract. Every one of those informal deliveries is either free work or a scope change. And you need to know which.

The CDRL System: How It Works

- **Exhibit A** The CDRL section of your contract. Every deliverable the government expects from you is listed here. Read it before you start work. Read it again every quarter. — Where CDRLs live in your contract
- **DD Form 1423** Each CDRL line item is its own DD 1423. It tells you what to deliver, when, how many copies, and where it goes. The DID number in this form tells you the format to follow. — One form per deliverable
- **DID Number** Pull the DID from ASSIST (the DoD specification database) before preparing any deliverable. The DID tells you exactly what sections to include, what data to present, and how to structure the document. — The format bible for that deliverable
- **Tailoring** DIDs can be tailored in the contract to add or remove requirements. Always check whether your contract includes CDRL tailoring notes. A tailored DID overrides the base DID. — How the government modified the DID
- **Submission Date** CDRL submission dates are contract requirements. Late delivery is a performance issue that gets documented in CPARS and can reduce your award fee score. Build your program schedule around CDRL dates, not the other way around. — Hard contractual deadlines
- **Distribution** Each DD 1423 specifies distribution addresses and copy counts. Distribution statements control access to technical data. Sending data to unauthorized parties is a compliance failure. — Who gets it and how

THE MOST COMMON CDRL MISTAKES

Delivering to the wrong distribution list. Missing a tailored DID and using the base format instead. Treating "as directed" frequencies as optional. Accepting verbal requests for deliverables without getting a modification. Each of these is a CPARS risk.

How to manage your CDRL in practice

On day one of any program, extract every CDRL item into a deliverables tracker. Include: item title, DID number, frequency, next due date, responsible author, and review lead time. Build backwards from each submission date. Technical review, PM review, final prep, submission. Most deliverables need 5 to 10 business days of internal lead time. Programs that treat CDRLs as an afterthought spend the last week of every month in crisis mode.

Early in my career I inherited a program that had been delivering a monthly report in a format the PM made up years ago. Nobody had pulled the DID. When the COR turned over and the new one actually read the contract, they rejected three months of deliverables at once. We had to resubmit everything and the whole episode hit our award fee score. Pull the DID before you prep the deliverable. Every time.

Anatomy of a DD Form 1423: The Blocks That Run Your Month

BLOCK	WHAT IT SAYS	WHY IT MATTERS
Data Item Number (A001, A002...)	The CDRL line number	How the government refers to the deliverable in every email and rejection
Title and DID number	The name and the format standard	The DID is the format you must follow. Pull it before you write a word
Frequency	Monthly, quarterly, one-time, "as required"	Sets your calendar. "As required" needs a written trigger from the government
First submission / subsequent submission	Days after award or calendar dates	Build the internal review schedule backwards from these
Distribution	Who receives it and how many copies	Wrong distribution is a rejected deliverable
Approval code (Block 8)	A: government approval required; other codes: receipt or review only	Approval-required items block downstream work until approved
Remarks (Block 16)	Tailoring instructions, format changes, review periods	This is where the DID gets tailored. Read every word

Approval, Acceptance, and Receipt Are Three Different Things

Block 8 on the DD 1423 tells you what the government does with the deliverable. Some items only need to be received; you submit, they log it, done. Some are reviewed, with comments you must address. Some require formal approval, and until that approval is issued the deliverable is not accepted and, on many programs, the work that depends on it cannot proceed. A test plan with an approval code that sits in the government's queue for 45 days is a 45-day slip that started with a form nobody read. Know the code for every item and build the government review period into your schedule.

INTERMEDIATE

Tailoring: How a DID Gets Changed and Why It Matters

A DID is a generic format standard. Almost every program tailors it: sections deleted, sections added, page limits, delivery in a specific tool. The tailoring is written in Block 16 of the DD 1423 or in an attachment. It is contractually binding. The most common CDRL rejection is a deliverable that follows the base DID perfectly and ignores the tailoring, or follows the tailoring from a previous program. Before preparing any deliverable, put the DID and the Block 16 remarks side by side and build a section checklist. Then reuse that checklist every cycle so the format does not drift when the author changes.

Government Review Cycles and the "Approved as Noted" Trap

Most approval-required deliverables come back one of three ways: approved, approved as noted, or disapproved. "Approved as noted" sounds like a win. It means the government accepted the document on the condition that you incorporate their comments, and the revised version is due, usually within a set number of days. Programs that treat "approved as noted" as done accumulate a backlog of unincorporated comments that surfaces at the next major review as a finding. Track every comment to closure. And watch the government's own review clock: if the CDRL says the government has 30 days to review and they take 60, document it, because that delay is theirs, not yours, and it matters when the schedule variance is discussed.

DATA RIGHTS MARKINGS BELONG ON THE DELIVERABLE

Every technical data deliverable should carry the correct DFARS data rights legend: unlimited, government purpose, limited, restricted, or specially negotiated. A deliverable submitted without a legend is generally treated as unlimited rights, which means the company may have just given away intellectual property it intended to protect. The Compliance module covers data rights in depth. The CDRL habit is simple: the legend is part of the format, and the format checklist includes it.

ADVANCED

CDRLs as Evidence: Disputes and Award Fee

The CDRL record is the program's documented history. In an award fee evaluation, on-time and accepted deliverables are the easiest objective evidence of performance; a clean submission log with acceptance dates is worth a paragraph of narrative. In a dispute, the same log establishes what the government knew and when. A monthly report that flagged a risk in March is evidence the government had notice in March. Senior PMs keep a deliverable log with submission date, acceptance date, government comments, and revision history, and they keep it current, because the version assembled after a dispute starts is never as credible.

Negotiating the CDRL Before Award

The CDRL is negotiable during proposal and discussions, and almost nobody negotiates it. Yet a CDRL with 40 items, half of them monthly, can consume an FTE that was never priced. Senior capture and program leads review the draft CDRL for three things: duplication (the same information in three different reports), frequency (monthly items that could be quarterly), and approval codes (approval required where review would do). Proposing a leaner CDRL, with a rationale tied to what the government actually needs, often succeeds because the CDRL was usually copied from the last contract. If it cannot be changed, price it. An unpriced CDRL is free work committed in advance.

Building the Deliverable Calendar Backwards

For each approval-required item: government review period, plus your resubmission window if comments come back, plus your internal review chain, plus authoring time. On a typical program that is 30 days of government review, 10 days to incorporate comments, 5 to 10 days of internal review, and the authoring time itself. A deliverable due to be approved before a design review must start six to eight weeks before that review. Senior PMs lay every approval-required CDRL against the IMS and find the ones that are already late on the day the contract is signed. Those are the first conversations with the CO.

BUILD ON THIS

- **Monthly Status Reports** The CDRL item the government reads most
- **Contract Administration & COR** The COR's role in CDRL acceptance
- **Modifications, REAs & Claims** When an informal deliverable request is really a change

Key Terms

CDRL

Contract Data Requirements List. The official list of all data and documentation the contractor must deliver under a contract. Each entry is a DD Form 1423. If it is not on the CDRL, you technically do not have to deliver it.

DD Form 1423

The standard form used to document each CDRL item. It specifies the data item, applicable DID, frequency, number of copies, distribution, and submission dates.

DID

Data Item Description. A government-issued document that defines the format, content, and preparation instructions for a specific type of deliverable. DIDs are numbered (e.g., DI-MGMT-81861 for a Program Status Report). They tell you exactly what goes in the document.

Exhibit A

The section of a contract where CDRLs are listed. When a contract says "see Exhibit A," it means go read your deliverable list. This is where your schedule lives.

Technical Data Package

A collection of technical documents (drawings, specs, engineering data) required under a CDRL. Common in systems and hardware programs.

CDRL Submission Date

The contractually required delivery date for each data item. Missing a CDRL submission is a contract performance issue. It can affect your CPARS rating and award fee score.

Distribution Statement

A marking on technical data that controls who can receive and use it. Ranges from Statement A (unlimited) to Statement F (export controlled). Mis-marking data is a serious compliance failure.

Tailoring

The process of modifying a DID to fit the specific needs of a program. Contracting officers can tailor DIDs to reduce reporting burden or add requirements. Always check if a DID has been tailored before preparing the deliverable.

Knowledge Check

The government asks for a technical report that is not listed on your CDRL. What is your most important first step?

A. Deliver it immediately to maintain a good relationship

✓ B. Check whether it falls within scope, then request a contract modification if needed

C. Refuse: it is not in the contract

D. Ask your COR to add it to the CDRL verbally

WHY

If a deliverable is not on the CDRL, it is outside your contractual obligation. Delivering it without a modification sets a precedent and does the work for free. The correct move is to determine whether it is in scope, and if so, request a formal modification to the CDRL with adjusted schedule and price if appropriate.

What does a Data Item Description (DID) define?

A. The price and schedule for each deliverable

✓ B. The format, content, and preparation instructions for a specific deliverable type

C. The distribution rights for classified data

D. The contractor's technical approach to the program

WHY

A DID is the government's specification for what a deliverable should contain and how it should be formatted. Before preparing any CDRL item, always pull the referenced DID to understand exactly what is required. Submitting a deliverable that does not follow the DID is a common source of rejections.

A CDRL item shows "Frequency: Monthly, as directed." What does this mean for your planning?

A. You deliver it once a month on a fixed date

✓ B. You deliver it monthly but the government can also request it at any time

C. Monthly deliveries are optional unless directed

D. You only deliver it when the CO issues a written direction

WHY

"As directed" means the baseline is monthly, but the government can request additional deliveries outside that schedule. You need to budget time and resources for both the regular cadence and extra one-off requests. Many PMs miss the "as directed" language and get caught short.

Your COR rejects a deliverable saying it does not match the DID format. You believe your format is compliant. What is the right approach?

A. Resubmit immediately in any format the COR prefers

✓ B. Cite the specific DID and tailoring language that supports your format, then discuss with the COR

C. Escalate to the CO immediately and file a dispute

D. Ignore the rejection: CDRLs are advisory

WHY

Document your position. Pull the exact DID and any tailoring language from the contract. Present it professionally to the COR. Most rejections are misunderstandings about whether the DID was tailored. If the disagreement escalates, you have a paper trail. CDRLs are contractually binding. Rejections matter for CPARS.

Which form is used to document each individual CDRL item in a contract?

A. DD Form 250 (Material Inspection and Receiving Report)

✓ B. DD Form 1423 (Contract Data Requirements List)

C. SF 1449 (Solicitation/Contract/Order for Commercial Items)

D. DD Form 254 (Contract Security Classification Specification)

WHY

DD Form 1423 is the standard CDRL form. It captures the data item title, DID number, required frequency, number of copies, distribution addresses, submission dates, and any tailoring. Every CDRL entry in your contract is its own DD 1423.

Block 8 of the DD 1423 shows an approval code for the test plan. What does that mean for your schedule?

- A. The test plan is optional
- ✓ **B. The deliverable is not accepted until the government formally approves it, so dependent work waits on that approval**
- C. The government must approve it within 5 days
- D. No internal review is needed

WHY

Approval-required items block downstream work until approved. Build the government review period into the schedule.

Where is DID tailoring for a specific deliverable documented?

- A. In the base DID on ASSIST
- ✓ **B. In Block 16 (Remarks) of the DD 1423 or an attachment**
- C. In the Section H clauses
- D. It is communicated verbally by the COR

WHY

Tailoring lives in the DD 1423 remarks and is contractually binding. Following the base DID while ignoring the tailoring is the most common rejection.

A deliverable comes back "approved as noted." What is required?

- A. Nothing; it is accepted
- ✓ **B. Incorporate the government's comments and resubmit within the stated window**
- C. Resubmit the original
- D. Escalate to the CO

WHY

Approved as noted is conditional. Track each comment to closure or the backlog surfaces as a finding later.

A technical data deliverable is submitted without a data rights legend. What is the likely consequence?

- A. It is rejected for format
- ✓ **B. It is generally treated as delivered with unlimited rights**
- C. It is classified
- D. Nothing

WHY

Missing legends can forfeit intellectual property protection. The legend is part of the format checklist.

Why should a capture team review the draft CDRL before award?

- A. To add more deliverables
- ✓ **B. To remove duplication, reduce frequency, and adjust approval codes, or price the effort if it cannot be changed**
- C. CDRLs cannot be negotiated
- D. To delay the award

WHY

An unpriced 40-item CDRL can consume an FTE. It is usually copied from a prior contract and is negotiable.

A deliverable must be approved before a design review. Government review is 30 days, comment incorporation 10 days, internal review 7 days, authoring 14 days. How far before the review must authoring start?

- A. About 30 days
- ✓ **B. About 61 days**
- C. About 14 days
- D. About 44 days

WHY

$14 + 7 + 30 + 10 = 61$ days. Build backwards from the approval date, not the submission date.

Match the DD 1423 block to what it controls:

CORRECT MATCHES

DID number	The format standard to follow
Frequency	How often it is due
Distribution	Who receives it and how many copies
Block 16 Remarks	Tailoring instructions

WHY

The DID number sets the format, frequency sets the calendar, distribution sets who receives it, and Block 16 carries the tailoring.

DEFENSE CONTRACTING FUNDAMENTALS · LESSON 13

Monthly Status Reports

22 min

The Monthly Status Report is the most read document on your program. It is your performance record, your communication tool, and your evidence file all in one. Learn to write it like it matters. Because it does.

Your MSR is your permanent record.

Every MSR you submit becomes part of the official contract file. When an award fee board meets to rate your program, they read your MSRs. When a program manager rotates out and a new one comes in, they read your MSRs. When something goes wrong and there is a dispute, both sides read your MSRs. The document you write under deadline pressure every month is the evidence trail for everything your program accomplished and everything it struggled with.

THE GOVERNMENT USES YOUR MSR TO ASSESS ONE THING ABOVE ALL ELSE

Do you know what is happening on your own program? A technically struggling program with clear, honest reporting and credible corrective actions will get better ratings than a nominally on-track program whose MSRs are vague and aspirational. Transparency and control matter more than perfection.

What Goes in a Strong MSR

- **Executive Summary** Two to three sentences. Is the program on track or not? What is the one thing the reader needs to know this month? Write this last, after you have assembled everything else.
- **Technical Progress** What did you accomplish this period against the SOW and IMS? Be specific: deliverables submitted, milestones achieved, tests completed. Vague descriptions like "work continued on task 3" mean nothing.
- **Schedule Status** Which milestones were met, which slipped, and by how much? Reference the IMS. If something slipped, say so here: not buried in an appendix. Attach a schedule variance report if required by the CDRL.
- **Cost Performance** Actuals versus plan. If you have EVM, include CPI and SPI values. If not, report actuals versus budget by CLIN or WBS element. Explain any variances greater than your threshold (typically 10% or a dollar threshold in the contract).
- **Variance Narratives** The most important section. For every significant variance: cost or schedule: explain what happened, why, the impact, and your corrective action with owner and target date. Do not bury or minimize variances. Reviewers will find them.

- **Risk and Issues** Emerging risks with probability, impact, and mitigation status. Open issues with owners and resolution dates. This is the government's early warning system. Be complete.
- **Upcoming Milestones** What is due next month and in the next quarter? Gives the government visibility to plan their reviews and approvals. Flags interdependencies where you need government action.
- **Contractor Problems Requiring Government Action** If you need the government to do something for you to stay on track: approve a document, provide GFE, make a decision: put it here explicitly. Do not assume they remember from a meeting.

THE VARIANCE NARRATIVE THAT TANKS YOUR AWARD FEE

"Schedule variance is due to resource constraints and will be recovered in future periods." This sentence. Or something like it. Appears in thousands of MSRs every month. It says nothing. It commits to nothing. It gives the reviewer no confidence that you know what happened or how to fix it. A strong variance narrative says: we lost our lead software engineer for three weeks due to an unplanned assignment to a proposal effort. This caused a 12-day slip to the System Requirements Review. We have onboarded a replacement and the SRR is rescheduled to [date]. No downstream milestones are impacted at this time.

The MSR writing process that works

Do not write your MSR in one sitting the night before it is due. Build a standing data collection cadence: schedule status update every Friday, cost actuals pulled on the 5th of the month, risk log reviewed on the 8th, draft MSR circulated internally on the 10th, final submission on the 15th. Give yourself at least two days of internal review before submission. The most avoidable MSR problems. Wrong data, missing variances, unclear narratives. Are caught in internal review, not after submission.

On one of my programs the award fee board reduced our score specifically because our MSRs "did not demonstrate sufficient situational awareness." The program was actually performing reasonably well. The problem was how we reported it. Generic language, buried variances, risks that never made it into the report. We rewrote our MSR template completely. Same program, better reporting, and the next period our score went up fourteen points. The deliverable is the perception. Write it like it matters.

The Five-Minute Read Test

Assume the most important reader of your MSR has five minutes. They will read the executive summary, scan for red or yellow, and look at one table of numbers. If those three things tell the true story, the report works. If the truth is on page nine, it does not exist. Write the executive summary so that a reader who stops there knows the status, the biggest problem, and what you are doing about it. Then make sure the body supports every sentence of it.

Numbers That Belong in Every MSR

AREA	THE NUMBER	WHY THE GOVERNMENT WANTS IT
Cost	Funded value, spent to date, remaining, burn rate vs. plan	Limitation of Funds visibility and overrun early warning
Schedule	Milestones due this period, met, slipped (days), next period's milestones	IMS accountability without opening the IMS
Staffing	Positions filled vs. required, key personnel changes, clearances pending	Capacity to perform; key personnel clause compliance
Deliverables	CDRLs due, submitted, accepted, outstanding comments	The objective record of performance
Risks and issues	Open risks with rating, new this period, closed this period	Evidence of situational awareness
Government dependencies	GFE, GFI, access, decisions you are waiting on	Puts government-caused delays on the record politely

INTERMEDIATE

Writing the Cost Section Without Saying Too Much

On a cost-type contract the government is entitled to detailed cost reporting and the MSR usually includes spent-to-date by CLIN, burn against plan, and an estimate to complete. On a fixed-price contract, cost is the contractor's business; the MSR reports progress and schedule, not internal cost, and a PM who volunteers internal margin data on an FFP contract has handed the customer leverage in the next negotiation. Know which contract you are on. In both cases, the funded-versus-spent picture matters, because the Limitation of Funds or Limitation of Cost clause requires notice when spending approaches the funded amount, and the MSR is often where that notice is first documented.

The Reviewer Reads Them in Sequence

Nobody reads an MSR alone. The award fee board, a new government PM, or an auditor reads six or twelve in a row. That changes the rules. A risk that appears in March, disappears in April without explanation, and reappears in June as an issue reads as a PM who was not tracking. A milestone reported "on track" for four months and then "slipped 60 days" reads as a PM who was not honest or not aware. Keep a running thread: every open risk appears every month until it is closed, with the closure explained. Every milestone shows its baseline date and its current forecast every month, so slips are visible as they develop rather than announced when they land.

When to Escalate in Writing

The MSR is the routine channel. Some things need a separate letter to the CO, with the MSR referencing it.

- **Approaching the funded limit** Limitation of Funds and Limitation of Cost notices have specific timing and content requirements. The MSR mention is not the notice; the letter is.
- **Government-caused delay** Late GFE, late decisions, late access. Document in the MSR every month and send a formal notice when it affects a milestone, because an REA later depends on it.
- **A directed change** Anything the government asked for that is not in the contract. The MSR records it; the constructive change letter preserves the claim.
- **Key personnel departure** Most contracts require notice within days. The MSR is too slow.

ADVANCED

The MSR and the Constructive Change File

The Modifications lesson explained constructive changes: work the government directed without a mod. The MSR is where those changes get documented in real time, and a senior PM writes the relevant paragraph with the future REA in mind. Not "the team supported additional analysis at the customer's request," which sounds like goodwill. Instead: "On the 12th, the COR requested analysis of X, which is outside SOW paragraph 3.2. The team performed it as directed, expending approximately 80 hours. A request for equitable adjustment is being prepared." That sentence, in a document the government received and did not dispute, is worth more than any argument made a year later.

Aligning the MSR With EVM and IPMR Reporting

On programs with EVM, the MSR and the IPMR go to the same reader, and they must agree. A cost variance explained one way in Format 5 and another way in the MSR narrative is a credibility problem that outlasts the variance. Senior PMs write the variance narrative once, in the IPMR, and use the same language in the MSR. They also make sure the MSR schedule section reflects the same IMS status date as the IPMR, so a milestone is not "complete" in one report and "forecast" in the other because the reports were cut on different days.

Shaping the Award Fee Narrative Month by Month

The award fee board reads the period's MSRs and the contractor's self-assessment. The self-assessment is written in a week; the MSRs are written over six months. So the MSRs are where the award fee case is really built. A senior PM structures each MSR so that accomplishments map to the award fee evaluation factors (technical, schedule, cost control, management), so that problems are paired with corrective actions and their results, and so that the record of government-caused delays is clear and unemotional. When the

self-assessment is written, it cites the MSRs. When the board reads the MSRs, it finds the self-assessment already there.

BUILD ON THIS

- **CPAF, Burn Rate & Award Fee** What the award fee board scores
- **Modifications, REAs & Claims** Constructive changes and the REA the MSR supports
- **Reading IPMR Reports** Keeping the MSR consistent with the IPMR

Key Terms

MSR

Monthly Status Report. A CDRL deliverable that summarizes program performance for the reporting period. Typically covers schedule, technical progress, cost performance, risks, and upcoming milestones. The primary vehicle for keeping the government informed between formal reviews.

PMR

Program Management Review. A formal periodic review. Usually monthly or quarterly. Where the contractor presents program status to government leadership. The MSR is the source document for your PMR briefing.

Variance Narrative

The written explanation of any significant cost or schedule variance from plan. The most important section of an MSR. This is where you explain what happened, why, and what you are doing about it. Vague narratives are a red flag to reviewers.

Problem Areas

Issues or risks that are affecting or may affect program performance. Section of the MSR where you are required to disclose problems proactively. Government reviewers use this section to assess contractor transparency.

Corrective Action Plan

CAP. A documented plan for addressing a performance problem. What went wrong, root cause, corrective steps, responsible owner, and target resolution date. Required when variances exceed thresholds or problems are identified.

Period of Performance

The dates during which the contractor is authorized to perform work and incur costs. Each MSR reports on performance within the current PoP. Performance outside the PoP is unallowable.

Integrated Master Schedule

IMS. The comprehensive, resource-loaded program schedule. The MSR references the IMS to show schedule status. Any slippage shown in the MSR should be traceable to the IMS.

Risk Reporting

The section of the MSR that identifies current and emerging risks, their probability and impact, and the mitigation status. This becomes the government's early warning system. Omitting a known risk from the MSR is a transparency problem.

Knowledge Check

Your program is running two weeks behind schedule on a key milestone. How should you handle this in your MSR?

A. Wait until the next month's MSR since you might recover

✓ **B. Disclose the variance with a clear explanation and corrective action plan**

C. Note the variance as "minor" without a CAP to avoid alarm

D. Only report it if the delay exceeds 30 days

WHY

Proactive disclosure of problems is a core contractor PM responsibility. Report the variance clearly, explain the root cause, and include a credible corrective action plan. Governments would rather hear bad news early with a recovery plan than discover a hidden problem later. Delayed disclosure is a transparency failure that hurts your CPARS rating.

A program reviewer asks why your MSR variance narrative says "schedule impact due to resource constraints" with no further detail. What is the real problem?

A. The narrative is appropriate, "resource constraints" is a standard term

✓ **B. The narrative is too vague: it should identify what resources, why they were constrained, and what the recovery plan is**

C. The issue is formatting, not content

D. Resource constraint narratives are acceptable if accompanied by an EVM report

WHY

"Resource constraints" with no elaboration is a flag for government reviewers. It tells them nothing actionable. A strong variance narrative explains: what exactly happened, the specific cause, the measurable impact, and the specific corrective steps with owners and target dates. Vague narratives signal poor program control and damage trust.

Your MSR is due on the 15th of each month per the CDRL. Your data is not finalized until the 12th. What do you do?

✓ A. Submit on the 15th with preliminary data and note it is subject to revision

- B. Request a CDRL modification to move the due date to the 20th
- C. Submit with the best available data on the 15th: do not flag it as preliminary
- D. Contact the COR and ask for an informal extension each month

WHY

Submit on the contractual due date with the best available data, clearly marked as preliminary where appropriate. If this is a recurring problem, the right move is to formally request a CDRL modification to align the due date with data availability. Informal extensions every month create undocumented schedule risk. Asking the COR each month is not a sustainable process.

Which section of the MSR is the government most likely to focus on first?

- A. The cover page with program identification

✓ B. The variance narrative and problem areas section

- C. The technical progress section
- D. The financial summary tables

WHY

Experienced government reviewers go straight to variances and problem areas. That is where the news is. If your program is on track, those sections are short and unremarkable. If there are issues, those sections tell the reviewer what they need to know and whether the contractor has a credible handle on it. Write those sections with care.

You discover a significant risk that emerged this month. A key subcontractor is having financial difficulties. It is not certain to impact the program yet. Do you include it in the MSR?

A. No: only report risks that have already impacted the program

✓ B. Yes: proactive risk reporting is a contractual and professional obligation

C. Only if the subcontractor's contract value exceeds \$1 million

D. Wait until the next PMR to discuss it verbally first

WHY

The MSR's risk reporting section exists precisely for emerging risks that have not yet materialized. Report it now, describe the potential impact, and document your mitigation steps. The government needs this information to make decisions about contingency planning. Withholding a known risk is a failure of transparency. And if the subcontractor fails later, you will have no record of having flagged it.

You are on a firm-fixed-price contract. Which cost information belongs in the MSR?

A. Internal margin and labor cost by employee

✓ B. Progress and schedule status; internal cost detail is the contractor's business

C. Full indirect rate breakdown

D. Nothing about schedule

WHY

On FFP, cost is the contractor's risk and its business. Volunteering internal cost data hands the customer negotiating leverage.

A risk appears in the March MSR, is absent in April, and reappears as an issue in June. How does an award fee board read this?

A. As good risk closure

✓ B. As a PM who was not tracking the risk

C. As normal reporting

D. As a government-caused delay

WHY

Reviewers read MSRs in sequence. Every open risk should appear every month until it is explicitly closed.

Spending is approaching the funded amount on a cost-type contract. What is the correct action?

A. Mention it in the MSR only

✓ B. Send the formal Limitation of Funds notice to the CO with the required timing and content, and reference it in the MSR

C. Stop work immediately without notice

D. Wait for the government to notice

WHY

The MSR is not the notice. The LOF/LOC clauses have specific requirements; the letter is the notice and the MSR references it.

Which MSR sentence best preserves a future REA for government-directed out-of-scope work?

A. "The team supported additional analysis at the customer's request"

✓ B. "On the 12th the COR requested analysis outside SOW 3.2; the team performed it as directed, about 80 hours; an REA is being prepared"

C. "Work continued on all tasks"

D. "The customer was very satisfied with the extra support"

WHY

Specific, dated, tied to the SOW paragraph, with hours and an explicit statement that an adjustment will be sought.

On a program with EVM, why must the MSR and the IPMR variance narratives match?

A. The FAR requires identical text

✓ B. They go to the same reader; inconsistent explanations destroy credibility

C. The MSR replaces the IPMR

D. They are audited by DCAA together

WHY

Write the variance narrative once, in the IPMR, and reuse it. Cut both reports on the same status date.

Order the parts of the MSR a five-minute reader consumes:**CORRECT ORDER**

1. Executive summary
2. Red / yellow / green status scan
3. One table of key numbers
4. Detailed sections and appendices

WHY

Executive summary first, then the status colors, then one table of numbers. If the truth is not in those three, it is not read.

DEFENSE CONTRACTING FUNDAMENTALS · MODULE ASSESSMENT

Module Assessment

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Knowledge Check

Under a Firm-Fixed-Price (FFP) contract, who bears 100% of the cost risk?

A. The Government

✓ B. The Contractor

C. Cost risk is split 50/50

D. A third-party surety

WHY

Under FFP, the contractor's price is fixed at award and does not change regardless of actual costs incurred. The contractor bears all cost risk. If costs exceed the price, the contractor absorbs the loss. If costs are lower, the contractor keeps the savings. This is why FFP is preferred for well-defined, stable requirements.

Which FAR part governs the general principles of contract types?

A. FAR Part 12

B. FAR Part 13

C. FAR Part 15

✓ D. FAR Part 16

WHY

FAR Part 16 covers contract types. From Fixed-Price (16.2) through Cost-Reimbursement (16.3) to Indefinite Delivery (16.5) and Time-and-Materials (16.6). FAR Part 15 covers negotiated acquisitions; Part 12 covers commercial items; Part 13 covers simplified acquisition.

In source selection, Section L and Section M of a solicitation serve which purposes respectively?

A. Section L = Contract terms; Section M = Statement of Work

✓ B. Section L = Instructions to offerors; Section M = Evaluation criteria and factors

C. Section L = Pricing instructions; Section M = Technical requirements

D. Section L = Past performance forms; Section M = Price/cost instructions

WHY

Section L (Instructions, Conditions, and Notices to Offerors) tells contractors HOW to prepare and submit their proposal. Section M (Evaluation Factors) tells them HOW the government will evaluate and award. Section M must be aligned with Section L. You cannot evaluate something you didn't ask for.

A "constructive change" to a contract occurs when:

A. The contractor proactively improves the system beyond what was required

✓ B. A government action effectively changes contract scope without a formal modification

C. The CO issues a bilateral modification agreed to by both parties

D. The contractor submits a value engineering change proposal

WHY

A constructive change arises when a government action. Such as a COR directing extra work, an overly strict inspection standard, or government-caused delays. Effectively changes what the contract requires, even without a formal modification. These can result in large, retroactive contractor claims.

Under the FAR, "best value" source selection most accurately means:

A. Always selecting the lowest price technically acceptable offer

B. The government can only consider technical factors, not price

✓ C. A tradeoff process where technical merit and price are both considered to select the offer providing the greatest overall benefit to the government

D. Selecting the offeror with the highest past performance rating regardless of price

WHY

Best value allows the government to pay a price premium for superior technical capability when the additional benefit justifies the higher cost. The tradeoff rationale must be documented. The alternative is Lowest Price Technically Acceptable (LPTA), where only technical acceptability is evaluated and price wins.

Which contract type is generally PROHIBITED for use when acquiring services that are closely related to inherently governmental functions?

A. Firm-Fixed-Price (FFP)

✓ **B. Time-and-Materials (T&M)**

C. Cost-Plus-Incentive-Fee (CPIF)

D. Indefinite Delivery / Indefinite Quantity (IDIQ)

WHY

Time-and-Materials contracts provide no incentive for the contractor to control costs. The government pays for labor hours regardless of efficiency. FAR 16.601 requires a determination that no other contract type is suitable before using T&M, and requires government surveillance of labor hours. T&M is particularly problematic for services near inherently governmental functions.

The "Point of Total Assumption" (PTA) in an FPIF contract is the cost point at which:

A. The government assumes 100% of cost risk above that amount

✓ **B. The contractor assumes 100% of cost risk above that amount (equivalent to FFP above PTA)**

C. Both parties renegotiate the contract target cost

D. The ceiling price is triggered and the contract converts to FFP

WHY

Above the PTA, the contractor's share ratio effectively becomes 100/0. The contractor absorbs every dollar of cost overrun because the ceiling price caps government payments. The PTA is calculated as: $PTA = (Ceiling\ Price - Target\ Price) / Government\ Share\ Ratio + Target\ Cost$.

DCMA's primary mission in contract administration is to:

A. Audit contractor accounting systems and cost claims

✓ **B. Administer contracts on behalf of the PCO: monitoring performance, accepting deliverables, and managing GFP**

C. Evaluate contractor proposals during source selection

D. Provide legal representation to the government in contract disputes

WHY

DCMA is the operational contract administration arm of DoD. DCMA's Administrative Contracting Officers (ACOs) are assigned to contractor facilities to monitor schedule, quality, property, and compliance daily. DCAA handles accounting audits; DCMA handles performance administration.